

Alembic Pharma (APLLTD)

Conference call transcripts, oldest-first. 15 call(s). Generated 2026-08-02.

Call: Aug 2022

A~!!!!~ft)- Date: 101h August, 2022

To,

The Manager,

Department of Corporate Services,

BSE Limited .

P. J. Towers, Dalal Street,

Fort, Mumbai - 400 001

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 4th August, 2022

Ref: Our Intimations dated 27th July, 2022 & 2nd August, 2022

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 4th August, 2022.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Char~ h Saluja

Company Secretary

Encl.: A/a ..

ALEMBIC PHARMACEUTICALS LIMITED

REGO. OFFICE : ALEMBIC ROAD, VADODARA - 390 003. •TEL: (0265) 2280550, 228088.0. • FAX : (0265) 2281229

website : www.alembicpharmaceuticals.com • E-mail : alembic@alembic.coJn • CIN .: L24230GJ2010PLC061123

Page 1 of 19

"Alembic Pharmaceuticals Limited Q1 FY23 Financial
Results Conference Call "

August 04 , 2022

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR

MR. SHAUNAK AMIN - MANAGING DIRECTOR

MR. R. K. BAHETI – DIRECTOR - FINANCE & CFO

MR. MITANSHU SHAH - HEAD - FINANCE

MR. JESAL SHAH – HEAD - STRATEGY

MR. AJAY KUMAR DESAI - SENIOR VP-FINANCE

Alembic Pharmaceuticals Limited

August 04 , 2022

Page 2 of 19

Moderator: Ladies and gentlemen, good day and welcome to Q1 FY23

Financial results Conference call of Alembic Pharmaceuticals

Limited. We have with us from the management, Mr. Pranav Amin

- Managing Director; Mr. Shaunak Amin - Managing Director; Mr.

R. K. Baheti - Director Finance and CFO; Mr. Mitanshu Shah -

Head of Finance; Mr. Jesal Shah - Head, Strategy and Mr. Ajay

Kumar Desai, Senior VP, Finance. As a reminder, all participant

lines will be in the listen only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Should

you need assistance during the conference call, please signal an

operator by pressing '*' then '0' on your touchtone phone. Please

note that this conference is being recorded.

I now hand the conference over to Mr. R. K. Baheti. Thank you

and over to you, sir.

R. K. Baheti: Good evening everyone. Thank you for joining our first quarter for 2022 -2023 quarterly results conference call. I am sure you would have received the results by now. I know the financial numbers are a bit below your expectations, but during this call we will try to explain you the reasons and also the rationale why we think the underlying business is robust.

First of all, financials, during the quarter our total revenues were at Rs. 1,262 crores, EBITDA was Rs. 9 crores and net loss was Rs. 66 crores. Continuing review of our Aleor R&D cost, which was capitalized earlier and looking at the conditions in the US generic business, Aleor still is a separate company, though merger process is underway. Aleor has further written-off Rs. 115 crores out of which CWIP, out of capitalized R&D to P&L. We did it in March 2022 also and Rs. 115 crores we have written-off in June 2022. The residual intangible assets in Aleor now is just about Rs. 40 crores. Had Aleor followed the previous practice, Alembic Pharmaceuticals Limited
August 04, 2022

Page 3 of 19

APL's consolidated profit before tax would have been higher by Rs. 115 odd crores. EBITDA on a likewise basis would have been Rs. 107 crores.

Borrowings:

The gross borrowings at consolidated level is Rs. 515 crores versus Rs. 630 crores in March 2022. The company has Rs. 112 crores of cash on hand. As on March 2022, it was Rs. 61 crores. Net borrowing as on 30th June 2022 is Rs. 403 crores versus Rs. 569 crores as on March 2022. Net debt equity is very comfortable at 0.08.

I will now hand over the discussion to Pranav for his presentation on International business.

Pranav Amin: Thank you Mr. Baheti.

It was a challenging quarter for the US business, especially when seen in light of a very good preceding quarter. I had mentioned in the last investor call that we had made a switch to third party logistics vendor. Due to this, we had anticipated some supply disruptions and hence the buyers had pulled in extra inventory to ensure that the quarter was smooth. This led to a slow start and dispatches during quarter and the revenue for the quarter was \$ 47 million in the US. We continue to remain focused on the long term of the US business backed by 15 plus launches every year and hopefully consolidated market share in our existing products. The near term will remain challenging, but long term we still remain optimistic about the US business.

The Ex-US formulation business as well as the API business have both come off a very high base of last year, hence the growth was Alembic Pharmaceuticals Limited
August 04, 2022

Page 4 of 19

muted. We are confident on both these verticals moving forward from the next quarter onwards.

Our R&D expense is Rs. 261 crores. Ex of Aleor's non-recurring charge d-off R&D, the expense is Rs. 146 crores, which is 12% of sales.

We filed 7 ANDAs during the quarter and cumulative ANDA filings remain at

237.

We also received 8 approvals in the quarter including 3 tentative. We launched 5 products in the quarter and plan to launch another 5 to 7 products in the next few months as well.

The FDA remediation is ongoing at our F3 injectable facility at Karakhadi. We have appointed some consultants and remediation measures are underway. Along with, we are in touch

with FDA as well to ensure full compliance. This will take a couple of months hopefully and we should have better news for you. The US generics was flat at Rs. 367 crores for the quarter. The Ex-US generics decreased by 8%, Rs. 182 crores for the quarter, whereas the API business decreased by 16%, Rs. 233 crores for the quarter. I will now request Shaunak to take you through the India Branded Business.

Shaunak Amin: Good afternoon everyone. The India business, we had an extremely good quarter, though the topline numbers have a base reflection of last year's COVID that time played which caused disruption, but when I look at the numbers like ex-COVID adjusted Alembic Pharmaceuticals Limited
August 04, 2022

Page 5 of 19

this year we have a very strong growth. Even on the veterinary, we see extremely strong growth of about 35% over last year. Ex of COVID adjusted, we grew at 20% and if I look at external numbers, the industry showed a negative growth of 2%. Alembic has as is reflected parallel negative growth of 3%, but Ex of Azithromycin which was a big contributor to last year's sale numbers. The industry decreased by negative 1%, whereas Alembic recorded a growth of plus 12% as per IMS in the same period. Based on this, Q4 onwards, looking at the traction, looking at the portfolio growth, we did start to increase investments in the business and we did see a significant ramp up in Q1. In terms of investments, we expect these to start playing out in terms of topline numbers going into as early as Q2 and Q3. Other than that, core portfolio of the business continues to do well and with a strong onset of monsoon in June-July, in July mainly and continuing into August, we expect the acute portfolio which is a very strong part of our business to continue with more competing growth numbers.

I would like to open up the floor for Q&A now.

Moderator: Thank you. We will now begin the question-and-answer session. We have the first question from the line Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Baheti sir, you explained about Aleor charges, so in the previous quarter, you took around Rs. 123 crores and this quarter Rs. 115 crores and then you mentioned around Rs. 40 crores is residual, so say like, we have to again charge of this Rs.40 crores after that there will be no R&D expenses related to Aleor or how should we look at that part of the cost?

Alembic Pharmaceuticals Limited
August 04, 2022

Page 6 of 19

R. K. Baheti: Second part of your statement is right, Rs. 40 crores is what is now residual. The only correction I will make in your first part of the statement in previous quarters that is in March 2022, we charged off Rs. 189 crores.

Damayanti Kerai: So, Rs. 189 crores in the fourth quarter, Rs. 115 crores this quarter and then we had just left with the Rs. 40 crores?

R. K. Baheti: Total is about Rs. 350 crores spent over last 3-4 years on R&D.

D. Kerai: So, sir, anything else like where assessment is ongoing and then we might see similar charge off, which you right now not part of our operating cost or we should be just looking at the Aleor portfolio?

R. K. Baheti: As far as Alembic Pharma is concerned, in any case we have been charging off all R&D expenses to P&L since beginning, so we have no accumulation in balance sheet there.

D. Kerai: And just a question on R&D, so even if we adjust for this Aleor charge, it still remains notable at around 12% of sales, so how

should we look at this cost going ahead and as we see like US

challenges are far from getting over, are we thinking about pre - allocating R&D to some other businesses?

R. K. Baheti: You are right, but I look at percentage of turnover as just a consequential number, but in absolute terms, we don't plan to increase R&D. The R&D cost including Aleor on the current basis is about Rs. 700 crores a year and we will contain it within that and we are also looking at rationalizing it to the extent it is possible without really affecting the growth of the results in future. So, you can say that it will stay between Rs. 650 crores to Rs. 700 crores in coming years.

Alembic Pharmaceuticals Limited

August 04 , 2022

Page 7 of 19

D. Kerai: So, Rs. 650 crores to Rs. 700 crores kind of R&D expense will continue on absolute basis and majority will continue for the US markets , right?

R. K. Baheti: Yes, majority is for US market , but now we are extensively using the same set of dossier extension filings for EU and for rest of the world markets, but we are only in regulated markets.

D. Kerai: Sir, and my last question, India business , how much is acute sales of the total India business?

Ajay Kumar Desai: It is Rs. 118 crores.

Moderator: Our next question is from the lines of Chirag Dagli from DSP Mutual Funds. Please go ahead.

Chirag Dagli: Sir, I understand there were some upfronting of revenue in the fourth quarter last year and now that number is low, but if I look at the last 3 -4 quarters average, then it seems like the base business is whatever \$55 to \$60 odd million, so is that the base or you see Q1 \$47 million odd that we have reported than the new base?

R. K. Baheti: We said in the previous calls that \$50-\$55 million for US is the base and we maintain that.

Chirag Dagli: Sir, can you help us just broadly understand as we look into the next two years, how would the scaleup of expenses both above EBITDA and below EBITDA just broadly happen?

R. K. Baheti: See, there are few expenses Chirag which are beyond our control and there are few expenses where we can have a significant amount of control. From expenses which are under our control, we are doing everything under the sun to contain them, rationalize

Alembic Pharmaceuticals Limited

August 04 , 2022

Page 8 of 19

them, make them more productive, make them more effective, but some of the expenses and I will give you an example particularly with International business context like freight cost , so freight cost, I am sure you must be talking to multiple pharma companies has gone up almost across the board . Not only India to US freight cost, but even internal freight cost in US has also gone up multiple times. That is impacting us and that is where we don't have much of control. Some expenses we can't predict. Some input cost has gone up because of this crude price being very high in Q1, solvents and some of the material cost also went up. These are beyond our control , but operating cost overheads particularly, we are trying to contain as much as possible.

Chirag Dagli: Sir, my question was more about what we are capitalizing and what we have already spent , so depreciation as well as the OPEX that we are capitalizing as some of the facilities come on stream , what sort of cost will hit the P&L is what I was trying to understand and how that phasing out in that?

R. K. Baheti: As and when this facility will get into commercial production.

Chirag Dagli: Correct, so what is the quantum sir, both depreciation and OPEX ?

Mitanshu Shah : Around Rs. 180 crores to Rs. 200 crores of cash expenses and then we will have another Rs. 150 crores of depreciation.

Chirag Dagli: This is still left to be taken into the P&L ?

Mitanshu Shah : Yes, that is for all these three facilities .

Chirag Dagli: Correct, so sir is there a way to sort of t

hink about the facing out

of this? Over what period will this hit the P&L?

Alembic Pharmaceuticals Limited

August 04 , 2022

Page 9 of 19

R. K. Baheti: Actually, that will get capitalized as part of the respective assets , so we will have to carry an extra depreciation burden , but I am not so worried about it at this moment about, what I am more worried is how soon we can make the plant s operational and start churning revenue out of them . Like Pranav said, we are working proactively with FDA for resolving the issues with them. F3, F2 part of the facility is already approved by FDA and part of it, we have already started filing and the inspection is already triggered, let us see when the FDA visits us.

Chirag Dagli: Sir, my limited point was that, we have Rs. 350 crores hitting the PBT to generate that kind of gross profit, we probably have to do Rs. 500 crores worth of sales in the US , so is this understanding right that while the sales may take time to scaleup, but the expenses will immediately hit on a fully loaded basis and will be upfronted?

R. K. Baheti: Which is true, largely what you say is true.

Moderator: We have the next question from the lines of Vaibhav B from Honesty and Integrity. Please go ahead.

Vaibhav B: Sir, I have two questions on the International business and then I will come back in the queue for the domestic business , so on the US oral solid part of the business, can you give me an idea like what would be the gross margins in that business? I don't want EBITDA margins or what ROCE we are making , but this broad range of gross margin in US oral solid business?

R. K. Baheti: We don't give vertical wise margin breakup , but what is for sure is that the margins have gone down because of the price erosions in US.

Alembic Pharmaceuticals Limited

August 04 , 2022

Page 10 of 19

Vaibav B: And in terms of the price erosions that has happened in the US, in US specifically is it like different kind of erosion that we are seeing between chronic and acute products or it is across all the products because in terms of the cases we hear that the price erosion in chronic is less than acute products, is it true?

Pranav Amin : No, actually the US is a generic market, we have seen erosion across the board. There is too much supply and too many people supplying in the market , especially from India. So, price erosion is across the board.

Moderator: Thank you. We have the next question from the line of Rashmi A . from Dolat Capital. Please go ahead.

Rashmi Sancheti : Sir, one clarification on this Rs. 115 crores, how much is that sitting in the other expenses and how much is there in the depreciation part?

Mitanshu Shah : So, around Rs. 100 crores is in other expense and Rs. 15 crores is in depreciation.

Rashmi : And on your US business, this quarter we have reported \$48 million and you are saying that the base business is around \$54-\$55 million, so what led to fall of that extra million dollar? Is it because of anything which is one off or this is something which will continue in the subsequent quarters and in fact this will become the new base ?

Pranav Amin: In the last quarter Q1, I had said that I anticipate that around 50 million , nearly 55 million depending on the situation would be our base business . Having said that the last quarter , we did about 70 million in the US, that was due to some one-time buy as well as we moved our third-party logistics provider this quarter. That is

why the buyer had shopped a lot more. That is why last quarter ,
Alembic Pharmaceuticals Limited
August 04 , 2022

Page 11 of 19

the sales were higher which led to a lower offtake in the start of the quarter for this quarter.

Rashmi : So, you mean to say that from the second quarter, we should come back to our run rate of around \$54-\$55 million?

Pranav Amin: It depends , see now the erosion a

iso goes and in my opinion will

be closer to 50 million, but I am saying a lot more erosion on the market than I saw at the end of the Q4.

Rashmi : Sir, how much is the price erosion? Is it selling double digits for Alembic , if you can just quantify that?

Pranav Amin: Yes, I would say it is in double digits. I haven't looked at it because it is a moving figure so, I don't keep looking at it, but I anticipate it will be in low double digits.

Rashmi : And any new launches which you are guiding for FY23?

Pranav Amin: We launched 5 products in Q1. We anticipate to launch 5 to 6 in Q2 as well and for the year, we will be anywhere between 15 to 18 kind of launches.

Rashmi : And what kind of growth we will be seeing in the specialty and acute segment in India business? Any guidance if you want to give and also for this quarter if you can split between prices growth, volume growth and new launches growth?

R. K. Baheti: We don't give guidance that way , but Shaunak has already said that we are pretty confident about our market beating growth both on specialty and on some acute ex of covid related products.

Rashmi : Sir, last question on gross margins, we were doing around 73 - 74% gross margin and I think more or less . it was expected that it could remain in that range, but I understand that due to the US
Alembic Pharmaceuticals Limited

August 04 , 2022

Page 12 of 19

price erosion and due to the high input cost, the gross margins have slipped to 70%, but anything which you can like let us know that you know month -on-month basis, the input cost is coming off and from the second quarter , we are going to see any improvement from year on or you feel that this would be at least for the entire year?

R. K. Baheti: Very difficult to say at this moment. It will be dependent on multiple things, input cost as well as realization which I do. So, I am not putting a number as of now.

Rashmi : So, is it safe to assume that it will more or less remain in this range only 70 -71% for the entire year?

R. K. Baheti: No, I think you can make your own assumption , we cannot give you more guidance on this.

Moderator: Thank you. We have the next question from the lines of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur: I just have one question. The last time, I remember there were some 150 approval that were in place and the company had launched 104 -105 products in the US , so the remainder of the products that are yet to be launched , should we assume that there is anything still left or given how the situation there is in the US , there is barely any left in those products?

Pranav Amin : Generally with the market situation as I said we have launched about 15 odd products this year. I think some are awaiting patent expiries , so those we launched as and when the patent expires , those are tentative approvals and the rest we will take some in the process of launching and some we may choose not to launch because we have the technical issues or because of the market situation.

Alembic Pharmaceuticals Limited

August 04 , 2022

Nikhil Mathur: And again, on the gross margin front, is it very counterintuitive if I look at sales percentage of India in the overall mix, it has a kind of gone up, should generally come in many other peer companies, the margins in India are usually better than the export markets, so this dynamics is different in Alembic and hence actually India growth for India higher share need some bit of margin dilutions?

R. K. Baheti: So, I don't know whether I have understood you right, but previous few years, we did extremely well in US, we had some very good products realization and our margins in US were much better. At the gross level margins figures were very good. India margins are more or less like consistent and they remain except for some bit of changes due

to those COVID related disruptions one and half year back but otherwise India margins remains more or less consistent.

Nikhil Mathur: So, sir your US margins are one of the highest in the industry and I think there is a specific strategy because of which you generate such high US margins at the gross level, isn't it a big risk for Alembic at 68-69% whatever 70% gross margins, no other Indian company does this, I think it is a big risk going forward actually when the pricing also be so big for the US market?

R. K. Baheti: At the peak level, when some of the products were doing very well in US and our margins have also peaked to 75% plus and at that time I said that these margins are unsustainable in long term and they will come down and they are coming down, but if you say, our margins are better than industry, I will take it as compliment.

Nikhil Mathur: Right, but the past, all credit to the company for what you guys have been able to deliver in the past but if I look at Q3 out, is my expectation right that there can be more risk than tailwinds to your margin profiles?

Alembic Pharmaceuticals Limited

August 04, 2022

R. K. Baheti: It is very difficult to say because it is very difficult to predict the market particularly the US market and India market as I say is more consistent and more predictable, but US is very difficult to predict, so won't give any comment, but we hope that sooner than later US also will stabilize at some point of time.

Pranav Amin: Also what I think is, US is the largest market in the world. It's a great market to be a part of and I would say that you have to look at it a little bit more in the long term. This year, last 10 years track record, profit and revenue growth has been quite exceptional, over almost 30% profit, 25 in terms of topline, so yes, the US move is little cyclical, but I think it is an interesting business, you cannot not be in it.

Nikhil Mathur: And sir what is the currency transaction impact? Where would that be sitting in 1Q because I don't think any major gains at least another income, so how is the currency accounting played out?

R. K. Baheti: Generally rupee depreciation has been favorable or good for pharma companies, we are also hedging foreign exchange. So, generally it has a positive impact.

Nikhil Mathur: Can you quantify that sir, how much of positive impact is there from currency?

R. K. Baheti: We don't, because a part of it was hedge share 30-40% part of it we hedge on the regular basis, the balance remains open, but we have got some benefit out of it.

Moderator: Thank you. We have the next question from the line of Harith Ahamed from Spark Capital. Please go ahead.

Harith Ahamed: First one is on the F3 facility, you mentioned that the remediation activity is there or underway, so in your assessment, will this

Alembic Pharmaceuticals Limited

August 04, 2022

Page 15 of 19

facility require a re-inspection before it is cleared by the FDA? And regarding the F2 and F4 facilities, we are having expectations around inspection timelines for these two new facilities?

Pranav Amin : F3 I believe, it would require an inspection, but let us see how it goes in terms of the FDAs, how they accept all the results and we have been updating them on a monthly basis, I believe it will require re-inspection. As regards to F2, the oral solid part is already approved by the FDA, so there is no issue. The injectable bit, we have filed some products, so which should trigger a filing as and when the FDA increases their audits which they already have. We should have them visiting us for an audit as well. F4 also, we have filed, however in the priority list of FDA, this will be a little later. So, I don't think that will happen in this year.

Harith Ahamed : My second question is on margins and I am looking at margins adjusted

for the one-off R&D at Aleor that is around Rs. 100 crores which is above EBITDA. Still, the margins are at around 10%, slightly below 10% while we were at a closer to 20% number through most of last year, so how should we think of the recovery in margin from this level and may be some color on how the recovery would play out over the next few quarters?

R. K. Baheti: Margins would stay under some pressure till the realization from US improve while we are doing everything possible under our control or to do some cost rationalization. They would have only a smaller influence of margin. We would bank on US doing better to further improve the margins.

Harith Ahamed : But sir, while we are expecting a recovery in the US in the coming quarters, over the next 3 to 4 quarters, we will also see the additional costs which are getting capitalized now, so that would

Alembic Pharmaceuticals Limited

August 04, 2022

Page 16 of 19

also mean further pressure on margins from the current level side, so?

R. K. Baheti: I said once the new facilities become operational and an earlier participant also mentioned, initially the revenue would be lower, the expense would be higher, there will be a pressure of margin, for any growth you need to sustain a higher cost in the transitional period and that is how you grow the business.

Harith Ahamed : Last one if I missed, your comment on the intangibles write-off at Aleor, you mentioned that the write-off was done to reflect the current market conditions, so just thinking about the adverse market conditions pertaining to the US generic market, does this also imply that we will have a re-think on our future CAPEX as well as R&D spends for the US markets because the way when I look at the numbers, our normal R&D spend continues to be at around that Rs. 150 crores level on a quarterly basis, so now that you have seen the market conditions turn adverse, will we have a re-think on probably lowering the spend to reflect the more challenging environment there?

Pranav Amin : Yes, you are absolutely right, the way we are approaching the US is on two things. One on the CAPEX side. All these new plants we did, essentially new capability that we did, so I don't expect anticipate any new CAPEX, large CAPEX for the US moving forward. At the most, we may have some incremental CAPEX or maintenance CAPEX, we may increase some API capacity, but on the formulation side, we will not do any CAPEX on a new facility. As regard, the R&D, yes, we are constantly evaluating that as well. How do we rationalize the R&D spend as well moving forward because the returns from the US are more. We will rationalize it by either looking in other territories or in terms of other verticals. Now, this R&D that you see is not just OSD, but it

Alembic Pharmaceuticals Limited

August 04, 2022

Page 17 of 19

is a part of it includes injectable s and the other vertical as well and this would help the new plant as well .

Moderator: Thank you. We have the next question from the line of Bharat Celly from Equirus Securities. Please go ahead.

Bharat Celly: Sir, I just wanted to understand on product called Formoterol , so I believe we have already launched that , so just wanted to know how you are seeing the traction in that product , whether we have seen any adverse pricing anything you can comment on the overall outlook of this drug we have launched ?

Pranav Amin : Yes, it is a good product. We have launched it. We have picked up some share as well in that product. It has got a little lesser competition . So, let us wait and see how it goes. It is from a CMO , so we are slowly gradually picking up more shares we get as we have more confidence on the supply chain.

Bharat Celly: And what sort of market share we will be reaching in this product at this point of time?

Pranav Amin : It de

pends, but we must be at over 15% or so.

Bharat Celly: Sir, we are referring that we will be having around \$50 million base in the US market , so that guidance is including this drug?

Pranav Amin : Yes, so what is happening is the base business, it started including these new products because some old one has gone back down and this is there , so in that I am including this as well.

Bharat Celly: Sir, actually I am failing to understand one thing because this drug is almost like \$300 million drug or upward of that as per the IMS and only it is a two generic player market and yet our base numbers in that case ex of this drug might be much lower , so I

Alembic Pharmaceuticals Limited

August 04 , 2022

Page 18 of 19

don't know what exactly is happening in that front , whether Formoterol is relatively still a sizable chunk for us or not , it is very difficult to get clarity on that ?

Pranav Amin : Two things, one is we don't give products wise breakup , but if you realize that what the reported figure is , it could be gross sales versus what even looks like as net sales. So, we have to see that differentiation which is not necessarily captured all the time in IMS and that is why you are feeling that much larger products than it is.

Bharat Celly: And according to you what will be the net sales of that drug if you could provide?

Pranav Amin : So, I will just say we shouldn't give product wise guidance on the sales of our product.

Bharat Celly: Sir, I was referring to the overall market , how big?

Pranav Amin : As industry , I would say net sales would be about 20 to 40% or so, 20 to 30 % , depending.

Bharat Celly: 20 to 30% of \$300 million?

Pranav Amin : Whatever the gross sales, I am giving a range for the industry wise product.

Moderator: Thank you. We have the next question from the line of Akshata Rein from Green Portfolio . Please go ahead.

Akshata Rein: My first question was that CWIP is of Rs. 2,200 crore as on 31st March 2022 , can you please share what it pertains to and when are the projects scheduled?

Alembic Pharmaceuticals Limited

August 04 , 2022

Page 19 of 19

R. K. Baheti: We were discussing Akshata, we have these 3 facilities which we have did F3 was for injectable , oral soluble, as well as onco injectable , F4 for new formulation facility. So, all of these are WIP as none of them has gone to commercial production yet.

Akshata Rein : Also, can you please share Aleor's EBITDA percent and

Alembic 's EBITDA percent without Aleor ?

R. K. Baheti: The share in the result itself that we have some it has 10% EBITDA without earlier impact.

Akshata Rein : So, this might be naïve of mine , but could you please share why like in the table of Q4 FY22 , it doesn't show any change in revenue , I understand that Aleor was a subsidiary with 60% stake, so sales should have been added line -by-line, right?

R. K. Baheti: correct, i n that company, March itself we have acquired the balance 40% and now it is an 100% subsidiary. Currently, we are in process of merging Aleor with Alembic Pharma and the matter is with the honorable NCLT Ahmedabad .

Moderator: We have no further questions. I would like to hand it over to the management for closing comments.

R. K. Bah eti: Thank you everyone for joining this call. It is a pleasure and learning to be interacting with all of you and we look forward to interacting with you again in post Q2 results. Thank you for joining .

Moderator: On behalf of Alembic Pharmaceuticals Limi ted, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL : (0265) 2280550 , 2280880 ● FAX : (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 17th November, 2022

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai - 400 001

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 11th November, 2022

Ref: Our intimations dated 1st November, 2022 & 9th November, 2022

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 11th November, 2022.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Alembic Pharmaceuticals Limited

Charandeep Singh Saluja
Company Secretary

Encl.: A/a.

Page 1 of 18

"Alembic Pharmaceuticals Limited Q2 H1 FY23 Financial Results Conference Call "

November 11, 2022

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. SHAUNAK AMIN - MANAGING DIRECTOR
MR. R. K. BAHETI - DIRECTOR , FINANCE AND CFO
MR. MITANSHU SHAH - HEAD, FINANCE
MR. JESAL SHAH - HEAD, STRATEGY
MR. AJAY KUMAR DESAI - SENIOR VP, FINANCE

Alembic Pharmaceuticals Limited
November 11, 2022

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Alembic

Pharmaceuticals Limited discussion on Company's Q2 H1 FY23
Financial Results .

We have with us today, Mr. Pranav Amin - Managing Director; Mr. Shaunak Amin - Managing Director; Mr. R. K. Baheti – Director -Finance and CFO; Mr. Mitanshu Shah - Head, Finance; Mr. Jesal Shah - Head, Strategy; and Mr. Ajay Kumar Desai - Senior VP, Finance.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. R. K. Baheti – Director -Finance and CFO . Thank you and over to you, sir.

R. K. Baheti : Thank you. Good evening, everyone, and thank you for joining Alembic Pharma's second quarter results conference call. I know it has been a hectic day for you, a couple of pharma companies announced their results today . So, I will be short today. Let me briefly take you through the numbers for the quarter ended and half year ended 30th of September, though most of you might have received it by now. During the quarter, our total revenue was up by 14% to Rs. 1,475 crores, EBITDA was Rs. 231 crores , net profit was Rs. 133 crores. EBITDA margin for the quarter was 16%. For H1 FY23, the numbers are EBITDA Rs. 240 crores, net profit Rs. 67 crores.

You are aware that in Q1, we wrote -off a significant amount of amortized R&D expense of Aleor, the company which has been now merged with Alembic Pharmaceuticals. So, we continue to do that and in this quarter, that is in Q2, we have expensed out Rs. 16 crores out of previously amortized R&D cost and that makes it Rs. 131 crores of charge-off for the half year. If we would not have done that, our profit Alembic Pharmaceuticals Limited
November 11, 2022

Page 3 of 18

before tax would have been higher by Rs. 131 crores and profit after tax would have been higher by Rs. 108 crores. That is for the half year. Residual intangible assets and books pertaining to Aleor operations are Rs. 24 crores.

We hope in the next couple of quarters we will clean it up. EBITDA on a likewise basis would have been Rs. 338 crores without charging off these onetime expenses that would have been 12% of sales. This is for H1.

EPS for the quarter before non -recurring items is at 7.09 per share versus 8.34 of previous year and for H1 it is 8.93 versus 16.39 of previous year.

Turning to borrowings , our gross borrowings are Rs. 693 crores versus Rs. 630 crores in March 2022 and we have Rs. 65 crores of cash in hand. March 22 was almost identical amount of Rs. 61 crores. So, net debt equity stands still very comfortable level, 0.13.

I will request Shaunak to take you through India branded business. Shaunak, over to you.

Shaunak Amin: Good evening, everybody. This quarter for the India business, the topline was 8%, which reflects us to be in line with the Industry. As per last year, we did have a large sale of Amphotericin -B primarily to deal with COVID related fungal infections as a service. So, we did launch that. If I were to take that out, our growth jumps to 11%.

Both specialty as well acute care, a good double -digit growth with 10% in Specialty, largely driven by gynecology, anti -diabetic and ophthalmology. Ophthalmology is outperforming specialty areas and the balance of the growth is driven by the acute, which is growing at 11%.

Along with that, the animal health care business continues to show a strong better performance clocking in 15% growth for this quarter.

Alembic Pharmaceuticals Limited
November 11, 2022

Page 4 of 18

The growth for this quarter

as our business was in line with the industry and with IMS numbers and if I were to take up primary number versus the IMS number, we do continue a degree of outperformance. That being said, I think going forward, we continue to maintain and extremely confident of outperforming the market growth numbers on a consistent basis.

I will hand it over to Pranav now for his presentation on the international side.

Pranav Amin : Thanks, Shaunak. It was an interesting quarter for the international business, especially the ex-US and API business both had a decent quarter, especially considering that they are coming off a high base of last year. The US business continues to remain challenging and a lot of oversupply in the market and a lot of price erosion due to that. In spite of that, we managed to grow the business by 20% in the quarter. This was due to some onetime opportunities that we had in the market.

The sale for the current quarter in the US was \$52 million. We continue to remain focused on this on the long term of the US business.

As we announced, we have got first of our 3 ANDA approvals from the two injectable sites. Though the site approvals are pending, but product approvals have started flowing in. So, that is promising.

Our R&D expense is Rs. 168 crores. If you see ex of the onetime Aleor products R&D charge-off, it is Rs. 151 crores, which is 10% of sales in the quarter. We have been guiding for low R&D in the future and this is a trend that we will see going forward as well.

We filed 5 ANDAs during the quarter and cumulative ANDA filings are 242.

We also received 3 approvals during the quarter.

We launched 5 products in the US during the quarter and hopefully we will launch another 10 at least in the rest of the year.

Alembic Pharmaceuticals Limited

November 11, 2022

Page 5 of 18

The US FDA, as I mentioned, had conducted inspection at our injectable facility at F3 where we had 2 observations and at F2, our oncology facility, had 4 observations, but as I said earlier, we have started receiving product approvals from these facilities, so that is promising.

The US generics grew by 20% and the ex-US generics grew by 9%, whereas the API business had a very good performance and grew at 23%.

I will open the floor open for questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Prakash Agarwal from Axis Capital. Kindly proceed.

Prakash Agarwal: First question is on the expenses side, so quite a bit of cost control here, I wanted to understand what is the capitalized cost sitting for all the facilities put together and given that you have received approval, I am sure you are launching soon, if not already and how would the cost start to go up from here?

Mitanshu Shah : The capitalized cost is Rs. 1,100 crores for all the three plants, F2, F3 and F4. The yearly spend is around Rs. 200 odd crores in the expenditures and once we start commercial use, for F2 and F3, this cost would be in vicinity of Rs. 300 crores, including depreciation.

Prakash Agarwal: So, yearly you said Rs. 200 crores I heard that, and then INR 300 crores?

Mitanshu Shah : Yes, with depreciation, Rs. 300 crores.

Prakash Agarwal: Put together?

Mitanshu Shah : Yes.

Prakash Agarwal: And yearly Rs. 200 crores for all the 4 facilities?

Alembic Pharmaceuticals Limited

November 11, 2022

Page 6 of 18

Mitanshu Shah : That is true.

Prakash Agarwal: No, I was asking going forward, what is the kind of expenses we should start penning in given the approval and launches will start from the injectable plant?

Mitanshu Shah : So, Prakash, this is exactly what I said , put aside F4, let us take F2 and F3. Then the running cost is around Rs. 160 crores -Rs. 170 crores, which is like cash burnout, okay , that is overhead and

then you have to add another Rs. 100 crores as depreciation.

Prakash Agarwal: So, of the Rs. 200 crore, Rs. 160 crores is for the first 2 plants, is that what I understand?

Mitanshu Shah : Yes.

Prakash Agarwal: And congrats on the approval that has started , just trying to understand for the opportunities , do you still left on these products and will you plan to launch that?

Pranav Amin: We will probably launch in Q4 of this year. In terms of Ketorolac while there are people in the market, it continues to remain in shortage on and off. So, there would be an opportunity to get some share. Paclitaxel is also a large volume. So, that is also an interesting product on the oncology side. Right now , we are seeing some shortages in a few SKUs of Paclitaxel as well and the third is Glycopyrrrolate. That is a smaller product, which would be interesting.

Prakash Agarwal: And we should start seeing more , the kind of filings you have done would range, in the past, you mentioned that to start with, it will be smaller and basic products, but you would have complexity going ahead , so when should we start seeing the complex product approvals or they are still in the filing stage?

Pranav Amin: Just right now and this is in the basket, Prakash , but a few things, yes, we do have some interesting products, hopefully, in another 6 months or 12 months, we should see some interesting ones. A lot of the other
Alembic Pharmaceuticals Limited
November 11, 2022

Page 7 of 18

filings are also going on. A lot of our filings were delayed this last 12 months due to the FDA remediation. So, hopefully that pace will also pick up soon .

Moderator: Thank you. The next question is from the line of Sumit Gupta from Motilal Oswal. Kindly proceed.

Sumit Gupta: I would like to know the outlook on the US generics like what kind of price erosion that you are witnessing?

Pranav Amin: The US business is the most competitive I have seen it at least in the last 10 years or so. There is a lot of oversupply in the market. I don't know what the blended price erosion would be for the portfolio , I am assuming it will be high teens , but product -wise, if we see, I am seeing erosion of upwards of 30% in specific products.

Moderator: Thank you. The next question is from the line of Bharat Celly from Equirus Securities.

Bharat Celly: So, sir, just wanted to understand, since we have already started getting approval from the new facility , so I just wanted to get a color , how many ANDAs are pending approval from F2 and F3 injectable facilities largely?

Mitanshu Shah : We have got like 34 filings actually between these 2 facilities and then we have got another 17 odd filings from the CMO, which eventually we will bring to these facilities, so 50 odd at this point in time.

Bharat Celly: And this 50 include on oral as well or it is just injectable?

Mitanshu Shah : Yes, it does cover orals

Bharat Celly: So, if I just talk about the injectables, not oral s solid, so how many products that would be?

Mitanshu Shah : We have around 7 -8 filing for OSD .
Alembic Pharmaceuticals Limited
November 11, 2022

Page 8 of 18

Bharat Celly: So, large part is injectable in that case ? Is it correct?

Mitanshu Shah : Yes.

Bharat Celly: And second on the overall US pricing , so are you seeing that the overall

pricing pressures have started cooling off from the quarterly perspective, quarter -on-quarter perspective? I believe year -on-year, it may look still high, but on quarter -on-quarter basis, are you seeing some cool down?

Pranav Amin: Not really, to be honest, as I mentioned, even quarter -on-quarter basis, we are seeing price erosion compared to last year. It is just that there is too much supply in the market. So, even quarter -on-quarter, we are seeing price erosion.

Bharat Celly: And last one from my end , so we have even settled for Revl imid, s o w

hat are the timelines for us to launch? If you could give some color, whether it is separate 24 launch or whether 25 , if you can give some color ?

Pranav Amin: So, we are not in the first to second wave for Revlimid , we are way behind. Revlimid is far off for us. We were late to the game.

Moderator: Thank you. The next question is from the line of Sumit Gupta from Motilal Oswal. Kindly proceed.

Sumit Gupta: I would like to know about the Brovana, which was commercialized, like what kind of traction that you are seeing?

Pranav Amin: This is the product we commercialize d through CMO. We are gradually picking up share. It is a good market still and we have picke d up some share. W e must have got 10% or so market share right now.

Sumit Gupta: So, can you guide like what kind of market share is there? Or what is the market size?

Alembic Pharmaceuticals Limited
November 11, 2022

Page 9 of 18

Pranav Amin: I don't have that figure with me on hand, I will have to just double check and get back to you.

Moderator: Thank you. The next question is from the line of Jainil Shah from JM Financial. Kindly proceed.

Jainil Shah: I just wanted to ask on the API front , we have grown really well , so what is driving this growth and how should we look at it going forward?

Pranav Amin: The API business has been a good business for us. We are focused on quality and timelines kind of thing s and as the world is looking at better suppliers with compliance facilitie s, we have been able to do that with our service levels. I had mentioned earlier in the year or everywhere, so we expect the API business to go about 10% during the year. This was an exceptionally high quarter where we had about 23% growth , but yes, 10% is a fair enough growth as expected in the API business.

Jainil Shah: And on the US front, you did mention that there were certain onetime opportunities , so ex of that, what would be our sustainable US based business run rate?

Pranav Amin: Again, as I have said in the calls earlier, about \$45 million to \$50 million, anywhere between that is a sustainable US run rate. It really dep ends if you lose out an award or what we get or how the pricing behaves, but \$45 million to \$50 million is what I am seeing curren tly.

Jainil Shah: And when, in your view, it could change and we could move to a higher base of \$55 million ?

Pranav Amin: Yes, i t is a good question and I hope we can go soon, but it is going to take some time. Only way it will happen is as we get more products in the market and slowly, get market -based opportunities , once some of the injectables come in, that is the second thing. Thirdly, if there is disruption in the market, right, as I have been saying, there is a lot of supply in the market currently , but we may see some disruptions going

Alembic Pharmaceuticals Limited
November 11, 2022

Page 10 of 18

forward. Once that happens, there will be opportunity for some price . You can get some really better prices and some market share as well. So, I will say a couple of quarters, at least, we will be stable.

Moderator: Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Kindly proceed.

Nikhil Mathur : Sorry, I have joined late, so I am not sure if this question has been asked. So, now we are seeing some products getting approved from the onco -injectable facility , so does that mean that some part of OPEX and depreciation which was capitalized start hitting the P&L from 3Q onwards?

Mitanshu Shah : Once we start taking the commercial batch, that would be the due date on that. We won't capitalize it and it would be part of expenses. So, we can expect that to happen by Q4.

Nikhil Mathur: And in the last call, the numbers mentioned that within the P&L, around Rs. 100 -Rs. 200 crores falls on the OPEX side and I think Rs. 180 odd crores on the depreciat

ion side, are these numbers right? Am I reading the right number there? Though I think the buildup will be a bit more steady than everything coming at one go?

Mitanshu Shah : Yes. Nikhil, that one was for all the 3 plants, F2, F3 and F4 actually. So, somebody has just asked, Prakash asked this question, that was the first question . It was , for these 2 plants, the expenditure is around Rs. 160-Rs. 170 crores, which is a cash burn and then Rs. 100 crores of depreciation for these 2 plants.

Nikhil Mathur: And also do you mind commenting on , I don't know, you might have shared it, but if you can reiterate it , what is the R&D outlook? What is the spend on a quarterly basis that we are looking at from there on ?

Pranav Amin: The R&D outlook, this quarter, the total R&D was Rs. 1 68 crores, which includes the Aleor. As I mentioned in the start of the year, we will get through an R&D about Rs. 650 odd crores this year including the Aleor
Alembic Pharmaceuticals Limited

November 11, 2022

Page 11 of 18

R&D and then we will be flat, but we will try reducing it a little bit going forward as well.

Nikhil Mathur: And then one final question , India has done reasonably well on a pretty strong adverse base , I mean 23% growth versus last year same quarter, this quarter is 8% growth , are they the usual products that are there in the portfolio or some new products are picking up and that has contributed too, that has been recorded?

Shaunak Amin: It is a combination of both. On the acute side, we have had some, obviously the traditional brands have done well despite the markets being quite flat based on all the brand building efforts we put in the last one year. On the Specialty side, yes, the traditional portfolio also has done well , but there have been some very good launches in the gynecology space for us along with a couple of good launches in the anti-diabetic space. It is a combination of both drugs driving it.

Nikhil Mathur: And there will be usual seasonality in second half, right, wherein 3Q and 4Q would be weaker than 2Q , I mean the normal seasonality that happens in your portfolio?

Shaunak Amin: Historically, yes, traditionally Q2 is the highest in terms of phasing , but more and more with the weather patterns and the climate changing and also with delayed monsoons, these trends are changing where Q2 and Q3 seem to be almost blending into each other per se. So, yes, there is a biasness in the products and all that used to be.

R. K. Baheti: Also, Shaunak, as our revenue percentage from specialty segments are going up, the impact on us, on Alembic Pharma, the seasonal impact now gradually would go down.

Shaunak Amin: Yes.

Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial. Kindly proceed.

Alembic Pharmaceuticals Limited

November 11, 2022

Page 12 of 18

Cyndrella Carvalho: Sir, if we look at the other expenses for this quarter, is there any kind of one-off or is there any kind of additional trend which has come only in this quarter? And do we see the opportunity to have some rationalization in this number going ahead?

R. K. Baheti: Except the Rs. 16 crores which I said, we charged in this quarter, which

was out of previously amortized R&D expense of Aleor, there is nothing one-off and this quarter our numbers are okay. I don't think there is any exceptional debits or high number.

Cyndrella Carvalho: Any scope to improve it further, sir?

R. K. Baheti: I cannot say that. Effort to contain expenses continues. The particular area of focus at this moment is of course R&D, but it takes time because when you evaluate projects, you decide what to continue, what to drop. Even when you decide to downsize, it takes time, so it is a process that will not happen overnight, but we are constantly at it.

Cyndrella Carvalho: Any quantum that we would

like to specify over a year, any certain amount that we would expect due to these activities?

R. K. Baheti: On an annualized basis, we plan to save about Rs. 100 crores this year versus what we spent last year.

Cyndrella Carvalho: And sir, if we look at the domestic business, you did mention that the seasonality has been not the factor going ahead, so how is the chronic segment doing?

R. K. Baheti: Shaunak would respond, I didn't say that there is no impact. I said that impact now is getting diluted because our specialty business is showing a higher percentage of business, but of course we still have about 35% of the business from acute. So, there will be some impact, but Shaunak, would you like to talk about specialty business growth?

Shaunak Amin: For this quarter, I mentioned them in the call, the specialty overall we will call it, at 11% growth. Going forward, I expect this to significantly ramp up, especially this is again in the CVD space. We have had quite

Alembic Pharmaceuticals Limited

November 11, 2022

Page 13 of 18

a few new launches and some of these new launches have diverted focus from our traditional brands, so little bit of impact has happened in that process, but like I said, our Specialty business could be clocking in a very strong double-digit growth more or less given the market doesn't turn into a very low growth kind of situation.

Cyndrella Carvalho: Any new products that you see apart from what we have discussed?

Shaunak Amin: We have had a couple of launches in the gynecology space and we have had couple of launches in the diabetology space, but these were launched in this quarter, most of these products were launched over the last 6 months.

Cyndrella Carvalho: And if we can get some more detail on the API segment, which products are these, which are doing well?

Pranav Amin: It is tough to give you difference for each product. There is no particular product per se, but the entire basket because we sell the basket across territories and no particular territory also. We have seen very good growth across all the territories all over the world that we are selling.

Cyndrella Carvalho: Any particular therapy that you can highlight, if not?

Pranav Amin: API, we don't go by therapy wise, we just go by what makes commercial sense and what our capabilities are.

Cyndrella Carvalho: And any benefit of raw material easing or logistic cost easing that we see which would slow in coming quarters?

Pranav Amin: No, not at all. Actually, the logistics costs have been pretty high and we are not seeing any easing of that as of yet.

Cyndrella Carvalho: Even on the raw material side, it is a similar scenario?

Pranav Amin: Yes, and there is no easing on any of the costs.

Alembic Pharmaceuticals Limited

November 11, 2022

Page 14 of 18

Moderator: Thank you. The next question is from the line of Bhagwan Chodhary from Sunidhi Securities. Kindly proceed.

Bhagwan Chodhary: Sir, how many filings we have done from the F4 and when do we expect this facility to get the approval from US FDA side?

Pranav Amin: F4 is another oral solid OSD facility. We have done 2 site transfers and 1 filing from F4. We will wait until the FDA comes to audit and then we will add more products over there.

Bhagwan Chodhary: And sir, in terms of F2 and F3, do we have the filings in EU and other

countries than the US?

Pranav Amin: No, not as yet. Our goal is to do some filings for these 2, but the priority was first to take on the US, which we have done, and now we will extend it to other territories as well.

Bhagwan Chodhary: When we got the approval, this Mesalamine franchisee, can you please share what is the market opportunity and size for this product? And have we launched it?

Pranav Amin: No, we haven't launched it as yet. Volume-wise, it is not a very large product. There is about 5 to 7 people

already in the market, but it is an interesting opportunity and we will launch it in Q4.

Bhagwan Chodhary: And sir, lastly, have we filed or have we got any approval on the Derma and Ophthal and if not yet, by what time we can expect?

Pranav Amin: No, Derma, we have already got, we have got about good 15 odd products, which have got approved from the Derma facility and which already commercialized, which we are already selling in the market. Even ophthalmic, we have got about 10 to 15 ophthalmic products, which are approved. These, of course, the first phase of ophthalmic were all filed from a CMO, not from our own facility, but even from our own facility, we have some filings which hopefully in the next 2 quarters, we will see some approvals coming from there as well.

Alembic Pharmaceuticals Limited

November 11, 2022

Page 15 of 18

Bhagwan Chodhary: And this Derma is from the F1?

Pranav Amin: No, Derma is separate because Derma was a separate company, Aleor, which we amalgamated. So, it is from that facility. So, we don't call it F1, F2, F3, we just call it Aleor.

Bhagwan Amin: And for Ophthalmic, this is from which facility?

Pranav Amin: That is from, I would say it is CMO.

R. K. Baheti: Our own line in F3.

Moderator: Thank you. The next question is from the line of Puneet Pujara from IIFL Securities. Kindly proceed.

Puneet Pujara: I have a couple of questions, starting with preoperative expenses, so how much of this Rs. 1,100 crores would pertain to F2 and F3, which will charge to P&L once the facilities are commercialized?

Mitanshu Shah: So, almost Rs. 950 crores pertain to F2 and F3.

Puneet Pujara: Now, we saw some good growth in our anti-diabetes franchise in India, currently we have launched Sitagliptin after the patent expiry, so how has been the traction so far? And can you speak a little bit about market formation?

Shaunak Amin: Sitagliptin, it is too early. It has just been launched. It is hard to give you an indication at this point in time, but just we had launched it and we are getting good traction, but I would honestly like to comment on market formation, maybe a quarter down the road because it is literally like 1 or 2 months is very hard to kind of gaze what is going on because most of the Sita and the Sita combos were launched in the current quarter.

Puneet Pujara: And Gynec therapy has also done well, so do we have any launch of Dydrogesterone product?

Alembic Pharmaceuticals Limited

November 11, 2022

Page 16 of 18

Shaunak Amin: Yes, we already have a brand in the market. We were part of the second phase that launched Dydro. Of the current launches of that second phase launches, we already reached number fourth rank and we are getting tremendous traction on it and are quite confident of building it because of our leadership position in gynecology as a therapy area, we are getting extremely strong traction and we continue to keep building in this product.

Puneet Pujara: So, given that you have launched Dydrogesterone and Sitagliptin after the patent expiry, I understand that we are targeting on molecule then go off patent and do we intend to launch Sacubitril/Valsartan which is heart failure therapy after the patent expiry?

Shaunak Amin: Yes, so Sacubitril/Valsartan combo we are planning to launch and we are quite gung-ho on it. The challenge with Valsartan/Sacubitril is only that there are multiple SKUs in this product. So, it is not a single product launch, but we are gearing up for that. Immediately on expiry, we are ready to launch all the SKUs.

Puneet Pujara: And do we intend to expand to support these launches?

Shaunak Amin: At this point in time, from the existing divisions, we have limited space now remaining with the amount of launches we have done. At this point in time, for Valsartan/Sacubitril, we are looking at a specialized task

force just to launch this product, looking at the unique specialty nature of it as well as the opportunity that it puts forward. So, yes, we will be launching a fourth task. Fourth division, it should be like a task force to just to launch Valsartan/Sacubitril and more so to address the whole heart failure market.

Puneet Pujara: And would you like to quantify the number?

Shaunak Amin: I will let you know next time when we meet, post launch.

Puneet Pujara: And given that the peers are commenting that freight cost have been moderating and our comment suggest that it is not the case, so it is

Alembic Pharmaceuticals Limited

November 11, 2022

Page 17 of 18

because of the mix of air freighting and sea or is it something else going on?

Shaunak Amin: This is only an international point, right, not domestic.

Mitanshu Shah: Yes, like, bulk of our shipments are sea shipments, but we have seen a major cost escalation on the sea shipment for the last 5 quarters now and if that has not taken respite. It continues to be at a very high level.

Puneet Pujara: But from the current quarter, the container cost should moderate, right?

I mean some of the peers are indicating that?

Mitanshu Shah: We have seen a very mild reduction, but if you see what was there 7 quarters back and today, I mean, there is no comparison. It is still very high.

Puneet Pujara: And the last question is on the US side, so given that we got approval for Asacol HD which is an NLEM product, are we in the process of developing/filing Asacol HD or Pentasa, both are really limited competition product?

Pranav Amin: We don't really disclose any of our filing grid, what we are or we aren't filing. So, I mean if we get approval, then you now we have it.

Puneet Pujara: So, without putting any name, do we intend to file any other NLEM product like Asacol, Pentasa?

Pranav Amin: We keep evaluating product if it is an interesting opportunity, we will file and if it is still an interesting opportunity, we will file. If there is no competition, we may not.

R. K. Baheti: Coordinator, I think there are no new questions, there are some follow-up question which I think Mitanshu can take up with them separately. If there are no new questions on the whole, we can conclude the call.

Alembic Pharmaceuticals Limited

November 11, 2022

Page 18 of 18

Moderator: There are no new questions in the queue right now. I would now like to hand the conference over to Mr. R. K. Baheti, Director -Finance and CFO for closing comments.

R. K. Baheti: Yes, thanks. I can understand lesser number of questions this time because it is a Friday evening and guys you have attended almost multiple calls but thank you at the same time for all of you who have joined and an interesting session, and look forward to seeing, interacting with all of you next quarter. Thank you.

Moderator: Thank you. On behalf of Alembic Pharmaceuticals Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL : (0265) 2280550 , 2280880 ● FAX : (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 7th February, 2023

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 1st February, 2023

Ref: Our Intimation dated 19th January, 2023

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 1st February, 2023.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Alembic Pharmaceuticals Limited

Charandeep Singh Saluja
Company Secretary

Encl.: A/a.

Page 1 of 17

"Alembic Pharmaceuticals Limited
Q3 FY '23 Earnings Conference Call"
February 01 , 202 3

.

MANAGEMENT : M R. PRANAV AMIN – MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR , FINANCE AND CHIEF
FINANCIAL OFFICER
MR. MITANSHU SHAH – HEAD OF FINANCE
MR. JESAL SHAH – HEAD OF STRATEGY
MR. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT

Alembic Pharmaceuticals Limited
February 01, 202 3

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '23 Earnings

Conference Call of Alembic Pharmaceuticals Limited. We have with us

today Mr. Pranav Amin, Managing Director; Mr. Shaunak Amin, Managing Director; Mr. R.K. Baheti, Director, Finance and CFO; Mr.

Mitanshu Shah, Head of Finance; Mr. J esal Shah, Head of Strategy;

and Mr. Ajay Kumar Desai, Senior VP Finance.

As a reminder, all participant lines will be in the listen- only mode, and

there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the

conference call, please signal an Moderator by pressing star then zero

on your touchtone phone. Please note that this conference is being

recorded. I now hand the conference over to Mr. R.K. Baheti. Thank

you and over to you, sir.

R.K. Baheti: Thank you, Yashasvi. Good afternoon, everyone. Thank you all for

joining our third quarter results conference call.

During the quarter, our total revenue was up by 19% to Rs. 1,509 crores.

EBITDA was Rs. 236 crores and net profit is Rs. 122 crores. EBITDA

margin for the quarter was 16%. For 9 months FY '23, EBITDA was Rs.

476 crores and net profit was Rs. 189 crores .

The Company, like in the previous few quarters, continue to expense

out previously amortized R&D (in erstwhile Aleor -- now Derma

division), amounting to Rs. 13 crores in the current quarter and Rs. 144

crores for 9 months period. The Company's profit before tax would have

been higher by Rs. 13 crores in the quarter and Rs. 144 crores in 9

months and profit after tax would have been higher by Rs. 11 crores

and Rs. 119 crores respectively before considering this effect.

Residual intangible assets in the books is now Rs. 11 crores.

Our consolidated profit before tax would have been Rs. 168 crores and

Rs. 382 crores for Q3 and 9 months period respectively before

considering the above effect .

Alembic Pharmaceuticals Limited

February 01, 2023

EBITA on likewise basis for 9 months FY '23 would have been Rs. 574 crores, which is 14% of sales.

EPS for the quarter before non -recurring item is Rs. 6.76 per share

versus Rs. 8.74 for the previous corresponding quarter, while for 9

months, it is Rs. 15.68 per share versus 25.39 in the previous year .

Our gross borrowing continues to be in almost the same zone; as on

31st of December, it is Rs. 686 crores. As on March 22, it was Rs. 630

crores.

We have cash on hand of Rs. 146 crores. In March '22 it was Rs. 61

crores. Net debt equity gets further improved to 0.10.

Now I would request Shaunak to take you through the India business presentation. Shaunak .

Shaunak Amin: Yes, thank you Mr. Baheti. Good afternoon, everyone.

For the quarter, we continued with the same level of performance. We

had a topline growth of 12% . We did Rs. 545 crores for the quarter.

As per the IQVIA, Industry grew by 10% and Alembic reflected as 15% growth, which is outperformance compared to Industry.

On the Specialty segment, our performance was significantly higher.

We recorded 14% growth versus 10% growth in the Industry which is

largely driven by three key therapies, gynecology, anti -diabetics and ophthalmology.

In Q3, the Acute part of our business grew by 21% versus Industry growth of 11%.

In Anti-infective we recorded 24% versus 12% for the Industry

In cough and cold, which is another large important segment for

Alembic, we grew by 16% versus Industry growth of 10% as per the IMS.

Alembic Pharmaceuticals Limited

February 01, 2023

Animal healthcare continues to run a strong performance by recording a growth of 19% over last year Q3.

I will hand over the discussion to Pranav for his comments on the International B business.

Pranav Amin: Thanks Shaunak.

The US business, as you

all know, it continues to remain challenging on account of the competitive intensity, but we managed to grow the business by 10%, some of it was due to the current strong flu season that we saw in the US. Our goal is to work on improving the efficiencies and execution in the midterm. We are looking at cost reduction, as well as reducing R&D going forward for the US market.

R&D expense is Rs. 157 crores, an expense of one-time Aleor product write-off is Rs. 144 crores, which is 10% of sales in the quarter, whereas for the nine-month period, R&D expense is Rs. 586 crores and expense of the Aleor one-time, it is Rs. 442 crores, which is also 10% of sales.

We filed 4 ANDAs during the quarter and cumulative ANDAs are 246.

We also received 9 approvals in the quarter and cumulatively have 178 ANDA approvals. We launched 2 products in the US and plan to launch another two in the fourth quarter.

In terms of regulatory agencies and compliance, the USFDA conducted an inspection at our Onco facility F2 and issued four observations. We have replied to the observations already and sent the responses. After that, we have already received three ANDA approvals from this particular site.

That USFDA also inspected a new oral solid dosage facility F4 in December. They have issued five observations. We have sent our responses, and we have already received approval for one product from this facility.

Alembic Pharmaceuticals Limited

February 01, 2023

Page 5 of 17

In terms of pure numbers, as I mentioned, the US generics grew by 10% to Rs. 432 crores for the quarter and 10% to Rs. 1,200 crores for the nine-month period. In dollar terms, we were at \$52 million, which was a growth of about 1% or the quarter.

Ex-US generics grew by 7% to Rs. 206 crores for the quarter and it grew by 3% to Rs. 602 crores for the 9-month basis.

The API business had a good quarter, robust quarter and grew by 65% to Rs. 326 crores for the quarter, and it grew by 19% to Rs. 853 crores for the nine months. What's important is both the ROW and the API business had both come off strong base of the last year. Hence, it's been a decent performance in these verticals.

With that, I'd like to open the floor open for Q&A. Thank you

Moderator: We have a first question from the line of Prakash Agarwal from Axis Capital.

Prakash Agarwal: First question on, you had some 7 to 9 approvals and there are two launches. So, are we waiting for the launches for the new facilities that we have already started running in January to March quarter? And if so, the expenses quarterly run rate would be how much?

Pranav Amin: Prakash, from the new facility, we haven't launched as yet. We will launch from one of the facilities in the quarter, hopefully this month and the rest are in progress right now. So, we will see from F2 i.e. Onco facility is where we will launch this quarter.

Prakash Agarwal: And this Diclofenac product is from have we launched this and from which facility is it?

Pranav Amin: Diclofenac is Aleor product, and we haven't launched this yet. It should be in the next couple of weeks as we launch it.

Prakash Agarwal: So can this be sizable on our list?

Alembic Pharmaceuticals Limited

February 01, 2023

Page 6 of 17

Pranav Amin: It's a decent product. As far as I believe I don't have the exact figures, but it's a good product with decent opportunity.

Prakash Agarwal: Okay. And what would be the quarterly run rate since you start -- Aleor

is already on, I think, in terms of expensing, but a couple of other facilities also understand they will start expensing out or ?

R.K. Baheti: Up to 31st of December 2022, no expense was charged off. It continued to get capitalized because the commercialization of these facilities will start from this quarter onwards. And we will start charging off as and when they get into the commercial product

on. But as was informed by Mitanshu earlier multiple times, our annual run rate on all these facilities is about Rs. 200 crores.

Prakash Agarwal: Rs. 200 crores all the facilities put together?

R.K. Baheti : All the facilities together. Yes

Prakash Agarwal: But it will be not fair to understand that it would be a Rs. 50 crores kind of cost every quarter. It will be in tranches before it touches the run rate of Rs. 50 crores, right?

R.K. Baheti : That's right.

Mitanshu Shah : Prakash, Mr. Baheti is talking about cash expenses here of Rs. 200 crores, and that would be another depreciation on that.

Prakash Agarwal: Yes, operating expense and the depreciation on the overall gross loss.

Mitanshu Shah : Yes.

Prakash Agarwal: And this gross loss pertains to how much, is it in the range of Rs. 2,000 odd crores?

R.K. Baheti : We have about Rs. 1,200 crores of hard assets and the rest is -- accumulated pre-op expense.

Alembic Pharmaceuticals Limited

February 01, 2023

Page 7 of 17

Prakash Agarwal: And this product also, this Pregabalin also comes from Jarod. So that also you're awaiting EIR or it should be ready for launch for this quarter?

Pranav Amin: So Pregabalin is a product that we are already selling currently from an existing facility, the F1 facility. It's already commercial product. This was

transfer that we did from here. So we'll just decide when to start commercial operations from F4. We'll probably bundle up a few products together and then we start the commercial operations.

Prakash Agarwal: Yes. So there's no worry there. Okay.

Pranav Amin: Yes, there is no worry there.

Prakash Agarwal: And lastly, on the API part is doing fairly good. So you mentioned that fiscal '23, there is sufficient visibility. If we want to look at beyond and how does it look?

Pranav Amin: This quarter is little lumpy because as you know, we do a CMO business for a large MNC and sometimes those orders come once in a while. So that was a big chunk of that order came in this quarter. But excluding that also, there's been a growth of about 30%, 40% if you take that part of it out. On a year-on-year basis, as I've been saying, the API business should grow at least by 10% to 15% for the year.

Prakash Agarwal: From fiscal '24, you mean.

Pranav Amin: I think we're seeing that trend. I'm seeing that so even next year, you'll see about it, I would expect it at least a 10% growth in the API business.

Prakash Agarwal: But this run rate is possible in Q4 also?

Pranav Amin: No, it won't because as I said, it's really lumpy. There was one big business that we had and then a few more dispatches in this quarter.

Sequentially, it is if we take a one-off, it's still lower than last quarter.

Prakash Agarwal: But year-on-year growth is possible?

Pranav Amin: Yes, Yes, absolutely.

Alembic Pharmaceuticals Limited

February 01, 2023

Page 8 of 17

Moderator : We have our next question from the line of Damayanti Kerai from HSBC.

Damayanti Kerai : My question is for Pranav. So you mentioned in your opening remarks that, due to persistent challenges in the US market, you'll be more efficient in R&D costs going ahead. So what's your thought process here? Because right now also we are spending around 10 % of top line towards R&D. So, how or where you can bring efficiencies? And if you can also tell us like what kind of returns you are seeing over for investments, which were done, say, last four, five years back? That's my first question.

Pranav Amin: Yes, two things, one is we are reducing R&D spend, we're trying to optimize the projects that we have in terms of R&D in terms of short -

term issues that we're facing in the US market. Some of the high-risk projects we are putting on the back burner. At the same time, we're also increasing some of our projects for the ROW markets because there, we've been doing pretty well and con

sistently growing at about 10% for the last few years. So, we will start adding projects there as well.

R.K. Baheti : Sorry, on a percentage basis, a couple of quarters back, I think last year, it was about 14% of sales, which has come down to 10%. But also, that's not a right reflection because sales is a depressive if I can say so because of the US situation. Volumes have gone up, but the price realizations are low. In absolute number, in spite of all these cost increases, inflation, we have reduced the expense. And we will further prune the projects and prune the fixed costs so that effect or that impact would come in '23 - '24. That's what Pranav wanted to convey. It's very difficult to do that ROE analysis of R&D because a couple of products can take care of the entire R&D expense. But you are right, I mean, many of these new launches, which we have done in recent past, except a handful of them, have not been great success because of the price erosion.

Alembic Pharmaceuticals Limited

February 01, 2023

Page 9 of 17

Damayanti Kerai : I just wanted to check any number in your mind like where you would like to build down your R&D as a percentage of sales say three years from now?

R.K. Baheti : Like the scale up takes time, even the pruning takes time, you need to do it carefully. But we can target a reduction of 15%, 20% from the current cost in the next year.

Damayanti Kerai : Next year expense 15%, 20% reduction can be seen in the R&D cost from current level ?

R.K. Baheti : Yes.

Damayanti Kerai : Baheti, sir, I have just one clarification on tight residual R&D for Aleor.

So you mentioned INR 11 crores is remaining, which will be say done in next quarter or so and after that, nothing is left on the...

R.K. Baheti : Yes, that's it. You are right.

Damayanti Kerai : My second question is on input cost pressure. So can you comment like, what are we seeing in terms of pricing trend for raw materials, seed costs, etc etc compared to last year quarter ?

R.K. Baheti : In international business, we have not seen a significant increase in raw material cost. But as a percentage of sales realization, the cost has gone up largely because, as I said, largely because of erosion in prices.

In domestic market, as far as this quarter is concerned, they are pretty stable, they're still not gone to the pre-COVID level, they are stable or have come down a bit for the domestic market.

Damayanti Kerai : And my last question is on India business so most of the therapies, you have seen outperformance versus the market except gastrology. So anything specific to call out there?

R.K. Baheti : So Shaunak, are you responding or you want me to continue?

Moderator : Sorry, you not audible. Damayanti, can you use your handset, please?

Alembic Pharmaceuticals Limited

February 01, 2023

Page 10 of 17

Damayanti Kerai : Yes, so I was just asking like anything specific on the Gastrology segment where we have seen as a store performance versus the market growth?

R.K. Baheti : So you are right. I mean you have observed correctly. Gastrology is the only probably large division where we have done less than the market and less than our own expectation. There were some leadership issues. There were some inventory issues of old times. We have done all these corrections and we expect that '23, '24 should be much better results for that division also.

Moderator : We have our next question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Just a clarification first, the one-off that has been called out with respect to only Aleor or is there anything else? I joined the call late. So, if you could clarify ?

R.K. Baheti : It's only Aleor, that's only Rs. 13-odd crores this quarter.

Tushar Manudhane: And just secondly, among the peer side, a couple of companies have got significant regulatory issues and that

has to some extent led to shift of the supplier base, particularly on the injectable side. So, are we going to see a good business benefit out of it? I mean historically, we definitely have tried to do a good benefit of such event. So, anything going forward?

Pranav Amin: It's a good question. Strategically where we've done well is when there are regulatory issues in the industry that leads to shortages. And we've been able to do well on the shortages when we do see it. Injectables are still early days for us because it's just that we just got the first few product approvals. Once we commercialize it and then once our rest of our portfolio earnings pick up in injectables, yes, definitely, we could see that. Strategically, one of the reasons we did get into injectables is because there has consistently been shortages and compliance issues. So we

Alembic Pharmaceuticals Limited

February 01, 2023

Page 11 of 17

thought there would be opportunities. So long run, yes, we do hope to see some.

Tushar Manudhane: So anything over the next 12 to 15 months, given that or let it be other given current quarterly run rate of INR 50 crores, INR 52 crores, how do we see FY '24?

Pranav Amin: It's tough to say right now. The whole thing depends on how the new launches go. Like this time, as you've seen, we've got about in rupee terms, a 10% growth. That's predominantly because while we had erosion in the quarter compared to last year, but we also had some new launches that picked up some steam. So, it's a combination and with injectables, as we launch more and more injectables, that will keep adding to our basket. Of course, FY '24 will be a little tougher one because we will have a little bit of a pressure on the profit due to the

two new facilities coming up on stream.

Tushar Manudhane: But that is because of taking expenses from balance sheet, which you earned, but the opportunities on the US side, you...

Pranav Amin: Yes, absolutely.

Tushar Manudhane: Okay. For the next 12 to 18 months?

Pranav Amin: Yes, yes, absolutely.

Moderator : We have a question from the line of Rahul Jeewani from IIFL Securities.

Rahul Jeewani ; Allow me for the bad throat which I'm running. But sir, with this rationalization in R&D expenses, which you are targeting for next year, do you think that you can offset the incremental operating expenses from the new plans through this R&D rationalization, which you are talking about. And then given that scenario, how are you looking at your EBITDA margins for the next two- year period?

R.K. Baheti : No projections or no estimations -- internal estimations, which we are doing are holding valid for more than six months. So, it's difficult to give any answer. But yes, wherever possible, we are trimming our costs.

Alembic Pharmaceuticals Limited

February 01, 2023

Page 12 of 17

R&D, even in operations, wherever there is a possibility, we are trimming in the costs. But for the new facilities, the expense will start hitting the P&L.

Rahul Jeewani; But do you think that with the rationalization in R&D and the fact that the API prices were also on the higher speed this year and some of those benefits coming into next year, you will be able to offset this impact of the new facility costs?

R.K. Baheti: very difficult to make a comment on this -- on the EBITDA side.

Rahul Jeewani ; Otherwise, if you can just comment on the fact that have you started seeing any benefit from the API cost moderation?

Pranav Amin: Rahul, in terms of immediate term, it's little tougher to say. Midterm, definitely, yes, we'll see all this offsetting whatever the additional costs.

FY '25 will be a lot more comfortable in my opinion.

Moderator: We have our next question from the line of Chirag Dagli from DSP Mutual Fund.

Chirag Dagli : What do you make out of the situation where we have product approvals, but EIR is not in place

. I mean it's quite a unique situation.

What is your reading or sense of what is happening here?

Pranav Amin: My reading or sense is that, listen, FDA came to approve facilities. As far as they see it, they feel that all responses are in place, they feel there's no risk to anything, hence they've given it. The EIR, they're waiting for a formal EIR. But I think we've seen this not just the first time. We're seeing it because they want us to launch products in the market and they want new facilities. So that's one of the reasons.

Chirag Dagli : So, you're not worried around potential of EIR coming through?

Pranav Amin: No, then they wouldn't have given the approval also.

Alembic Pharmaceuticals Limited

February 01, 2023

Page 13 of 17

Chirag Dagli : And sir, do you see over the next two quarters, do you see products getting launched from all the new facilities that we have, onco, onco - injectables, the new oral solid block?

Pranav Amin: Yes, not the new oral solid block that I mentioned earlier in the call that, that we will decide when to do it because that's with a few approvals bundle up and we'll do that. But the first two that will go off the block will be the onco- injectables and then the second one would be the general injectables. Those two, we will start. Those two are the big ones. We will start seeing those commercialization's, one in this quarter, one next quarter, I believe.

Chirag Dagli : And sir, can you quantify the number of pending approvals from onco - injectables and the general injectables?

Pranav Amin: We haven't given that plant -wise. We haven't given the breakup of our injectables. I can give you just absolute amount or offline, I don't have the figure with me.

Chirag Dagli: But is it fair to say that over the next 12 months, there'll be a lot of bunching up of approvals?

Pranav Amin: yes, there would be some bunching up and hence that's why we've seen 2, 3 -- 2 approvals in F3 and one in F2. But it could have been more bunched up more, but lastly, due to the compliance and the remediation, our filing pace also slowed. But hopefully, moving forward the next 24 months, we'll see a lot faster approval rate there.

Chirag Dagli : And on the two Formoterol products -- Arformoterol, I can see we have a double-digit market share in Formoterol. Is that also an indication of what we can get in Arformoterol?

Pranav Amin: Yes. Formoterol, we picked up some decent share. Arformoterol, we will be launching shortly. It's CMO product which is waiting. We should launch it shortly in the next quarter or so.

Chirag Dagli : And for whom both these products are margin profile is feasible given that these are manufactured not internally built?

Alembic Pharmaceuticals Limited

February 01, 2023

Page 14 of 17

Pranav Amin: Yes, it's a decent product.

Chirag Dagli : And we can stay in the market even if the market becomes competitive?

Pranav Amin: I believe so.

Chirag Dagli : And the last question is this Aleor INR 13 crores, in which line item in the financial it is recorded?

R.K. Baheti : Amortization and depreciation.

Moderator : We have our next question from the line of Harith Ahamed from Avendus Spark.

Harith Ahamed: When you guided for 15% to 20% reduction in the R&D spend next year, does the base of FY '23 includes the amortized cost from Aleora, the INR 140-odd crores for nine months FY '23 or are you excluding it from the base?

R.K. Baheti : If I take that then the reduction would be far more. So, no, we're looking at the regular recurring expenses and savings from there or reduction from there.

Harith Ahamed: So, Pranav from a couple of years back you had -- So I was asking you about this \$400 million to \$500 million of targets that we have set for ourselves in terms of US sales. Do you still maintain that guidance? And if so, anytime by when we'll get to those levels?

Pranav Amin:

when I used to say that I also give a disclaimer that this is a company -
- historical companies of our peers in the industry, which have embarked on this, have seen this kind of a growth. And we could also see the number was over \$300 million to \$400 million, it was really optimistic, \$400 million could go \$500 million. The \$300 million to \$400 million I still stand, \$500 no. I still think there could be an opportunity to go to \$300 million plus.

But as you see, everything's has got push back by about two, three years, so because of the delay in the execution of the new plants and

Alembic Pharmaceuticals Limited

February 01, 2023

Page 15 of 17

the pricing erosion has increased -- has reduced some of the outlook.

But I still believe that \$300 to \$400 million is still a potential for another three to four -year period.

Harith Ahamed: And lastly, just to confirm the timelines around commercial supplies from three new facilities. For the onco facility, you said we will start supplies this quarter and for Jarod probably later beyond FY '24?

Pranav Amin: Jarod, maybe I'm not -- in FY '24 or even beyond, maybe, we'll just see how it is, what makes sense for us if the products are bundled up, whether what kind of load is there on the F1 facility. And the injectable, the other general injectable is what we will see next quarter onwards.

Moderator : We have a next question from the line of Tanmay Gandhi from Investec.

Tanmay Gandhi : Sir, can you highlight the key reason for growth in US, as we have seen some bit sequential recovery there?

Pranav Amin: I mentioned earlier in the call that, two reasons why we grew in the US.

On one hand, you had price erosion in the quarter as well compared to last year year-on-year. So that was quite a bit. But in spite of because we had some certain sales in Q3 of last year. But what happened is, this time as I mentioned, there was a strong flu season, so some of the anti-infectives and Oseltamivir, Tamiflu is where we have a decent opportunity.

And the second one is we have some new product launches where we picked up some share. So that's where both those put together has caused some -- has given us some growth. One thing I have not mentioned though is in the US business on a volume terms, the growth is much higher. But because of erosion, it's only about 10% in rupee terms.

Tanmay Gandhi : And for other companies as well, we are seeing some bit of sequential improvement right -- in their base, isn't it, right? And so are you seeing some bit of stabilization in price erosion? And what would be your price erosion exploring pattern?

Alembic Pharmaceuticals Limited

February 01, 2023

Page 16 of 17

Pranav Amin: Price erosion is still there. I wouldn't say it's gone away. It's still there.

It depends just on which product and which company. It's still there.

Maybe slowed down, but still around. I don't have the exact figure because it just keeps changing. So it's still there, though.

Tanmay Gandhi : Any broad number which you would like to give?

Pranav Amin: No, it's very tough to say because what's happened the customers are bidding on the products a lot more often. And so hence, we're seeing a lot of erosion there.

Tanmay Gandhi : So broadly, for industry in general, are you seeing some bit of stabilization, some bit of improvement in price erosion versus last two quarters?

Pranav Amin: No, no.

Moderator : Thank you. We have a follow-up question from the line of Damayanti Kerai from HSBC.

Damayanti Kerai : My question is, again, coming back to approvals from the plants F2, F3, where we are yet to receive EIR, but we saw some approvals. So, are these products in shortage that's why FDA gave a poll before we get the official clearance or as you said, FDA is more keen on approving new plants, and that's why we got some approvals?

Pranav Amin: I'm not sure to be honest. They're not all shortag

e, the products. One

of them has been on and off in shortage. The other ones are not in shortage as well, one of the other ones is possibly in

shortage. But I

think it's just a matter of the audit and the audit kind of report that was given and our responses, I believe.

Damayanti Kerai : But you're confident you should be getting the official closure very shortly and then that could maybe boost number of approvals from the plant, as you mentioned, was some bunching up, et cetera?

Pranav Amin: we're already getting approvals from the plant as we go along. So whatever spending we're getting approvals as we buy more products, Alembic Pharmaceuticals Limited

February 01, 2023

Page 17 of 17

then we'll do it. So yes, but it seems okay because we haven't heard back anything from the FDA. They've received our responses as well. So we haven't received back anything.

Damayanti Kerai : And my second question is, can you comment on the pricing situation for your derma portfolio? Because I think last we you heard it's very severe. So anything incremental there?

Pranav Amin: No, we don't talk product portfolio-wise pricing on any of the on anything.

Damayanti Kerai : But overall as you said, not much change in the pricing situation compared to last two, three quarters?

Pranav Amin: No, no. I said there is still enough erosion, I said nothing has changed. There is still as much erosion as before.

Damayanti Kerai : Same as what it was say a few quarters back that situation?

Pranav Amin: Yes, yes. So , the starting erosion is 40%, the regular erosion must be 10% or so.

Moderator: I would now like to hand the conference over to Mr. R.K. Baheti for closing comments. Over to you, sir.

R.K. Baheti : Thank you, everyone for joining the calls. It has been a tough day for you, analyzing budgets and then attending conference call. So still thank you for your presence and for your interest in the company and we'll say that have a good evening.

Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic

Pharmaceuticals Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 12th May, 2023

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code:533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 5th May, 2023

Ref: Our Intimation dated 26th April, 2023

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 5th May, 2023 .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 21

"Alembic Pharmaceuticals Limited
Q4 FY '23 and Annual Results Conference Call "
May 05, 2023

M

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR , FINANCE AND CHIEF FINANCIAL OFFICER
MR. MITANHSU SHAH , HEAD -FINANCE
MR. AJAY DESAI , SR.VP-FINANCE

Alembic Pharmaceuticals Limited
May 05, 2023

Page 2 of 21

Moderator: Ladies and gentlemen, good day, and welcome to the Alembic Pharmaceuticals Limited Conference Call on discussion on company's Q4 and Annual FY '23 Audited Financial Results. As a reminder, all participant lines will be in the listen- only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal

an operator by pressing start , then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R.K. Baheti, Director of Finance and CFO. Thank you, and over to you, sir.

RK Baheti: Thank you. Good evening, everyone. Thank you all for joining the Fourth Quarter & Annual Results Conference Call.

Let me start with the financials, and there are a few non-recurring or one-offs, which I'll try to explain. And then, of course, we'll take your questions.

During the quarter, the total revenue is Rs. 1,406 crores, EBITDA is Rs. 205 crores, net profit is Rs.153 crores. EBITDA margin for the quarter is 14.55 %.

For the full year FY '23 revenue is INR 5,653 crores, EBITDA is INR 680 crores and net profit is INR 342 crores.

The Company like in previous few quarters continue to expense out previously amortized R&D expense in erstwhile ALEOR amounting to INR 11 crores in the current quarter and INR 155 crores for full financial year 2023. Company's profit before tax and after tax would have been higher by INR11 crores in the quarter and INR155 crores in FY '23 without this amortization. Now the entire amount has been expensed out and there is no residual intangible assets in the books.

Second item, as intimated to stock exchanges earlier , Company's board has decided to recognize the impairment of INR 1150.43 crores, in respect of capital work in progress, largely consisting of pre-operative

Alembic Pharmaceuticals Limited

May 05, 2023

Page 3 of 21

expenses of three new manufacturing facilities. Out of above INR 676.87 crores has been written-off in current financial year that is in '22-'23 and for the balance amount of INR 473.56 crores , provision for impairment has been created. The rationale for this bifurcation has been given in detail , in our notes to account. Simultaneously, INR1,025.66 crores i.e net of deferred tax asset of INR 124.77 crores has been withdrawn from general reserves of the Company, hence there is no impact on profit for the year on this account.

Company is not required to make any provision for income tax during the year. The provision for taxation made up to Q3FY 23 has been reversed in Q4FY 23.

With effect from 1st of January 2023, Company decided to stop all further capitalization of pre-operative expenses of all the new facilities and charge the entire expenses to P &L account. As compared to the previous quarters , Company debited additional rupees approximately INR 65 crores in Q4 under various heads on this account.

During the quarter /financial year, PLI benefit of INR 21 crores was received from Government of India.

EPS for the quarter before non-recurring item, is at INR 8.33 per share versus INR 8.47 while for FY '23 full year, it is INR 25.29 per share versus INR 33.85 per share in the previous year.

The gross borrowing at the consolidated level is INR 636 crores versus INR 630 crores in March 2022. Company has INR 75 crores of cash on hand as of 31 March , 2023 versus INR 61 crores for March 2022. Net debt equity stands comfortably at 0.13.

You will see that from the cash flow point of view, Company's borrowing remains almost the same as of March 2022. There is no incremental borrowing in March 2023 versus March 2022. Company met its entire capex , as well as the dividend payment of almost INR 200 crores out of its internal accruals .

The cash flow for the Company continues to remain strong.

I will now request Shau Nak to take you through India -branded business.

Alembic Pharmaceuticals Limited

May 05, 2023

Page 4 of 21

Shaunak Amin: Yes. Thank you, Mr. Baheti. Good evening, everyone. For the fourth quarter, India branded business saw 9% growth in the top line of INR 490 crores. There was a COVID impact in the base of azithromycin on allied products in the previous years. Ex of Azithral growth, the India business grew at 12%.

As per IMS in Q4, industry grew by 15%, whereas Alembic clocked the growth of 16%, in line with our objective of matching or outgrowing industry by few points.

In quarter 4, our specialty segments, the company performance was 13% versus 12% for the industry, mainly driven by therapies, gynecology, anti-diabetic, ophthalmology and orthopedics.

In the acute segment, the company performance was 23% growth, and Ex of Azithral was 38% growth, which is better than the industry's 28%.

In respiratory Company grew by 38% whereas Industry grew by 28%. The animal health business continues to maintain, its strong run of growth momentum and recorded a growth of 15% over the previous year.

For the financial year '23, the India branded business has 7% growth with the top line of INR 2,063 crores. Ex of Azithral and Alcibute of India Branded Business growth is 13% for the year.

As per IMS, the industry grew by 8%, versus Alembic reflected a growth of 9%.

For Specialty segment, the company performance was 15% versus industry growth of 11% majorly driven by therapies like Gynecology, Anti-diabetic, Ophthalmology, and Orthopedics.

In the acute segment, the company performance Ex of Azithral was 10% versus the industry growth of 6% for the year.

In respiratory the company grew by 11%, whereas the industry grew by 3%.

Alembic Pharmaceuticals Limited

May 05, 2023

Page 5 of 21

The Animal Healthcare recorded a business growth of 21% over the previous year.

And as one of the highlights for last year was we have a brand called Isofit, which has been the second best launch in the Industry by IMS among 3,072 new launches in the Industry for the 12 months. Isofit recorded a growth of INR 28 crores in the first year of launch(as per ORG)

And majority of our focus brands in the current year have gained market share over the previous year.

Three of our large therapy areas, Cardiology, Gastroenterology, and Gynecology have underperformed in the year '23. The operational and strategic interventions were taken in the previous year with an objective of outperforming the market, akin to some of our other high growth

segments on a sustainable basis. And we expect this kind of growth to start kicking in this year.

I'll hand over the discussion to Pranav for his presentation on the international business.

Pranav Amin: Thank you. The US business continues to remain challenging on account of the competitive intensity. Though it was a tough year in the U.S., we did manage to grow our volume well over the previous year.

Our focus is on improving efficiencies and execution in the midterm.

The U.S. generic's revenue was INR 354 crores during the quarter. The number is not comparable to the same quarter last year as Q4 of last year had a high sales as we had transitioned to 3PL and we have done overstocking in that quarter.

The ex-US market continues to perform well, and it grew 33% for the quarter and 10% for the year.

The API business also is on a strong footing, and it performed very well. It grew 41% for the quarter and 24% for the year.

Alembic Pharmaceuticals Limited
May 05, 2023

Page 6 of 21

Importantly, the ex-US formulation and the API have both come up high base over the last couple of years, so we're confident of a continued good performance in both these verticals.

Our R&D expense was INR136 crores, which include

s INR11 crores of a one-time non-cash Aleor write-off. Taking this out, it is INR125 crores, which is about 9% of sales for the quarter. While for the full year, the total R&D expense is INR722 crores. Ex of Aleor, it is INR567 crores, which is 10% of sales. This is a conscious effort that we've been making to get R&D as percentage and as an absolute amount. We wanted to

try controlling it moving forward.

We will continue our efforts to optimize R&D expense, particularly on the oral solid dosages in the coming years.

We filed 4 ANDAs during the quarter.

We also received 7 approvals in the quarter

We commercialized F2 and F3 plants during the quarter, and the first set of products were dispatched.

We launched 6 products in the quarter, and in Q1, we hope to launch up to 10 products, at least, and 20 products in the entire year.

The USFDA conducted an inspection at an F3 facility in March and issued two observations. We have received three final approvals from the site till date.

The USFDA also conducted an inspection at a Derma facility in March with zero 483 observations.

An EIR was issued for an onco facility, F2, during the quarter. We have received 5 final approvals from the site, including the onco OSD till date.

The USFDA also inspected our new oral solid dosage facility, F4, in December, and issued five observations. We have received approval of two products from this facility till date.

Alembic Pharmaceuticals Limited
May 05, 2023

Page 7 of 21

In terms of the numbers, the US Generics was at INR354 crores for the quarter and INR1,572 crores for the financial year.

The ex-US Generics, as I mentioned, had a good year, and it grew by 33% to INR249 crores in the quarter, and by 10% to INR852 crores for the year.

The API business had a fantastic year. It grew by 41% of the quarter to INR 313 crores, and by 24% to INR1,166 crores for the financial year.

I would like to open this floor for Q&A, so let me start with you.

Moderator: Thank you very much. We have a first question from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hi. Thank you for the opportunity. My first question is to Pranav regarding the US business. So now we are sub-45 million sales in the fourth quarter, and what we have heard from some of the players that price erosion in the US has stabilized, but your commentary seems, I

will say, more cautious. Can you share a bit more detail, like where are key challenges from your business perspective and how should we look at this business in coming year?

Pranav Amin: There is still a price erosion in the US market, has it slowed down? Yes, compared to about a year back, it has slowed down. One of the reasons could be because of people are placing less priority in the US business.

We have seen some players prioritize US business a little lesser. Number two is that there have been quite a few inspections. So there

have been some regulatory issues that some companies have faced, but we do continue to see pricing pressure in the market. I think some of players, the ones that have done well, have got a few handful of

approvals which must have offset the price erosion of regular products.

But there is still pricing pressure in the market, it's lesser than a year before, but it's still there.

RK Baheti: Also, Damayanti, as Pranav said in his opening statement, this quarter 4 number is not really comparable because previous year, Q4 of March

'22, we had an exceptionally big because of transition of 3PL where we

Alembic Pharmaceuticals Limited
May 05, 2023

Page 8 of 21

had to ask our distributors to stock up and this was explained at that time during the Q4 '22 Investor Calls.

Damayanti Kerai : Sure sir. So in terms of erosion level, are you still facing say like, double digits, if you can like give some indication where it stands...

Pranav Amin: It really depends product

-to-product, but yes, I think it's still in the double digits.

Damayanti Kerai : In say, next two quarters to three quarters down from here, how do you see like, pricing to pan out? Any relief, any sign that you see that we'll be seeing better pricing in coming quarters?

Pranav Amin: What happens is as I mentioned before, and historically in the calls I've said, if you see Sartan opportunity and the kind of prices that we were selling the sartans, earlier. Once it gets beaten down to the ground, then there's not much, how much lower can you keep going, right? At some point, hopefully this will start, we've already seen that erosion has become less. There have been more supply challenges in the market

for everyone. So hopefully, prices also should stabilize. I believe there will continue to be erosion because fundamentally there's just a lot more capacity for the US market from India than is warranted and that's what's causing this.

Damayanti Kerai : Sure. My second question is R&D. So it seems like, you are tracking in line with what you guided, like you've come down substantially. So now say, if I annualize four quarter R&D number, we are somewhere like INR500 crores, INR525 crores kind of R&D expense for next year. So that's what we should be working with?

Pranav Amin: Yes, I think that's a good number for you guys to work with. Of course, internally there'll be a little change. We'll switch the balance internally, as I mentioned in my opening statement that we may reduce some of the OSD spend and we may increase injectable, we may reduce some fixed costs. But yes, INR 500 crores, INR 525 crores is a good number to work with.

Damayanti Kerai : And how many filings like you target with this kind of lower R&D expense?

Alembic Pharmaceuticals Limited
May 05, 2023

Page 9 of 21

Pranav Amin: We'll still target about 15 to 20 filings.

Damayanti Kerai : And my last question is for Baheti sir. Sir, I missed your comment. You said like, you won't be capitalizing any pre-operating costs now and everything will be moving to the P&L. If you can explain that bit, that will be helpful?

RK Baheti: Yes, Damayanti, you heard it right. Up to 31st of December, 2022, we were capitalizing all pre-operative expenses of facility F2, F3 and F4. Now effective from 1st -- while we are charging off the impairment to P&L, there is no rationale for us to keep further capitalizing. So effective 1st of January, 2023, the board has decided that all expenses will be charged off to P&L. And that's how this quarter, quarter of March '23, an additional expense of INR65 crores has hit P&L as compared to the previous quarters.

Damayanti Kerai : Okay, and fourth quarter numbers are now like, should be fair representation of cost we should be seeing in coming quarters without any capitalization?

RK Baheti: Yes, that's right. Other than that INR11 crores, which is a residual expense which we have done out of the old annual R&D amortization. They are also now it is cleaned up, so you won't find that in next quarters.

Damayanti Kerai: Okay sir. That's helpful. Thank you. I'll get back in the queue.

RK Baheti: Thanks.

Moderator: Thank you. We have a next question from the line of Ankush Mahajan from Axis Securities. Please go ahead.

Ankush Mahajan: Yes. Thank you sir for providing me the opportunity. So my question is related to the US business first. So how many molecules that's -- new molecules that we are expecting to launch this year in the US market for FY '24? And sir, we have done a very good numbers in the API business. Just try to understand sir, how is the demand for the API and across the geographies. Let's just put some thought on it.

Alembic Pharmaceuticals Limited
May 05, 2023

Page 10 of 21

Pranav Amin: Yes. In terms of US market, as I mentioned earlier, that we will launch about 20 -odd products

in the financial and FY '24 in the US market. And quarter one will be a little more, but total about 20 -25 is what we should look at for the US. Q4 was good for the API business. Very good. For the year, we would expect the API to go about 10% . It is a good market. We have some opportunities. We have some more long term contracts. We could free up some capacities as well. So that's what led to an increase in the API business.

Ankush Mahajan: So earlier sir, these API prices were falling now. So can we say these are stabilized now?

Pranav Amin: It depends. It's tough to say. API prices are falling. It really depends who you're supplying to and what. we're still seeing some erosion in API prices. There were a lot of supply constraints over the last two years. We need China for intermediate, so COVID related. But you will see pricing pressure in API prices. Lot of the growth is not due to pricing. It's due to volume growth.

Ankush Mahajan: So we can say that the volume growth, that uptick is there in terms of volume?

Pranav Amin: Yes.

Ankush Mahajan: And sir, what we are launching now is 20 -25 products in the US market. So could you throw some more light on that? In which therapies, which segments that we are looking?

Pranav Amin: For US generics, we don't give therapy wise segments. What will happen as you see when the growth...

Ankush Mahajan: I mean, in terms of injectables, how many injectables?

Pranav Amin: In terms of injectables, out of 20- odd approvals, I'm assuming about 10 to 12 will be oral solid dosage and the rest would be ophthalmic and injectables.

Ankush Mahajan: And pricing scenario any injectables at this moment?

Alembic Pharmaceuticals Limited
May 05, 2023

Page 11 of 21

Pranav Amin: It's too early for us. We've just started launching. So it's still early days for us on the injectables. Maybe next quarter we'll have a better track record, I got to say.

Ankush Mahajan: Thank you, sir. Thank you very much.

Moderator: Thank you. We have a next question from the line of Bharat from Equirus. Please go ahead.

Bharat Celly : Yes, hi. Thanks for the opportunity and good evening everyone. So I just wanted to understand on the opex part. So when we look at opex, sequentially ex of R&D, it is declining. Despite the fact that we have seen new facilities getting commercialized and all the pre- operating expenses are hitting the P&L account. So what is it leading to this lower expense sequentially? If you could explain that?

Mitanshu Shah : So Bharat, if you see this and if you're comparing it with the last year, we had a one -time impact of a INR100 -odd crores that for the Aleor actually, right? So if you're comparing with that, obviously it will look low,. Otherwise, it is generally a flow of...

Bharat Celly : Actually, I'm comparing over third quarter of FY '23. So if I look at sequentially, it is also down.

Mitanshu Shah : Yes, I was coming to that actually. So if you see the last year it was with Aleor and this time the impact is largely on account of, the marketing

spend and all those things. So there is, a bit of the R&D as well is low actually and all of that culminates down to a lower spend. So that's precisely the reason, I mean. Yes.

Bharat Celly : But still, if I look at, right, in first quarter we were doing around INR330 crores. Second quarter was INR340 crores around. And if I just talk from that perspective, now what is happening is in third quarter we are still sitting at around a similar number. I would say INR330 crores, which includes three of the expense of around INR65 crores. So that means overall expenses have gone down, underlying expenses have gone down far below. So I can't get it. Because that will mean that we are around INR265 crores, ex of INR65 crores or INR65 crores, which we are referring to.

Alembic Pharmaceuticals Limited
May 05, 2023

Page 12 of 21
Mitanshu Shah

: No. So you are comparing this with December's number of INR513- odd crores with INR460- odd crores, right? That's what you are comparing.

Bharat Celly : Right. After excluding for clarity.

Mitanshu Shah : Exactly. That's what I am telling you that, you will see some of those promo spends and, all the other expenditures actually. Those kind of, you will always see a bit of a variation there. I mean, there will be some quarters which are bumped up quarters and then there would be quarters where it is, this time it's a little lower actually. So this was one such quarter where we had lower spend.

Bharat Celly : Okay. So is it safe to assume that it will be again going back to the normal levels which we have seen historically?

Mitanshu Shah : Yes. So if you look at the full year number, so your full year number is close to INR 2,000 crores. So on that number, you could and considering that, we had INR60- odd crores of additional expenditure in Q4 for new plants, you can safely consider that, there would be around 10% increase in that number for next year.

Bharat Celly : Right. The Aleor expense will not be repetitive. I get that. But largely we are saying that ex of Aleor, we will be seeing a good growth and another INR60 crores – 40 crores expenses will be also, sorry, INR180 crores sort of expenses will also be hitting other expenses considering because of new plant's expenses. Right?

Mitanshu Shah : Correct.

Bharat Celly : That's helpful. And on the US market, we have been referring that we will be launching a couple of new drugs. Could you tell us that how many new injectable products have been filed till date out of all the facilities which we have?

Mitanshu Shah : Bharat, you want to know the filings actually, right? So around the most the plants put together is close to 15 filings.

Bharat Celly : One- five filing?

Pranav Amin: One five.

Alembic Pharmaceuticals Limited
May 05, 2023

Page 13 of 21

Bharat Celly: Okay. 15 injectables are filed till date. So overall pending approvals are around 40, 45 for us at this moment?

Pranav Amin: No. Overall pending approvals are around 90.

Bharat Celly : Pending ones, right?

RK Baheti: Pending. Yes.

Bharat Celly: That's helpful. Thanks a lot sir. I will get back to the queue.

Moderator: Thank you. We have a next question from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: Thanks for the opportunity. Considering the number of launches comprising both oral solid as well as injectables, what kind of sales can we expect in the US for FY '24, from current \$180 million, \$200 million?

Pranav Amin: Tushar, we don't give a forward guidance. And for the US is very tough and I'll tell you why is, let's see how the launches happen as early days for us on the injectables. We would like to go to business, but the other side, what I answered earlier to Damayanti is, that there's a lot of erosion as well. Right. So it's very tough for me to predict and that's why

we don't give a guidance for US sales.

Tushar Manudhane: But while price erosion are there, but at the same time compliance issues for competitors or somebody shutting, literally shutting down the plant. So we don't see the opportunity...

Pranav Amin: I believe there are opportunities in the US market and you continue to get opportunities and you have to be a nimble player, but to put a number on it is tough. So I wouldn't like to give a forward guidance.

Tushar Manudhane: All right. And in particular in API, just one more question. Why you address that it is most of the growth is volume-led there? INR300 crores sort of a run rate is very much possible or there is a further scope on account of this significant volume uptake?

Alembic Pharmaceuticals Limited
May 05, 2023

Page 14 of 21

Pranav Amin: That's the API business is a good business and it will continue to grow. So expect API and ex -

US, rest of the world generics, I think both should grow by 10% at least this year.

Tushar Manudhane: Okay, sir. Thank you.

Pranav Amin: Thanks.

Moderator: Thank you. We have our next question from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Hello. Good evening, sir. And thank you so much for taking my question. So I just wanted to ask about what do we feel our margins will be around going forward for the next year?

Mitanshu Shah : Darshil, margins of course would be in bit of pressure considering that we would have all the new plants now commercialized actually. The run rate of that is close to INR 60-odd crores every quarter actually. So that would have and -- but again, again, you will have sales coming in from this. So it's going to play out over the quarters. But if we are to take a guess, I would say that a number around 15% would be a right number to go with.

Darshil Jhaveri: Sorry. There was a network issue. I missed the last question. Sorry.

Mitanshu Shah : In the interest of everybody, we can take that offline. We'll discuss.

Darshil Jhaveri: Okay. And sir, I have one more question. So I understand your sales would be a bit difficult to guide on. But overall, how much do we could see a range of revenue growth that we could expect in the upcoming few years? Maybe nothing specific, but some kind of color with that would be helpful.

Mitanshu Shah : see like, domestic, we said that, not giving the number, but, we will outsmart the industry growth rate. As far as international generics is concerned, US is, we would have very good launches coming in actually. And so that would be growth as far as US territory is concerned. ex of US, other generics, we should grow at around 10% - 12%. API business, 10% -12% of growth is possible.

Alembic Pharmaceuticals Limited
May 05, 2023

Page 15 of 21

Darshil Jhaveri: Okay. Thank you so much. That helps me a lot. All the best for the next quarter.

Moderator: Thank you. We have a question from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil : Good evening. You have mentioned that you have taken a write back of tax in Q4, is that related to the write-off of assets?

Mitanshu Shah : Yes. That's true. whatever provision which was done in the first three quarters gets written -back in quarter 4.

Bino Pathiparampil : Okay. And are there any more deferred tax assets related to this that you are carrying forward into FY '24?

RK Baheti: The balance of INR 470-odd crores of impairment for which the provision has been done, depending on how the generic market behaves and how the impairment valuation will be at that time, if required will be written-off in FY '24. Then those plants, those part of the facilities gets operational .

Bino Pathiparampil : Understood...

RK Baheti: Impairment of INR1,150 crores, as I explained INR670- odd crores have been charged off in the current year, we have made full provision so that no further hit comes on P&L of subsequent years.

Bino Pathiparampil I: Understood. So basically, if the remaining write-off also happens in FY '24, then that tax benefit could come in FY '24. So FY '24 tax rates could also be very low.

RK Baheti: Yes.

Bino Pathiparampil : Okay. And FY '25 onwards, what sort of reported tax rates should be -- should we come to, should we will we go back to around 25%?

Mitanshu Shah : So we will continue. See, before this, we were in amity. So you can safely assume for your calculation purposes that we will be in match, which is 17.5%.

Alembic Pharmaceuticals Limited
May 05, 2023

Page 16 of 21

Bino Pathiparampil: Okay. Got it. Thank you.

Moderator: Thank you. We have our next question from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal : Hi, just wanted to check a couple of things. One, how should we look at your capex from FY '24 onwards? And second, given that INR65 crores

is the additional quarterly hit that we've seen. So would it imply about INR240 crores to INR250 crores of additional annual hit on the P&L because of the new facilities?

RK Baheti: So as we have been sharing with investors, most of the capex, most of the new projects are now completed and we are commercializing it. So capex in '23- '24 largely which is in de-bottlenecking or little bit of expansion of API capacities. We are also investing in some solar power so that electricity cost goes down because in Gujarat it is pretty high and there will be some investments in new facility for India branded business, which is at an initial stage.

But having said all this, the capex and of course there will be no pre-op capitalization, the total capex should be less than INR250 crores.

Tarang Agrawal : Okay. And to my second question?

RK Baheti: What is that?

Tarang Agrawal : Would we see an additional hit of about INR250 crores to INR260 crores?

RK Baheti: Yes, that's right. I mean, that's not a result of some normal routine expenses which will get charged to P&L.

Tarang Agrawal: Okay. That's it. Thank you.

Moderator: Thank you. We have a next question from the line of Bharat from Equirus. Please go ahead.

Bharat Celly : Thanks for the follow-up. Baheti Sir, actually during the last quarter we were referring that there is total INR400 crores expense, INR200 crores above EBITDA and INR200 crores below EBITDA. Now since we are

Alembic Pharmaceuticals Limited
May 05, 2023

Page 17 of 21

referring INR65 crores above EBITDA, that translates to almost like INR250 crores to INR260 crores. So is there any incremental cost which we have realized now? So because earlier we were guiding for almost like INR180 crores to INR200 crores above EBITDA?

RK Baheti: As these facilities get operational, the operating expenses also goes up as they get into commercial production. So earlier these facilities are being used only for taking exhibit batches and for taking those filings. Now they are being used for regular commercial production.

Bharat Celly: So from here on whatever the increase would be, that will be largely the inflationary one. Or there will be some INR600 crores which is sitting as CWIP. So would be any additional increase also which can happen over and above once those are commercialized?

Mitanshu Shah No. So that would be very incremental, small capex, which is just a balancing equipment. So that number stays there actually.

Pranav Amin: But what would happen is as you start commercializing, so you are not doing any major capexes or big plants. I think just in the line there will be balancing media higher equipment size and stuff for commercial basis. That's about it.

Bharat Celly: Okay, I get that. And since we were referring that there will be another

INR200 cro res which will be coming below EBITDA. So with new impairment which we have done, what sort of number that will be now?
Mitanshu Shah : Yes, so the number would be like you know cash would be around INR200 crores, INR220 crores and depreciation would be another INR75 -odd crores actually. So all put together would be around between INR280 crores, INR290 crores for these new plants.
Bharat Celly: Can I beg your pardon? So you said INR200 crores...
Mitanshu Shah : Cash expense would be between INR200 crores, INR220 crores and there would be additional depreciation of around INR75 crores. That would take the total number to INR280 crores .

Alembic Pharmaceuticals Limited
May 05, 2023

Page 18 of 21

Bharat Celly: Okay. So -- but my belief was we were already doing INR65 crores during this quarter. That was above EBITDA? Or that is across our line item.
Mitanshu Shah : Bharat that is exactly what has happened. This -- I mean, arrangement that we have done with CWIP takes care of the depreciation on the preoperative

and that's like INR100 crores of the depreciation FBO.

Bharat Celly: I get that. What I'm asking is the INR65 crores, which we have charged to the P&L during this quarter, is that a spread across above EBITDA and as well as below EBITDA...

Mitanshu Shah : Depreciation portion into it, yes.

Moderator: Thank you. We have a next question from the line of Resham Jain from DSP Mutual Fund. Please go ahead.

Resham Jain: Good evening. Just a question on the margins. You mentioned 15% margin for the full year. Is that right?

Mitanshu Shah : Yes, that's what the ball mark numbers.

Resham Jain: And how will this trajectory be because you have multiple launches maybe in the first half and we'll scale up in second half. So do you feel -- what do you expect the exit date would be?

Mitanshu Shah : can you repeat that?

Resham Jain: What I was asking is that 15% is a full year margin. So how the margin trajectory will be? Because first half, you will have multiple launches and they scale up as year progresses. So how will the exit run rate of margins be?

Mitanshu Shah : We're talking about year as a whole. I mean, not by setting that into quarters, actually. I mean, it's overall -- and again, I mean, it's just giving a flavor for the year.

Resham Jain: Okay. Because if you look at before your certain benefits, the kind of margins you were making and now once the plant scales up, so that was the context. But even after scale up, you don't see the exit run rate

Alembic Pharmaceuticals Limited
May 05, 2023

Page 19 of 21

would be better than what you would be doing, let's say, first half -- that was the context in which I was asking this

Mitanshu Shah : See, that's exactly because we will not be completely putting intact because if you look at the grid and the approval of the products and things like that, you are going to partially keep using the plan, gradual scale up is going to happen. So you will have five, seven products. Then

in the second half, you will scale it up to 10 products. FY '25, you will have 25 products like that. So that's our...

Pranav Amin: So one thing is the plants while we start using them, they're not fully optimally utilized. They'll take a year or two till all new approvals come. Second thing is, even before the start -ins, you know, what's happened is the fundamental US business that we had, the margins have come down in that.

And that is impactful. So even before the start -ins, the margins in the U.S. business for the OSD were much higher. They were continually shortages and they're very high margins in the US business that time as well. So that's the fundamental part that has changed. The rest of the business, India is growing, ROW is growing, but it's just the US

that's dragged down the margins.

Moderator: Thank you. We have a next question from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: So I have two questions on India business. So you mentioned that you continue to outperform the market. Can you talk a bit about the growth drivers? Like what are your expectations in terms of volume or price contribution from the new product introduction, etcetera?

Shaunak Amin: What we maintain is that if the market grows, whatever the market growth is, we aspire to grow a couple of points higher than the market growth numbers, and which would be a composite of all of new

launches, some price increases, some time volume would be a bulk effect.

It also is depending on the profile of the market growth. But yes, anywhere from matching market growth to maybe you're going up 4, 5

Alembic Pharmaceuticals Limited
May 05, 2023

Page 20 of 21

points higher than the market growth. I mean that is what we are working towards.

Damayanti Kerai: Sure. So if I understand correctly, volume part will be obviously following the market trends, etcetera. But should we assume the pricing contribution a

round 5%, 7%, which we generally see a...

Shaunak Amin: Yes. Like I said, I don't have the exact breakup offhand, but I just can share that with you. But I think volume would be a bulk of the growth numbers and there will be smaller components of pricing in this whole thing also.

Damayanti Kerai: Okay. And...

Shaunak Amin: But just so that we're clear, on the DPCO products, there will be no pricing increase versus last year. So if you have to take that as which is a decent chunk of our portfolio, if we keep that as flat, except that there will be some price increase, but there will be some price cuts also as a part of that. But yes, it would be largely volume and there would be a smaller component of pricing on that.

Damayanti Kerai: Okay. So just to clarify, you don't assume any pricing change in the DPCO part of your portfolio, although around 15...

Shaunak Amin: Yes, because if you see over last year versus this year, prices are the same if I have to factor in the cut, which we had to take last year as well as the opportunity as per the WPI, it was a net even. So I don't think there's any increase over the previous financial year at the start of the financial year.

Damayanti Kerai: Okay. And my last question is on your observation. This is for the broader business. So your observation on the input cost pressure, which we make for a few quarters back. So all those have normalized the input cost pressure on raw materials or fleet, etcetera.

Shaunak Amin: Some of the pressure still stays on the packing on the RMPM side of things. But honestly, with the price and oil coming down, we expect some easing above this hopefully going forward. On the API side, there is some marginal increase, but not material.

Alembic Pharmaceuticals Limited
May 05, 2023

Page 21 of 21

Damayanti Kerai: Okay. And are there like energy or fleet costs, etcetera?

Pranav Amin: No, -- we don't have large component to India business on that side.

Damayanti Kerai: Okay. Not to India business, but from overall business, maybe...

RK Baheti: Like other energy cost would be increasing A, because of rate hikes by the state electricity boards and B, because of increased unit

consumption with operations of additional facility. And I mentioned in my note that we will be investing into solar projects for compensating for -- so there'll be one time investments, but then there'll be a significant amount of savings over the next 20 years or so.

Damayanti Kerai: So this benefit of solar energy investment will come from this year itself? Or it will take some time?

RK Baheti: It will come from H2 of this year.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

RK Baheti: Yes. Thanks. So thank you, everyone, for being patient with us. It was a heavy board and the meeting extended right up to 4:30 or so. So thank you very much for being with us till late in the evening and wish you a happy weekend, and we'll keep interacting individually and of course. Wish you all the best.

Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 9th August , 2023

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code:533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 4th August , 2023

Ref: Our Intimation dated 21st July, 2023

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 4th August , 2023 .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 17

"Alembic Pharmaceuticals Limited Discussion on Company's Q1FY24 Unaudited Financial Results Conference Call "

August 04, 2023

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R. K. BAHETI – DIRECTOR - FINANCE & CFO
MR. MITANSHU SHAH – HEAD -FINANCE
MR. JESAL SHAH – HEAD - STRATEGY
MR. AJAY KUMAR DESAI – SENIOR VP -FINANCE

Alembic Pharmaceuticals Limited
August 04 , 2023

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Alembic Pharmaceuticals Limited Discussion on Company's Q1FY24 Unaudited

Financial Results Conference Call.

We have with us today, Mr. Pranav Amin - Managing Director , Mr. Shaunak Amin - Managing Director , Mr. R. K. Baheti – Director -Finance and CFO , Mr. Mitanshu Shah – Head - Finance , Mr. Jesal Shah – Head-Strategy , and Mr. Ajay Kumar Desai - Senior VP - Finance .

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. R. K. Baheti. Thank you and over to you, sir.

R. K. Baheti : Thank you. Good evening, everyone. Thank you all for joining the 1st Quarter Results Conference Call . I am sure you have gone through the Results by now.

Let me briefly take you through the financial numbers. During the quarter, our total revenue grew 18% to Rs. 1,486 crore . EBITDA is Rs. 210 crore, which is 14 % of sales and grew by 67% before considering nonrecurring items in corresponding quarter . Net profit is Rs. 121 crores.

EPS for the quarter is 6.14 per share versus Rs. 1.84 per share before nonrecurring items of previous corresponding quarter.

Interestingly, this year 1st Quarter EBITDA and net profit are after charging all expenditure of new plants that is F2 , F3 and F4. Till December 2022 or so, we were capitalizing them as CWIP.

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 3 of 17

The gross borrowings at consolidated level are Rs. 600 crores versus Rs. 630 crores in March 2023 and Company has about Rs. 90 crores cash on hand. In March 23, the number was Rs. 75 crores , the net debt equity is now at 0.11.

It will be interesting for all of us to hear from Shaunak and Pranav about their respective business performance. So I am handing it over to Shaunak for India branded business.

Shaunak Amin: From the India business, we grew at 9% to Rs. 524 crores for this quarter. For Q1 if I look at comparison with external numbers, industry grew by 9% as per IMS whereas our external growth journey is at 11% .

Our performance for specialty therapy showed growth of 12% .

For Acute , Industry reflected a growth of 10%, whereas we reflected a growth of 16%.

Anti-infective , Industry had 10% growth whereas Alembic recorded 19% growth .

In cough and cold , Alembic 's growth is in line with market growth of 10% and our Animal Healthcare continues to outperform with 11% growth in Q1.

For the quarter, the business did see a bit of softness in the back end of the quarter, partly due to the extended summer months in large parts of the country and going forward hopefully once with the onset of first monsoon, we should see a significant pick up in momentum going forward.

I will pass it on to Pranav to talk on the International Business.

Pranav Amin: Thank you.

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 4 of 17

The US business grew 6% in rupee terms on a year-on-year basis. Our focus is on launching new products in this year and improving efficiencies and execution in the midterm .

Importantly the ex-US formulation as well as the API business have done very well and we are confident both these verticals performing in the coming quarters as well .

The R&D expense for us was Rs. 119 crores, which is approximately

8% of sales in the quarter. As I had mentioned in the past, we have been working and optimizing the R&D costs and the improvements are on track.

We filed 5 ANDAs during the quarter and cumulative ANDA filings stay

at 250.

We received 5 approvals in the quarter and cumulatively have 184 ANDA approvals.

We launched 6 products in the quarter and plan to launch over 20 products during the rest of the year.

The US FDA had inspected our new oral solid dosage facility F4 in December. We have now received EIR for the facility and have two product approvals from this facility. With this, all our manufacturing facilities have the respective EIRs in place.

In terms of revenue, the US generics were flat at Rs. 390 crores whereas the ex-US generics grew 46% to Rs. 266 crores and the API business grew by 31% to Rs. 305 crores.

I would like to open the floor for question and answers. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Am Lodha from Sanmati. Please go ahead.

Alembic Pharmaceuticals Limited

August 04, 2023

Page 5 of 17

Am Lodha: I have got two questions, number one research and development expansion which has moderated in this current quarter, can you update sir, how much amount we expected to incur during the current year of FY24?

Pranav Amin: So in the past few calls, I have said that this year our target is to get somewhere around Rs. 500 crores of R&D and we will be around that number, maybe even lower.

Am Lodha: Then another one year, your US facility Aleor, any write-off in this quarter regarding that subsidiary or completely amount has been written off?

Pranav Amin: No, no more write-offs, everything is done.

Am Lodha: My last question, sir, why tax liability is so low? Profit before tax is Rs. 129 crore on consolidated basis and the current tax is only Rs. 4 crores?

R. K. Baheti: Two things, one is Aleor is no more subsidiary, it has got merged into Company. It is now a division of Alembic Pharmaceutical and if you recall that in March we did the impairment of assets which would be spread over 2 years, so that is how we get the tax benefit - what we call deductible expense and tax provision is low.

Am Lodha: So can you just give how much tax we expected to pay in 2024 and 25?

R. K. Baheti: Very difficult, that would depend on how much profits we make in future

Moderator: Thank you. The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My question is for Pranav, so Pranav some of your peers are talking about normalized price erosion in the US and then opportunities emerging due to shortage, etc., so how does Alembic stand here in terms of gaining from such opportunity? Or like what are your broader observations on the US pricing opportunity etc., from next few quarters' perspective?

Alembic Pharmaceuticals Limited

August 04, 2023

Page 6 of 17

Pranav Amin: For the last 6-7 years that we have been in the US market, we have always done well when there are shortages in the market and we have been able to capture those opportunities. So that fundamental still stays because inherently our strategy is focused on a very robust supply chain and having compliance at our facilities. So if there are shortages, we would like to take those opportunities. Having said that, the last 3 years, we have seen excess supply in the market and the buyer consolidation has really driven prices down. There is a little bit of improvement over the last quarter, I would say over the last 3 to 6

months . There is still price erosion in the market . It depends , molecule to molecule. There were certain segments in the generics which had little lesser erosion. We saw some disruptions in some injectables , some Derm and some Ophthalmic, which were interesting opportunities . Of course our injectable portfolio is still a little nascent , we just started launching it . So that is where we are seeing some opportunities . Let us see how it goes .

But the erosion is still there and

as I mentioned that we are geared up to do well whenever there are shortages in the market.

Damayanti Kerai: So specifically, do you think the injectables will be interesting from your perspective since you have new plant and you have just started supplies etc ., and how much you can achieve , say in next 2 years or so from injectables ?

Pranav Amin: We are not giving a guidance on the revenue, but injectable is an area that where there is a relatively lesser competition than the OSD's .

Though there are some strong players , we continue to keep seeing disruptions in the injectable market. So hopefully it should throw up opportunities. Right now, our portfolio is still very small. We only launched 5 products from both the facilities so far . As we keep launching more products , as we have more breadth in our portfolio , that will help us and we will be able to capture more opportunities.

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 7 of 17

Damayanti Kerai: Can you remind us how many files you have done for injectables, like you said, 5 launches and in terms of filing, how many have been done so far?

Pranav Amin: From both these facilities for injectables about 15 to 25 filings is what we have done.

Damayanti Kerai: My last question is your expense trend , so obviously the 1st Quarter number now reflects full impact of new plants etc., so should we work with this base or we can see further expansion in cost in line with like your topline growth etc.,?

R. K. Baheti: We don't expect further expansion in cost, the base is around these numbers.

Damayanti Kerai: So fourth quarter is base most likely going ahead.

R. K. Baheti: Yes.

Moderator: Thank you. The next question is from the line of Am Lodha from Sanmati. Please go ahead.

Am Lodha: Sir, I have observed from the results that the API business company is doing very well, there is good growth in API in this quarter also beside last quarter, so whether the company is planning in any expansion in API?

Pranav Amin : Thank you very much. API has been a focus area for us and over the last 12 quarters or so, the API business has seen a pretty decent growth . In the past, I have guided for about 10 % to 15% growth in the API business and we will stand by that . This year , of course, the 1st Quarter was very good. It was very robust. Our strategy is still the same. We will focus on a robust supply chain with compliances in place and hopefully it will help our partners in the business and that is what again, we have done well over there and we will continue with the API business growth moving forward as well .

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 8 of 17

Am Lodha: Any expansion in API, sir company is planning ?

Pranav Amin : We continue to keep doing expansions at our facilities and we keep adding more blocks and more facilities in the same plants.

Am Lodha: Sir, my second and last question, regarding 3 new plants which we have installed in the last 2 years , they have capitalized in the current quarter, sir? The commercialization of the 3 new plants has been capitalized I mean to say the depreciation interest on these 3 new plants has been debited to the profit and loss account ?

Mitanshu Shah : Yes, we have capitalized it and from 1st April, we have depreciation for these three plants already booked in P&L for the current quarter .

Am Lodha: But the product approval has already been commenced by and the plant has been approved by US FDA?

Mitanshu Shah : Yes, we have launched , between these two plants 5 products are commercialized.

Moderator: Thank you. The next question is from the line of Bharat Celly from Equirus Securities. Please go ahead.

Bharat Celly: Sir, I just wanted to, Baheti sir, actually during the last quarter, you mentioned that large part of t

he costs which were associated with the new plant had already come in fourth quarter , so I was under the impression that all the costs were there in the fourth quarter and the 1st Quarter should have seen a flattish other expenses as well as employee expenses , so still we are seeing the increase , so can you elaborate what exactly has happened that if the cost was there completely during the fourth quarter or not?

R. K. Baheti: You are right to the extent that from 1st of January onwards, we have not capitalized, we have not done any further capitalization of cost. We have charged it to P&L, but as the plants are now getting approvals and products are getting launched , there is some revamping of manpower cost, utility costs and so on. So obviously those costs have gone up a

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 9 of 17

bit and secondly , it also depends on the cycle of other expenses and all of that. So it is very difficult to do a quarter-on-quarter cost analysis , one item of cost comes into one quarter and the cost looks big on smaller base , but broadly now what we are saying is we are not further capitalizing any expenses, whether it is of old Derma division or other facilities, everything is getting charged up to P &L.

Bharat Celly: I am asking can we take it as a base for the future quarter, this cost side?

R. K. Baheti: I will say that broadly yes, some variation would always be there.

Bharat Celly: Actually , I just wanted to pick your mind on the US pricing environment , we have been hearing a lot that there have been a changing for pricing environment whereby the overall pricing environment could be very soft as compared to the last quarter, so just wanted to get a sense of how you are dealing the overall these line items, whether you are seeing that actually the prices have started coming down and have you seen any material change in the overall competition landscape whereby you are seeing couple of guys running their overall portfolio? Have you seen it yet?

Pranav Amin : No, actually I have not seen any material change in terms of anyone pruning the portfolio or any fundamental change in the market , so that scale rises. The only thing that happened last few months is that there was some regulatory action against some facilities , which has reduced some supply in the market and these companies which had the regulatory issues at high market share on certain products has caused the shortages , but we continue to keep seeing shortages in the US market as per the FDA shortage report , but there is still quite a bit of supply in the market. So while in terms of pricing , there is still erosion in the market and I don't see any change, is it less than what it was 6 months back, yes , maybe, but it is still there.

Bharat Celly: Is it possible for you to outline that how much was price erosion for Alembic during this quarter, from the quarter-on-quarter perspective?

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 10 of 17

Pranav Amin : It is very tough to say , no, because each product is different . Now in certain products you may have pricing erosion of up to 30 %-40% and certain cases, it may be flat with no new entrants coming in. So if I give a figure and it is not going to be valid because you can't take it, you can't calculate it. It is a very product specific.

Bharat Celly: But earlier it used to be like double digit , has it come down to a high single digit, mid single digit , anything like that if you can top of that ?

Pranav Amin : It is still double digits.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: So I have three questions, first one is in the API business, what kind of growth you are looking for in this year and I think raw material prices have seen some

correction plus energy costs have also some

correction , so how do you see margin API in this year, overall if you can just help on how do you think API business for this year ?

Pranav Amin: So the API business, as I have said in the past few calls, I expect this business to grow between 10 % to 15% year-on-year and I think we are on track for that. In terms of margins, our margins have been pretty decent in the API business. We were not affected much due to the higher price of the raw materials that we saw , we were covered and we are pretty okay on that . While what is happening in the margins is, as the price of the raw materials comes down , so does the expectation of the finished product in the market as you have more competition . So in margins we maintain , our API business got decent margins, then we will continue maintaining those moving forward.

Resham Jain: And in the domestic business, as you mentioned, season has just started, there has been some delay , so how do you see the growth given that we have built a good sales force also over the last couple of years and there also if you can guide on the margins again, given we

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 11 of 17

have seen inflationary situation in the previous few quarters which is again moderating , so?

Shaunak Amin : On the India piece, that delayed monsoon. It is one of those things that we have been seeing now for the last 5-6 years where it changes from year to year. It is just a matter of a delayed onset with kind of slows things down . So I don't think from any manpower angle we have any issues on the acute side, we haven't expanded manpower in the current year which has the impact of seasonality to it. It is still early, but usually we have seen that delayed onset usually leads for long season on the back end , so usually for the last 3 years, we have seen the Q3 has been significantly better in terms of seasonality compared to Q2. So I think maybe it is due to climate change and realigning trends . On the margin side, we haven't seen any pressures on the margins. At the moment and we just continue to see the same levels of margins going forward.

Resham Jain: And the last one is on overall capital allocation for this year, given that we have limited CAPEX, so how do you see the cash flow being redeployed?

R. K. Baheti: We have said that our major projects are over. We are building a new facility for the domestic business at Pithampur , Indore and that will consume some cash . In the 1st Quarter , we also completed one pending line at F3, the injectable plant that is done and capitalized .

Going forward, capital should be largely maintenance CAPEX, so this year our total CAPEX including the 1st Quarter could be in the range of Rs. 300-350 crore or so and going forward probably even lower.

Resham Jain: Sir, my question was how are you thinking about cash redeployment? Are you going to increase the payouts? Are you going to , what are you thinking from the incremental cash inflation perspective?

R. K. Baheti: As of now, we have borrowing of about Rs. 550-Rs. 600 crores on books , that gets repaid out of the cash flow which we generate and thereafter we will look for more opportunities.

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 12 of 17

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, given the kind of shortages that are happening on the injectable

side, certain plants having had weather issues , so would you like to throw some light in terms of what could be the benefit for us on a FY24 basis from this current quarter sales of \$48 million ?

Pranav Amin: It is tough to say on the shortages, how it will impact us and which products . As I said , generally , our strategy has been

that if there are

shortages , we are in a good position to take it , but we have seen lot of shortages in injectables, but as of now, as I said, it is still an early portfolio for us. It is in a nascent stage. We have launched only 5 products . As we launch more products, we will be able to participate in those markets as we go along . So it is tough to say how we are going to move from here onwards. What we are hoping for is this year we will launch a total of about 20 plus products and hopefully that will start picking up and as we move along, we will see more growth coming in the following quarters.

Tushar Manudhane : Any clarity as in this 10% to 15% growth also is still very much possible , right at least ?

Pranav Amin: We have not given growth guidance , we don't give a growth guidance.

Tushar Manudhane: And on the animal health business, now that it has become a reasonable size, so if you could just throw some more light in terms of what this strategy would be to further expand this business?

Shaunak Amin: On the animal health side, we have seen this tremendous run rate. In the current year, we have expanded about 200 people in the animal health business and we created a separate vertical to focus more on feed products in the large cattle space. We continue to see very strong traction and we have some good launches lined up in the nonantibiotic feed space as well as in terms of probiotics and in some mainline veterinary products. So we are very bullish on this space and we

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 13 of 17

continue to look at growing it organically with the same momentum and hopefully pick up some upside on business.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: One question on depreciation, we are seeing quarter -on-quarter debt while you are saying that we have started capitalizing all the plant expenses , so just want to know the reason why there is a debt and why that is equal to your earlier quarter amount of depreciation , when there used to be capitalization ?

Mitanshu Shah Rashmi, that is largely on account of the Aleor depreciation effect that we had in the previous quarter, which does not continue in this quarter . last quarter Q4 where we had Aleor amortization .

Rashmi Shetty: So this will be the right base to take it for the full year, right?

Mitanshu Shah Yes.

Rashmi Shetty: And your other income seems to be pretty high, quarter -on-quarter as well as year-on-year also if you see, does that include any Forex income or anything if you want to explain about it ?

R. K. Baheti: Yes, you got it right. Actually , for us it is an operational income only, but accounting standard classified as other income, this is Forex income .

Rashmi Shetty: And any ballpark number can you give on the tax rate because it is very low this quarter, for the full year where you have target 17% to 18% , should we model in the same number as of now or you see that it should be lower than the number which you had guided?

R. K. Baheti: In this year, actually, tax rates are likely to be lower because of impairment expenses, we are going to claim this as deductible expense.

Rashmi Shetty: Any ballpark number which you can guide on that to?

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 14 of 17

R. K. Baheti: It would depend on the total profit and minus the impairment , so it is like giving guidance on the profit and can't be give at this moment .

Rashmi Shetty: And on FY25 , the tax rate would clock back again between 17% and 18% right?

R. K. Baheti: Sorry, going forward ?

Rashmi Shetty: Yes, going forward.

R. K. Baheti: That we will be back to MAT.

Rashmi Shetty: And with the current operational expenses, our EBITDA margin is now in the range of 13 %

to 14% in the next few quarters, will it be sustainable

or we do have scope for expansion from the current level?

R. K. Baheti: if sales grow because the fixed overheads are likely to stay at current levels, so if the sales grows, which we hope that the margin should expand.

Moderator: Thank you. The next question is from the line of Sandeep Raj from Oculus Capital. Please go ahead.

Sandeep Raj: I had questions specifically on the injectables, when can we expect a revenue generation from the injectables?

Pranav Amin: Started already. As I said earlier in the call, we have got launched about 5 products which are from the injectable facilities, 4 from the onco and one from the general injectable. So revenue has started and as we launch more products, it will gradually ramp up as well.

Sandeep Raj: May I ask, how much was the revenue for quarter 1?

Pranav Amin: We haven't given that. We have disclosed the breakup, but we don't disclose the facility wise.

Sandeep Raj: And regarding the pricing scenario, specifically for injectables, how is that going?

Alembic Pharmaceuticals Limited

August 04, 2023

Page 15 of 17

Pranav Amin: It is tough for me to comment because it is still a little early for us. It is as I mentioned just the 1st Quarter that we started launching products and 4-5 products is not large enough set to give an analysis. I think hope fully by the end of the year, we will be able to give you a better perspective on the injectables as well.

Moderator: Thank you. The next question is from the line of Bharat Celly from Equirus Securities. Please go ahead.

Bharat Celly: Sir, just wanted to get a sense on gross margins, we have seen a sharp expansion sequentially, so if you can help with what led to that?

R. K. Baheti: So gross margin is a factor of product mix. In our case actually we have been maintaining this gross margin, more or less over the last few quarters. The margin dependence is more on overheads, so because of increase in overheads, the margins have gone down, but otherwise gross margins are at around 70 % plus minus couple of points.

Bharat Celly: Have you seen any softening of raw material prices, which would have helped us during this quarter?

R. K. Baheti: Not really. I think for the raw material cost for us has been fairly steady.

Moderator: Thank you. The next question is from the line of Jainil Shah from JM Financial. Please go ahead.

Jainil Shah: My question is on the US business, we have been launching new products from our new facilities, so when do we see this business becoming profitable? Any meaningful launches that you would like to call out?

Pranav Amin: So this business has always been profitable for us and we don't really disclose vertical wise profitability, but as we go along, hopefully we will have more launches. As I said, we are going to launch 20 plus products this year in the US. So that will help build up. The other thing is we have seen a reduction in R&D spend, which used to be almost Rs. 600

Alembic Pharmaceuticals Limited

August 04, 2023

Page 16 of 17

crores, it will come down approx Rs. 500 crores this year. So that will also help the margins.

Jainil Shah: And what is our margin aspiration 2-3 years down the line? Where do we see that hitting?

R. K. Baheti: No, actually it is again, it would amount to giving guidance which currently we are not because we still need to test the newer facilities, newer products in the market, but aspirational margin without really

linking it with our current performance would be back to 18%-20%.

Jainil Shah : And is it fair to assume that 1Q margin would be bottom and we could see improvement going forward ?

R. K. Baheti: I already responded to this question that the overheads largely remain fixed as the sales growth of the margins would get better.

Moderator: Thank y

ou. The next question is from the line of Nitin Gandhi from Inoquest Advisors. Please go ahead.

Nitin Gandhi: What is the asset turnover plan for the injectable facility?

Mitanshu Shah Too early to say, at this point in time

Nitin Gandhi: No, when you designed the plant what was in your mindset, I am not asking what is current expectation?

Mitanshu Shah Very difficult to put a number in current US business environment because product could generate or give you like \$100 a bottle and same product could get you \$3, so it is very difficult.

Nitin Gandhi: What is the amount capitalized for injectable facility?

Mitanshu Shah : For all the three plants put together, it was around Rs. 2,000 crores of which pre-op was around Rs. 1,100 crores which got impaired last year.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Alembic Pharmaceuticals Limited

August 04 , 2023

Page 17 of 17

Rashmi Shetty: Just one follow up question on the US business, like you said that the price erosion has been in double digit on an average, can you just specify when this happens where do we stand? Is it higher than the average price erosion for your portfolio or the price erosion has slowed down in that?

Pranav Amin: As I mentioned , it is very tough to say product specific how the erosion works. Every time we have a new entrant, you have someone trying to take a market share. So , it is very tough to have basis and to extrapolate that data . So this is generally what we are seeing across the portfolio . It is a double digit erosion and it is very tough to single out a Sartan or particular Sartan . In certain cases, there may be a new entrant who is trying to get more aggressive and in certain cases , there are not , so it is very tough to give a general answer to this.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. R. K. Baheti for his closing comments. Thank you and over to you.

R. K. Baheti: Thank you very much , everybody once again and wish you all the best. We will see you all in next quarter call. Thank you.

Moderator: Thank you. On behalf of Alembic Pharmaceuticals Limited, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 10th November , 2023

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code:533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 7th November , 2023

Ref: Our Intimation dated 16th October , 2023

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 7th November , 2023 .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 12

"Alembic Pharmaceuticals Limited Q2 FY24 Earnings
Conference Call"

November 07, 2023

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R. K. BAHETI – DIRECTOR (FINANCE) & CFO
MR. MITANSHU SHAH – HEAD (FINANCE)
MR. AJAY KUMAR DESAI – SENIOR VP (FINANCE)

Alembic Pharmaceuticals Limited
November 07, 2023

Page 2 of 12

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY24 Earnings Conference Call of Alembic Pharmaceuticals Limited.

We have with us today Mr. Pranav Amin – Managing Director, Mr. Shaunak Amin – Managing Director, Mr. R. K. Baheti – Director-Finance & CFO, Mr. Mitanshu Shah – Head -Finance and Mr. Ajay Kumar Desai – Senior VP- Finance.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. R. K. Baheti. Thank you and over to you, Mr. R. K. Baheti.

R. K. Baheti : Thanks. Good evening everyone. Thank you all for joining the second quarter results conference call. I'm sure you would have got the results by now.

Let me, however, briefly take you through the numbers for the Quarter Ended 30th of September 2023:

During the quarter, our revenue grew by 8% to Rs. 1,595 crores.

EBITDA is Rs. 218 crores, which is 14% of sales and net profit is Rs. 137 crores.

During H1, the revenue grew by 13% to Rs. 3,081 crores. EBITDA is Rs. 428 crores, which is 14% of sales again, and grew by 27%. Net profit is Rs. 257 crores, grew by 47% before considering non-recurring items of corresponding period.

EBITDA and net profit are not exactly comparable with previous year corresponding period as Rs. 61 crores and Rs. 116 crores of cash expenses for Q1 and H1 respectively and Rs. 12 crores and Rs. 23 crores of depreciation has been expensed out in Q2 and H1

Alembic Pharmaceuticals Limited

November 07, 2023

Page 3 of 12

respectively for the new manufacturing units which were earlier being capitalized in previous corresponding period. So the current year profits both at the EBITDA level and at the net profit level are after charging off all the expenses of facilities F2, F3 and F4.

EPS for the quarter before non-recurring items is 6.95 per share versus with 7.09 for the previous year. And for H1, it is 13.08 per share versus 8.93 in the previous year.

Our gross borrowing at consolidated level is at Rs. 784 crores versus Rs. 693 crores on September 2022. The Company has Rs. 141 crores of cash in hand versus Rs. 65 crores on September 2022. Net debt equity stands at 0.14, almost same as compared to the previous year.

Our new development for this quarter has been solar plant installation.

I'm happy to share with you that our 12 megawatt solar plant has been commissioned with effect from 4th of October 2023 and is operational at rated capacity. The effect of capitalization and energy savings will be reflected in Q3 onwards. The project has a healthy ROI of 18% to 20% with payback of less than 5 years at the current electricity rate in the state.

I would now request Shaunak to take you through India business.

Shaunak.

Shaunak Amin : Yes, thank you Mr. Baheti. India business, we clocked in Rs. 577 crores, which is a growth of 5% in Q2 versus industry growth of 7% as per IMS, partly due to extended summer and muted demand in antibiotic and respiratory markets.

Despite its low growth, the specialty therapies in gynecology, antidiabetic, ophthalmology saw an impressive growth, which was 9% as per IMS.

Alembic Pharmaceuticals Limited

November 07, 2023

Page 4 of 12

In the antibiotic and respiratory segments, which were heavily degrowth

for the Market for the quarter, we have a relatively better performance in terms of growth numbers, which is there in the investor presentation. We had significant new launches in the last 12 months, and they continue to do well, and we have some strong new launches in the India Business lined up in H2 across our key product segments. The animal health c

are business, which is a significant part of our portfolio, grew at 32% for the quarter. And a highlight for this is we added manpower with a new division in livestock with a 350-person headcount. And along with this, we expect growth to get accelerated in the coming quarters and years.

We will now move on to the international business.

Pranav Amin: Thank you. The US business grew 6% year-on-year basis and 14% sequentially. As we mentioned, we are focused on launching new products in this year and improving efficiencies and execution in the mid term.

Importantly, the ex US formulation business, which grew by 17% as well as API business, which grew by 10% have been doing very well in the last couple of years. We're confident of good performance in both these verticals in the current year.

The R&D expense is Rs. 121 crores for the quarter, which is 8% of sales. We have been working at optimizing our R&D costs and improvements are on track.

We filed 2 ANDAs during the quarter and cumulative ANDA filings at 252.

We received 6 approvals in the quarter and cumulative we have 190 ANDA approvals including 25 tentative approvals.

Alembic Pharmaceuticals Limited

November 07, 2023

Page 5 of 12

We launched 3 products in the US during the quarter and plan to launch over 10 products during the second half of this year.

All our plants are in compliance mode and EIRs are in place.

The US Generics were at Rs. 444 crores for the quarter.

The ex-US generics grew 17% to Rs. 252 crores for the quarter, whereas the API business grew by 10% to Rs. 322 crores for the quarter.

Now, I would like to open the floor for question and answers.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty : Yes, so the first question is on other expenses. We have seen a sharp increase quarter-on-quarter. Is it this is because of expensing of the new facilities? And should we see this as a new base or it has got anything one-off included in it? Excluding R&D I am talking about?

R. K. Baheti: You are right. Actually it is not quarter –on-quarter, quarter one also we had charged off these expenses to P&L. This is more to do the comparison with the previous year's quarter where these expenses were not charged, as I said Rs. 60 crores of expenses come into this part of the quarter as other expenses and of course, salaries and all that. As far as the comparison between quarter-on-quarter is concerned, Q2 of financial year is always a high-spend quarter for the domestic business. So that way, it's not comparable. But you are right new facilities account for a little bit expensive.

Rashmi Shetty : So sir, this will be the new base. Now we should take it for the subsequent quarters.

R. K. Baheti: Again, with a little decline in sales promotion expenses in Q3 would be safe, but Q4 probably...

Alembic Pharmaceuticals Limited

November 07, 2023

Page 6 of 12

Pranav Amin : So if you see the new facilities, yes, this is the new base, because you have about Rs. 60 crores, Rs. 70 crores of cost for the new facilities, so this will be the new base.

Rashmi Shetty : Rs. 60 crores – Rs. 70 crores every quarter related to the new facility, right?

Pranav Amin : Additional that we're having, yes, absolutely.

Rashmi Shetty : And sir, what we see that, your US business has improved quarter-on-quarter, then we are also seeing that the non-US business is also better.

In terms of India business, your acute therapies showed a lower growth, but your specialty and other therapies are doing well. And despite all this, we are also seeing a quarter-on-quarter dip in your gross margin.

So any specific reason for it? Also, if you can call out related to the input cost, that is the cost for raw material, whether it is softening for you or stabilized.

R. K. Baheti: Actua

Ily speaking, there is no decline in gross margin. Gross margin has been consistent. It's slightly better than the previous year. And on a sequential basis and for the current year, very minor changes maybe because of product mix, otherwise gross margin is consistent.

Rashmi Shetty : So it is only related to the product mix when we see quarter-on-quarter, right?

R. K. Baheti: Yes.

Rashmi Shetty : Any ballpark guidance you would like to give on the gross margin as well as on the EBITDA margin front?

R. K. Baheti: We don't give guidance, but we have said in the past that GM 70%.

Rashmi Shetty : 70% you're talking about the gross margin?

R. K. Baheti: Couple of points.

Alembic Pharmaceuticals Limited

November 07, 2023

Page 7 of 12

Rashmi Shetty : And nothing on the EBITDA margin guidance?

R. K. Baheti: No, I mean, we are not giving guidance, but current number, we'll be happy to continue the current number for the time being.

Rashmi Shetty : Got it, sir. And sir last on the US business, if you can throw some light whether quarter-on-quarter growth is mainly because of new launches or you have seen some improvement in the base business, any stabilization in the price erosion if you can talk more on that part?

Pranav Amin : Yes, it's a good question. In the US business we had a couple of launches from these facilities that came up. As you know, Alembic, we typically take some time to get market share, so it's there, so some of it is new launches. There is still erosion in the market. It depends molecule to molecule. Some people are a little more aggressive. As and when we see people coming to the market, there may be some, but by and large, it's a little lesser. As you know, the volumes and the demand for us is still quite strong. We're still getting a lot of volume. It's just not at the prices that we like, but the volume is still quite strong in some of the older products as well.

Rashmi Shetty : Okay, so we will be able to maintain this kind of run rate in the subsequent quarters also.

Pranav Amin : Let's wait and see how it goes, unless there's significant erosion if there's a new entrant and it really drop prices even further, we lose out.

So yes, as of now, the status quo.

Moderator: Thank you. Our next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My question is on the US business. So Pranav, you mentioned new launches have definitely helped a quarter. But can you specify how has been pickup on the injectable launches side like how many launches done and what are your observations on market pickup for those

Alembic Pharmaceuticals Limited

November 07, 2023

Page 8 of 12

products so far? And the kind of erosion in injectable, is it very different from what we see in the oral products?

Pranav Amin: It's still early days for us. To be honest, from F3, which is a general injectable, we've just launched 2 products, one ophthalmic and one injectable. So it's early days for us. On the Onco side, we've launched a couple of products and the pickup has been pretty good. So we're

pretty happy with it. It is both on injectables as well as OSD side. It's been pretty good. But for me to give a better answer, I would still require a couple of quarters because these are just very few products. I don't want to have an opinion just based on a few products. But so far, it's pretty good on the pickup that we're seeing and the demand.

Damayanti Kerai: And the level of price erosion, maybe it's early days, but is it better than what we generally see in the oral launch?

Pranav Amin: Yes, again, it's a small subset of products. On the injectables, we only got a couple of products, three or four products in the market. So it's still early to say around the particular products that we have, yes, the erosion is not there, or not as much as that we're seeing.

Damayanti Kerai: And very broadly say like 2 to 3 years from now, how would you see

your US portfolio say between oral and non-oral products? Because I guess you're focusing more on a bit of differentiated launches to offset price erosion etc.

Pranav Amin: I think what will happen is your OSD part of it will always be there. So for me from being 100% OSD, I see how we've moved as a company, we've got a bunch of ophthalmics now, we've got a bunch of derm products, about 15-odd ophthalmic products, we've got 2 inhalation products and now we'll have the injectables also coming through. So the OSD bit will gradually start coming down.

Damayanti Kerai: And on a Derm portfolio, have you seen any improvement on pricing or is it still very challenging?

Alembic Pharmaceuticals Limited
November 07, 2023

Page 9 of 12

Pranav Amin: The Derm has been a good business for us in the first half of the year, predominantly due to some shortages in the market. So that business has been quite profitable for us for the first half of the year.

Damayanti Kerai: But the pricing challenges continue there, right? So one estimate may have benefited from some demand etc.

Pranav Amin: Yes, we've seen some shortages in the market which benefited us for a couple of products.

Damayanti Kerai: And my last question is on India bit. So second quarter obviously muted seasonal impact etc. But in coming quarters, how do you see growth picking up and what key drivers?

Shaunak Amin: Yes, on the India business, what gives us confidence of moving forward as you know, if you have a copy of the investor presentation, I have put in a slide specifically for the slowdown and if you see versus the slowdown, we've relatively performed better. So our net debt growth, I think is +3.5 -+4 versus market. That also plus on the back of a very high base last year, post COVID for azithromycin and a lot of liquid preparations. Going forward, we're extremely confident. We expect the market to stabilize coming into Q3, Q4. And we expect growth to return to a strong double digit growth. Having that said, if market throws no surprises in the future, we should be very comfortable. And if I look at it from a growth profile, from a portfolio point of view, once the acute piece comes back on track, we will see at least a high single digit to double digit growth across all products all therapeutic segments.

Damayanti Kerai: So depends on your broader market trends, but you are comfortable with high single digit to double digit given that there are no...

Shaunak Amin: Yes, as you're aware, the acute, both antibiotic solid and liquid plus respiratory cough and cold are all at negative, -5, -7 for the quarter. Yes, it's very challenging to grow on that, but like I said, if we don't see any

Alembic Pharmaceuticals Limited
November 07, 2023

Page 10 of 12

base effect coming in, going forward, I think we're quite comfortable to deliver those kind of numbers consistently.

Moderator: Thank you. Next question is from the line of Chirag Dagli from DSP BlackRock. Please go ahead.

Chirag Dagli: Sir, you have about 129 products in the US. In how many of these do

you think do you have market share, which is lower than where you ideally want it to be? And how soon can we expect that market share scale up?

Pranav Amin: It's not as simple as branded market, right? And the reason what we do is to pick market shares, really you have to go and drop prices and we won't be comfortable with dropping prices in most of these products. So the market share that we have is we take an opportunity based on the shortage we like to pick up market share because we can get it at a better price. So we are pretty happy with where we are. On the newer products, as I mentioned, I am not just now, I've always mentioned that we take a little time ramping up because we wait for good opportunities to get it. So on the last, the launches that we would have done in the last couple of quarters, 2-3 quarters, yes, I there may be some

potential

in some of these products to increase the market share. Otherwise, we're pretty happy with where we are. We do have a very good track record with supplies, so we actively get solicited a lot by the buyers to participate in some bids, but we only do so if the price is interesting. But on the volume side, we're pretty confident, so if we want to get more market share, we can. It's just we have to be happy with the price that we want to get around.

Chirag Dagli: Is it fair to say that between, so you've launched over the last 6 months maybe 10 odd products, is it safe to say between 12 and 15 products is where your market share is still ramping up, it's probably suboptimal than where we?

Pranav Amin : Yes, and some of especially with the new facilities, definitely it takes some time to ramp up and we want to be more confident of supplies,
Alembic Pharmaceuticals Limited
November 07, 2023

Page 11 of 12

because we don't want to get into a situation where we take on orders and we can't supply and have shortages and penalties. So we normally do that gradually as we get more confident.

Chirag Dagli : Understood. And generally, when you look at this entire portfolio of 129 products, how have you seen? I know price erosion is a difficult number, but in how many products would you have probably seen price increases and price declines, which are beyond the normal single-digit kind of erosion that you have?

Pranav Amin : It's very tough to answer it, you know, Chirag, because it really depends product to product. If someone comes in aggressively on a product, then yes, you will see double digit price erosion. At certain times, we give up the business, certain times we match up. So it's very tough to give an overview answer. There is still the erosion in the market. But as you've seen, it's kind of bottoming out. But yes, some people still go a little lower.

Chirag Dagli ; Understood. And sir, how many pending ANDAs do we have at the moment?

Pranav Amin : About 62. 62 pending and this year we'll file about 15, over 15 products. Our filing rate also will reduce our R&D spend from 20-25 that we were doing will come down to about 15 or so.

Chirag Dagli : Understood. And sir, can you give some color around the quality of this pending ANDAs in terms of injectables, oncology, derma or else, just some color, qualitative color.

Pranav Amin : Our aim is to get a little more complex filings. This is going to take some time. As you know, we've got a little bit of a delay, but in the future we should see more complex filings on the injectable site.

Chirag Dagli : So my question was on the ones that you've already filed, the 62 and probably the 15 that you will file in 24. Just some color around.

Alembic Pharmaceuticals Limited
November 07, 2023

Page 12 of 12

Pranav Amin : Because out of the 62, you have some which are OSDs, some which are derm, some which are ophthalmic, and the balance are injectables. Injectable filings are about 15 odd products or so.

Chirag Dagli : Of the 62, 12-15 are injectables.

Pranav Amin : Roughly, something like that, yes.

Chirag Dagli : And derms, how many, sir?

Pranav Amin : Derm, I think, must be another 5 to 10.

Chirag Dagli : And sir just a last question, if I can. When do you really think the US business will see a material change in the numbers? We're still in this \$50 to \$60 million quarterly kind of run rate. But if you have to kind of think about this business longer term, when do you think this business really inflects from an absolute dollar million standpoint?

Pranav Amin: Its variable . Ideally, this should grow. As we get more products. Let's wait a couple of quarters to see how we do and how we do with the launches on the new products. And then we'll get an idea. we'll see gradually ramping up as we get more products and we shall launch in the market.

Moderator: Thank you. Ladies and gentlemen, that was the last quest

ion of our

question and answer session. As there are no further questions, I would now like to hand the conference over to Mr. R. K. Baheti for closing comments.

R. K. Baheti: Thanks. So, thank you once again to all participants. And if anybody has any followup questions, they can be in touch with Mitanshu or Ajay.

I wish you all a very happy Diwali and a cheerful festive season. All the best. Thank you.

Moderator: Thank you. On behalf of Alembic Pharmaceuticals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your li nes.

Call: Feb 2024

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 9th February, 2024

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code:533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 5th February, 2024

Ref: Our Intimation dated 18th January, 2024

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 5th February, 2024 .

We request you to kindly take the same on record.

Thanking you,

Yours faith fully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 16

"Q3 FY24 Earnings Conference Call of Alembic
Pharmaceuticals Limited "

February 05 , 202 4

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. R. K. BAHETI – DIRECTOR -FINANCE & CFO
MR. MITANSHU SHAH – HEAD -FINANCE
MR. AJAY KUMAR DESAI – SENIOR VP -FINANCE

Alembic Pharmaceuticals Limited
February 05, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to Q 3FY24 Earnings Conference Call of Alembic Pharmaceuticals Limited.

We have with us today Mr. Pranav Amin – Managing Director, Mr. R. K. Baheti – Director -Finance & CFO, Mr. Mitanshu Shah – Head -Finance and Mr. Ajay Kumar Desai – Senior VP -Finance.

As a reminder, all participant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R. K. Baheti. Thank you and over to you, sir.

R. K. Baheti : Thank you. Good afternoon. I thank everyone to join our 3rd Quarter Results Call.

Straight away, I will go to “Financials”:

During the quarter, our total revenue for the Company grew by 8% to Rs. 1,631 crores . EBITDA also moved up and is Rs. 269 crores, which is 16.5% of sales and net profit grew by 48% to Rs. 180 crores.

During the 9 months period cumulative up to December 2023, our revenue grew by 11% to Rs. 4,712 crores. EBITDA is Rs. 697 crores which is 15% of sales and grew by 22%. Net profit is Rs. 438 crores, it grew by 42% versus Y -o-Y. Before considering non-recurring items of corresponding period.

Alembic Pharmaceuticals Limited

February 05, 2024

Page 3 of 16

EBITDA and net profits are not exactly comparable with the previous year corresponding number as almost Rs. 64 crores and Rs. 180 crores of cash expenses and Rs. 14 and Rs. 37 crores of depreciation has been expensed out in Q3 and 9 months respectively for new manufacturing facilities which you are aware, were earlier capitalized. So from 1st of January 2023 onwards, we have started charging of all expenses to P&L.

Our gross margin stayed at around healthy 70% .

EPS for the quarter before non- recurring items is 9.18 per share versus 6.76 in the corresponding period last year.

“Cash Flow and Borrowings ”:

The Company generated a healthy cash flow of Rs. 652 crore s over 9 months period December 2023. After meeting its CAPEX as well as working capital requirement, net cash inflow was Rs. 309 crores, which was used in paying dividend and repayment of borrowings.

The gross borrowing is reduced to Rs. 575 crores, as compared to Rs. 686 crores on December 22. The Company has about Rs. 156 crores of cash in hand versus Rs. 146 crores last year same period.

I will now hand over the call to Pranav for discussing both “ India Business and the International Generics” .

Pranav Amin : Thank you, Mr. Baheti .

Despite the muted demand in the antibiotics and respiratory market, the India business grew by 9% to Rs. 596 crores.

Alembic Pharmaceuticals Limited

February 05, 2024

Page 4 of 16

Specialty therapies performed better than the market.

Gynaecology, gastro, antidiabetic and ophthalmology therapies outpaced the market growth.

We performed relatively better than the market in antibiotic and respiratory segments on a higher base in the previous year Q3.

New launches continue to do well with promising future launches across key segments.

Animal Health had a fantastic quarter and this is business that's been doing very well for us. It grew by 32% during the quarter.

Coming to the "International Business":

We had a very satisfactory quarter with exceptional growth in the ex-US generics. The US business also grew 9% on the back of 11 launches. The US business is looking better right now with new facilities already commercialized. As they ramp up, we will get a

lot of operating leverage and cost improvements are also on track.

There is no further large CAPEX needed for the international business and we will have only maintenance CAP

EX as well as

some API expansion, including in therapies such as GLP -1 and debottlenecking.

The API business has been very strong for us over the last couple of years. The decline in growth this quarter was due to lower offtake from a few select customers since it's getting lumpy. I expect another quarter or two maybe weaker, and then we should be back to our

regular growth rate that we demonstrated in the past.

R&D expense was at 7% of sales at Rs. 114 crores for the quarter.

As we have been saying in the calls in the last couple of years,

Alembic Pharmaceuticals Limited

February 05, 2024

Page 5 of 16

our goal was to bring this down and we are constantly optimizing this and improvements are on track.

We filed 5 ANDAs during the quarter and cumulatively end up filings at 257.

We also received seven approvals and launched 11 products.

We should launch about 5 products in the next quarter as well.

The U.S. generics business grew 9% to Rs. 474 crores for the quarter.

The ex-US grew by 32% to Rs. 272 crores, and the API business degrew by 11% to Rs. 289 crores.

With that, I would like to open the floor for question and answers.

Moderator : Thank you very much. We will now begin the question- and-

answer session. The first question is from the line of Rashmi

Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: One question on the other expenses, excluding the R&D, the other expenses were pretty low and my assumption is that last

time you all said that Rs. 60 crores to Rs. 70 crores we are already expanding new facility costs. So is there any one off included in this or it is basically because of the cost improvement program and what are those cost improvement programs and whether this number will be sustainable or not in the future?

R. K. Baheti : I didn't understand your exact numbers but what we have said

is R&D we will keep it at around Rs. 500 crores for the year and

we are on track. We have already started charging off all the

expenses from new facilities which were earlier being capitalized

Alembic Pharmaceuticals Limited

February 05, 2024

Page 6 of 16

and numbers are in line, they are the numbers which somebody can take as a base.

Rashmi Shetty : And in your US business, what kind of price erosion we are seeing? Whether, we have already done 20 launches in nine months and I think that was the guidance. Any more launches are we expecting in quarter four?

Pranav Amin: Yes, 2-3 things. One, it's tough to say on the price erosion in the market because it's a factor of multiple products. Generally, it is little lower than what we had last year, but it still exists. It's product to product. It can range anywhere between 5% to 30% depending

on the incumbent who comes into the market. But it's little better.

So we don't comment on, it's very tough to give a number for the price erosion. As regards new launches, yes, we will continue

doing it. And then my opening statement, I said that we will launch about at least 5 products in the fourth quarter .

Rashmi Shetty: Sir how many products? Sorry, I did not take it.

Pranav Amin: At least 5 .

Rashmi Shetty: And what is the guidance for FY25 for the launches?

Pranav Amin: We haven't given guidance, but I expect at least 10 to 15 launches .

Rashmi Shetty: And last question is on tax rate, what should we take it for this year because 9 months because of the deferred tax, the tax rate has come down. So if you can give that and what should we take it for next two years?

Alembic Pharmaceuticals Limited

February 05, 2024

Page 7 of 16

R. K. Baheti: Tax is a computed number on profit for the purpose of taxation.

We'll get some coverage on impairment losses etc. And that's how the tax rate is looked.

Rashmi Shetty: Sir, any number would you like to share for FY25? Is it that we should take 17 %-18% in FY25?

R. K. Baheti: Yes, that's right.

ht.

Rashmi Shetty: The normalized tax, right?

R. K. Baheti: Correct.

Moderator: Thank you. The next question is from the line of Damayanti Kerai from H SBC Securities and Capital Markets India Private Limited.

Please go ahead.

Damayanti Kerai: My question is again on R&D. So looking at nine months number, you are very much in line with your earlier guidance of Rs. 500 crores or below. So how should we look at your R&D approach ahead? Because obviously you are optimizing R&D costs, but how will you build up pipelines for US? And you can also talk about the kind of products where you are spending the majority of your R&D focus as of now ?

Pranav Amin: Yes, if you see our broad R&D spend; we don't give a segment-wise break-up, but I can give a flavor of where we are and where we intend to be. About 5-7 years back it was only OSD . As we went on , today, if you look at it, we have OSD, the APIs at the chemistry bit, we have injectables, Derm , we have Ophthalmic, these are the broad areas that we are spending on. What's happened is OSD as a percentage of the total mix has come down, Derm has come down because Derm, the portfolio that we wished to do, we've done a bulk of that portfolio, so Derm has

Alembic Pharmaceuticals Limited

February 05, 2024

Page 8 of 16

come down quite a bit. Those are the two areas where we've seen a reduction, where we've seen either flat or gentle increases on the chemistry side and the injectables as we build up a more portfolio of injectables. And injectables will continue growing moving forward, injectables and Ophthalmic.

Damayanti Kerai: So OSD , Derm, as you said, has come down in a way that you're giving or optimizing costs here and spending more on newer growth areas like injectables. So as of now, can you just give us some indication, say, out of 100, how much is Derm plus OSD as a part of your pipeline and how much is the newer?

Pranav Amin: As I said, we don't give this breakup because it keeps changing and it gets lumpy also, so we don't give this breakup of segment-wise R&D spend.

Damayanti Kerai: And Pranav, did you mention in your opening remarks that you are focusing on or you are working on GLP -1 drug also ? If yes, can you comment a bit more about it?

Pranav Amin: Yes that's an interesting area that is there. The P -4, the launches are still a little away but these are interesting APIs and formulations . We have got peptide capability as well . Hence we're looking at entering the segment , we started it so we can get some of the filings done and we'll see how it goes.

Damayanti Kerai: Filings you haven't started like it's in development right now , but

you are targeting most of the opportunities. And my second question is on your utilization on the newer plants, so in your press release saying like you will be seeing better pickup or better supplies from the new plants in coming quarter. So, like how much you have covered the space so far in terms of utilization for new plant?

Alembic Pharmaceuticals Limited
February 05, 2024

Page 9 of 16

Pranav Amin: Utilization still, again, you have to peel through the layers to see the utilization. In certain areas, we are doing pretty okay and bulk of them we are still quite low and we'll pick up as we go along. The way I anticipated is Ophthalmic, we should be near practical capacity utilization in another 6 months, our Vial line should be okay in another 6 months. On the Oncology injectable side, we're seeing good pickup. And the two areas where we will have some capacity and it will take a little longer, but that's okay, that's just the nature of the business because these are late expiring products is on the OSD side of the oncology and on the PFS side of the injectables.

Damayanti Kerai: Sorry, which part of injectables? I didn't get you.

Pranav Amin: On the PFS, pre-filled as a ca

capacity utilization. There are some products which will more than take care of the cost if we get those launches, but I am talking about on the capacity utilization.

Damayanti Kerai: And for next year, you said 10 to 15 launches in the US, so I assume with these kind of launches, like 25 this year, if you do like another 5 in fourth quarter, and then in 25, you're targeting 10

to 15. So that should be reasonably picking up your plant utilizations, right?

Pranav Amin: Yes, absolutely. What's happened with launches this year is we gradually get market share. And with the new launches that come next year, we'll help. Apart from this, we also have some CMO opportunities we're pursuing for some of the lines. So those have also helped with the plant utilization.

Moderator: Thank you. The next question is from the line of Anushka Vora from Vimana Capital. Please go ahead.

Alembic Pharmaceuticals Limited
February 05, 2024

Page 10 of 16

Anushka Vora: I had a couple of questions, I've just recently started tracking the Company and I had a couple of questions. The first one was amongst all your geographies, will the ex-US be a major growth area going forward?

Pranav Amin: The ex-US, we have a little different strategy. And if you see the last few years, I see CA GR is about 15%. We've been growing pretty well in these territories. The large territories that we participate in, and we participate through partners is Europe, Canada, Australia, Brazil, South Africa. These are the big ones that we do. And we've done pretty well in that. And that we'll continue growing as a territory.

Anushka Vora: And my second question is around the API business. So how is that API business performing from the realization and a margin

point of view? And how do we see this realization going ahead?

Is this mainly going to be volume driven?

Pranav Amin: The API business has been a pretty good business for us. In the last 4-5 years, if you look at the CAGR, it must be about 11% to 15%. So slowly and steadily going, we have a very good quality of API business. By that what I mean is we have a good bunch of customers all over the world and we have done pretty well. I anticipate moving forward this business will also continue growing. A quarter or two maybe a little lower, a little slower because we have some big business which are lumpy, which comes once every 3, 4, 5 quarters and that's what causes a big bump. So a quarter or two maybe a little lower and start increasing

it again. API business is a good margin business for us. It's a decent EBITDA, decent margin for us.

Moderator : Thank you. The next question is from the line of Chirag Dagli from DSP Mutual Funds. Please go ahead.

Alembic Pharmaceuticals Limited

February 05, 2024

Page 11 of 16

Chirag Dagli: Just, you know, you've launched about 11 products in the 3rd Quarter . Overall, over the last 2 years, you probably have about 30 odd products launches and typically you've said that you gradually build up market share. I n how many of these that you've recently launched is your market share s till suboptimal where you think you can go up?

Pranav Amin: it's not always a question about market share, it is a question of what price you get in the market . Just pure market share doesn't make sense. You don't want to burn up your capacities only to sell at cents . So it really depends. If we don't have a target market

share that we get into, we want to see where we can make the most money. Yes, there are some products that are a little lower than the mar ket. But I do know as time goes by, we may get opportunities in them. But you are right, we do go a little slower. I don't have a set figure for you. But Yes , we could do better in some products. It depends on what price and all.

Chirag Dagli: And this \$ 57 million a quarter kind of a number that we've done. Is this like absolute base

Pranav or is there still anything which you fear can be lost in terms of pricing etc ?

Pranav Amin: This is the new base. See there's no sartans, there's no huge chunks of th at in the business anymore. Few small one- time opportunities which you get every quarter so that continues. So it is the base and if it's going to even moving forward, I anticipate this would be the new base or like 54, 55 could be the new base. But I can't predict that because it really depends on the next guy, some new incumbent comes and will break this, actually drop the prices even further , then we may walk out of the business. As of now, this is the base, it seems.

Alembic Pharmaceuticals Limited

February 05, 2024

Page 12 of 16

Chirag Dagli: And just from an environment standpoint, any new t houghts that you have for the US market in terms of what's changing, whether we are better placed or do you still continue to think that ?

Pranav Amin: Good question, Chirag. the US market is looking a little better compared to where we were, two years back, a year and a half back. It is looking a little better. There is still, being a good supply partner still being valued in spite of the price erosion that you see. And it's just that we have all the items in place, all the things in

place, be it the front end, which looks for opportunities, the back end which can respond to the opportunities. So it's looking little better. Having said that, the returns are down compared to what

they were 3 -4 years back, hence a lower R&D spend on the US side.

Chirag Dagli: Understood. Have we got any long term contracts?

Pranav Amin: In the US generics?

Chirag Dagli: Yes.

Pranav Amin: No, we haven't gotten into any of that because we're looking at it to see if it makes sense. While principally a long term contract

would make sense, but I think one must read the fine print and we're evaluating those if it makes sense for us.

Chirag Dagli: But competitors are getting long term contracts, you are still evaluating. Is the way to t hink about it?

Pranav Amin: We have evaluated it. I don't like some of the fine print, hence I haven't jumped into it.

Alembic Pharmaceuticals Limited

February 05, 2024

Page 13 of 16

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: So just on the US business again like at this base business of \$57 million, so would we be profitable or like at a break even?

Pranav Amin: Yes the US business is profitable.

Tushar Manudhane: Domestic being a legacy business, I'm assuming it would be in the range of 25% EBITDA margin, overall.

Pranav Amin: We don't give a breakup of EBITDA margins. I don't think we've ever given it.

Moderator: Thank you. The next question is from the line of Mr. Bharat Celly from Equirus. Please go ahead.

Bharat Celly: Just wanted to understand on US generics. So, have we seen any growth in the US volume business?

Pranav Amin: On the volume business side, yes, we are seeing an increase in the volumes of the business that is there. On a nine-month basis, we definitely have compared to last year.

Bharat Celly: And since you mentioned that you are still not clear on taking a new contract, so what is the particular reason for that? Is it surprising part or is it holding you back?

Pranav Amin: Let me just backstep a little bit. And this is a question that Chirag asked earlier. What is happening is that some of the buyers are trying to get into a long-term contract. Right now, in terms of long-term contract, a lot of them have approached us. We are still evaluating, we are still negotiating with them because one has to read the print, right? As a Company, we have to see in the long Alembic Pharmaceuticals Limited

February 05, 2024

Page 14 of 16

run what is beneficial for us and where the liabilities

could be and

that is why we're just waiting and watching. We don't want to jump into it as yet.

Bharat Celly: And sir, when we talk about US market, how do you see from the new launching perspective, when you launch a new product, what

sort of price erosion you see? When the price erosion for the incremental new products is very high, how do you see it?

Pranav Amin: Price erosion is tough to say. It depends product to product. So an incumbent may come and we've seen one product recently where we were there, the market was settled and new person came and it dropped at about 40%-50%. So you can see that kind of erosion also. But generally, it depends on who the competitors are, what the volumes are, what the shares are. It's very tough to comment on that.

Bharat Celly: So I am asking ex of our R&D expenses, our other expenses has actually gone down by Rs. 20 crores sequentially. So is it because of some cost control measures or there is something else which is leading to this and how should we see it going forward?

R. K. Baheti: No, I don't think so. Everything is normal in business. I don't think there is any particular reason for any impact. Maybe in pharma Q2, there's some higher promo expense than Q3. Probably that's the only difference.

Pranav Amin: Mr. Baheti, the other thing is, there's a little bit of saving on the RM and the sourcing side. I think that may be reflected.

R. K. Baheti: No, that's not part of other expense, Pranav.

Moderator: Thank you. The next question is from the line of Vishesh who is an individual investor. Please go ahead.

Alembic Pharmaceuticals Limited

February 05, 2024

Page 15 of 16

Vishesh: I've got two questions here. First, could you please quantify the overall revenue from your new facilities in the whole for, let's say, Q3 of financial year 24?

R. K. Baheti: No, we don't give product wise details, some of the facility wise

details . That's very difficult to provide.

Vishesh : And sir when can we see a good operation taking place regarding the new facilities , like operating leverage?

Pranav Amin: When do we expect to see operating leverage in the new facilities?

Vishesh: Yes. When can you see ?

Pranav Amin: I think someone earlier asked a question about capacity utilization in the new facilities. Now the new facilities are all operational. The

capacity utilization right now is pretty low and what I meant by operating leverage is as we go along, and as we have more product coming out, we have more opportunities and that will raise the operating leverage and costs will come down, your unabsorbed overheads will come down. That will help operating leverage, which will ultimately reflect in the margins of the Company as well.

Moderator: Thank you. The next question is from the line of Rishabh Dugal from Fino Wealth Financial. Please go ahead.

Rishabh Dugal: I have just one question. My question is, will the US business, will it be naturally driven by better product mix or what will it be?

Pranav Amin: The US business, what will happen is, as you get the number, as you have broader portfolios, you have more products getting into the market , that is right. One of the reasons why we made these

Alembic Pharmaceuticals Limited

February 05, 2024

Page 16 of 16

investments into new capabilities, such as injectable, peptides, oncology, is incremental competition there is much lesser on the OSD side. And also on this, as you go towards more complex products, you will hopefully see lesser price erosion and bigger product opportunities. That's the way we approach in the US market.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. R. K. Baheti for closing comments.

R. K. Baheti: Thanks. As you all know, it's a pleasure to interact with all of you and we will continue looking so quarter after quarter. Thank you very much

for joining again and see you next quarter. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE: ALEMBIC ROAD, VADODARA - 390 003. ● TEL: (0265) 2280550, 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 15th May, 2024

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 9th May, 2024

Ref: Our Intimation dated 18th April, 2024

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 9th May, 2024.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 23

"Alembic Pharmaceuticals Limited
Q4 FY '24 Annual Results Conference Call "
May 09, 2024

MANAGEMENT : MR. PRANAV AMIN–MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR , FINANCE AND CHIEF FINANCIAL
OFFICER
MR. AJAY KUMAR DESAI - SENIOR VICE PRESIDENT , FINANCE
MR. NILESH WADHWA - HEAD INTERNATIONAL BUSINESS AND
STRATEGY

Alembic Pharmaceuticals Limited
May 09, 2024

Page 2 of 23

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '24 and Annual Results Conference Call of Alembic Pharmaceuticals Limited. We have with us today Mr. Pranav Amin, Managing Director; Mr. Shaunak Amin, Managing Director; Mr. R.K. Baheti,

Director, Finance and CFO; Mr. Ajay Kumar Desai, Senior VP, Finance; and Mr. Nilesh Wadhwa, Head International Business and Strategy. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference

over to Mr. R.K. Baheti. Thank you, and over to you, Mr. Baheti.

Raj Kumar Baheti: Yes. Thanks. Thank you, everyone, for joining our call. Let me briefly take you through the numbers, financial numbers for quarter ended and year ended 31st March 2024.

During the quarter, our total revenue grew by 8% to INR 1,517 crores, EBITDA is INR 263 crores, which is 17% of sales, and it grew by 29% on Y-o-Y basis. Net profit is INR 178 crores grew by 17%.

During the financial year, the whole year, revenue grew by 10% to INR 6,229 crores. EBITDA is INR 961 crores, which is 15% of sales and grew by 41%. Net profit is INR 616 crores. It grew by 80%.

EBITDA and net profit for FY '24 are certainly not comparable with previous year, as during previous year, that is financial year '22-23, expenses pertaining to new facilities were capitalized up to December '22, and they were expensed out only from January '23 onwards, whereas in the current financial year, the whole expenses, the full expenses for full year have been expensed

Alembic Pharmaceuticals Limited
May 09, 2024

Page 3 of 23

out. Also, there were a couple of nonrecurring items in the previous year.

EPS for the quarter is INR 9.07 per share versus INR 8.33 for last year's corresponding period and for the year is INR 31.33 per share for the current year versus INR 17.40 per share after the nonrecurring items and before nonrecurring items of previous year, previous year it was INR 25.29 per share. So overall, we have done well in almost all parameters and we'll discuss business wise when we come to that.

The Company has recorded a higher dividend of INR 11 per share, which is 550% because our share par value INR 2 as against dividend of INR 8 per share, which was 400% per equity share for financial year '22- '23.

As we have been indicating in last year or so, R&D expenses for the year has been trimmed down to INR 475 crores. Last year, was INR 722 crores, but INR 722 crores also included one-off write-off of erstwhile Aleor's R&D expenses.

As far as cash flow and borrowings are concerned, the Company has generated a good cash flow of INR 900-plus crores for the year ended 31st March 2024. After meeting its capex as well as working capital requirement and payment of dividend, the net cash inflow was INR 436 crores before paying dividend after paying dividend, we could reduce our bank balance by almost INR 200 crores.

So the debt equity which is already pretty low last year, has become even lower. Our gross borrowing is now INR 430 crores versus INR 636 crores last year and we have INR 120 crores of cash in hand versus INR 75 crores in March '23.

I will hand over the call to Shaunak for presentation on India branded business. Shaunak, over to you.

Alembic Pharmaceuticals Limited
May 09, 2024

Page 4 of 23

Shaunak Amin: Thank you, Mr. Baheti. The India Branded Business in this quarter grew by 3% to INR 503 crores. And for the year, we had a 7% growth, leading us to INR 2,200. All our specialty segments,

predominantly in gynecology, gast

roenterology, antidiabetic, cardiology, ophthalmology, we have done significantly well. The businesses have continued to perform well. And in many brands, we have continued to outperform the market.

Our Animal Healthcare business has continued to give a very robust performance.

The only challenge this year as well as for Q4, has been the oral and the respiratory baskets and predominantly in the oral liquids in both antibiotics as well as in respiratory. Both these segments did have a significantly higher base both for the year '21- '22 and '22-'23 leading to a significant base correction effect thereby pulling the overall growth of these segments down to almost flat or negative and despite that, we have done marginally better than the markets. But going forward, we expect even these 2 segments to give us more growth in line with the market. And with that, 95% of our overall portfolio in the India business should be doing pretty well and significantly outperforming the market.

So now I'll pass the discussion on to Pranav for the international business.

Pranav Amin: Thank you. It was a decent quarter for the international business, especially the U.S. business, which grew on the back of 7

launches. The outlook for the U.S. business also appears much better than the start of the year with the commercialization of new facilities and operations set to scale up. We also don't have any regulatory overhang and have all EIRs in place for all our facilities.

Hence, we see some substantial increase in operating leverage, along with the continued progress in cost improvements.

Alembic Pharmaceuticals Limited

May 09, 2024

Page 5 of 23

The ex U.S. generics are also satisfactory as well as the API business, and they both on a strong foundation, they continue growing in the quarter.

As I mentioned, we have the EIR for our oncology facility and all EIRs are in place.

R&D expense was 8% of sales at INR 121 crores for the quarter.

We have been working at optimizing our R&D costs and all improvements on track.

We filed 3 ANDAs during the quarter and cumulative ANDA filings at 260.

We received 1 tentative approval and launched 7 products in the U.S. during the quarter. Since April 1st, we have received 5

additional approvals, which include 2 tentative.

As regards numbers, as I said, the U.S., we launched 7 products and the business grew by 19% for the quarter, whereas for the year, it grew 10%.

The ex U.S. generics grew 5% for the quarter, but for the year, it grew at a robust 23%.

The API business grew 5% for the quarter, and 7% for the year.

As I mentioned in the last quarter call that API may see for couple of quarters, a little slower uptake from some customers. But volume-wise of API business is still looking good. We take many to the regulated markets. And there's some pricing pressure, but volumes-wise API is looking quite good.

Now with that, I would like to open the floor for Q&A.

Moderator: The first question is from the line of Damayanti Kerai from HSBC Securities & Capital Markets India Private Limited. Please go ahead.

Alembic Pharmaceuticals Limited

May 09, 2024

Page 6 of 23

Damayanti Kerai: My first question is on gross margin. So very strong margins during the quarter. So if you can explain what has led to this very strong gross margin during the quarter? And how sustainable this would be? So that's my first question.

Pranav Amin: Thank you for the comments. The gross margins were good. I

think a couple of things have led to this . One is increasing sales and revenue for the U.S. business. Number two, if you see our R&D costs are also optimized. Along with that, we have some other cost optimization. The facilities were occupied. So all this led to a higher gross margin. And I believe, these kinds of margins are sustainable moving forward.

Damayanti Kerai: Okay. Just a clarification.

So you said higher U.S. sales could be one of the factors contributing towards it. But quarter-on-quarter, when we look at the gross margin, I guess, U.S. is sequentially down, right? So -- is there any element of like stocking up there?

Pranav Amin: No. No element of stocking. It's just, last quarter, we had some more onetime buyers, this quarter the volumes are a little higher so facilities are better occupied.

Damayanti Kerai: Okay. So better utilization of facilities is a main reason if we have to continue.

Pranav Amin: Yes.

Damayanti Kerai: And R&D, like after bringing it down to below INR500 crores for this fiscal, how should we look at R&D expense ahead?

Pranav Amin: From this level onwards, we will continue growing it. Next quarter, I think to an absolute amount, we will grow it. I would expect anywhere between INR 550 crores to INR 600 crores for the next fiscal, depending on how the projects go.

Alembic Pharmaceuticals Limited

May 09, 2024

Page 7 of 23

Damayanti Kerai: Okay. And my last question for the U.S., you said now outlook is better with like plants getting better utilized. So this fiscal, we saw U.S. ranging from in say 50 to 55, 56 a quarter. So should we improve significant step-up in FY '25 and beyond in terms of sales from the U.S. business?

Pranav Amin: Well, we are expecting to launch about 25 products in the U.S. So I anticipate that we would like to grow the business from here onwards. Percentage depends because there will be a factor of price erosion in the existing portfolio versus how much traction we can get in the new products. But our goal is to grow the business from here on itself.

Damayanti Kerai: Is 25 launches for this fiscal?

Pranav Amin: For the fiscal year, yes.

Moderator: Next question is from the line of Forum, Individual Investor.

Forum: Congratulations on the numbers, and I have a couple of questions. So my first question is, with geographies, do we plan to penetrate and expand in FY '25 for ex U.S.?

Pranav Amin: In most of the geographies we are present and it's on our investor presentation and also on the website. Our biggest territory is the U.S. followed by the ex-U.S. business mainly in Europe, Australia, Canada, Brazil and South Africa.

Forum: And how do we see this business growing in FY '25?

Pranav Amin: We don't give a guidance. But generally, if you see our ex-U.S. business over the last 5 years is at a 20% CAGR, and that should continue. The U.S. is a little in terms of CAGR, it depends year-to-year. This year, we've grown by 10%.

Moderator: Next question is from the line of Vipul Jain from Arihant Capital Markets Private Limited. Please go ahead.

Alembic Pharmaceuticals Limited

May 09, 2024

Page 8 of 23

Vipul Jain: So in the price realization decline in API, what do you think about that? Is it going to sustain or this is the...

Pranav Amin: We have a very good quality API business with all regulated market customers. And I've said in the past also and if you can see that we like to compete at a higher level. We focus more on compliance and better quality. Having said that, there has been

some more pricing pressure in the market. Nothing we can do about it. But it's still a very good margin business for us. The API margins are quite high, and it will continue growing. Vipul Jain: And also, this has been led by volume or product mix? How can we expect?

Pranav Amin: For the API business?

Vipul Jain: Yes, sir.

Pranav Amin: API is a combination of both. We're growing in terms of volumes as well as new products.

Moderator: Next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Sir, just from an FY '25- '26 perspective. So R&D was something what you are able to cover in '24, so when you look forward, I mean, what are the few key priorities

when we look

forward for growth or in terms of cost optimization, which the management would be targeting for the near future?

Pranav Amin: Sure. Yes. It's a good question. What will happen R&D-wise, historically, all our approvals and bulk of our R&D spend was on oral solids. If you see now, it is gradually more part of it has gone towards injectables, complex injectables, derm, ophthalmic and a little bit of inhalation and oncology. So we move towards that. In future also, for R&D investments, what we've done is we have

Alembic Pharmaceuticals Limited

May 09, 2024

Page 9 of 23

reduced R&D because we cut out some projects because the returns had come down in the U.S. market compared to 5 years back.

So we've optimized our portfolio. In terms of cost optimization, not just R&D, but across the board, what we're looking at is, as I mentioned, better utilization of our facilities, higher batch sizes, better volumes, given the facilities are better occupied.

Abdulkader Puranwala: Okay. Sir, in terms of the margins, would you like to guide number for '25- '26 in terms of what is the kind of expansion we should see because of this optimization?

Pranav Amin: We don't really give a guidance, so sorry about that.

Abdulkader Puranwala: Sure, sir. And sir, one more question on the India business.

So this quarter, growth was largely not impacted because of the acute therapy, but for the next year to -- I mean, how should we look at your India growth? Would it be in line with the market or slightly ahead of that? And in terms of your field force, are you looking to add further this year?

Shaunak Amin: From an India business point of view, we continue to maintain that if the market continues to perform normally, we should expect outperformance, like I said, in almost all our product/ key product therapeutic areas. We maintain as long as the market shows some kind of signs of returning to normalcy. They are quite confident on that piece at least. And consistently, outperforming the market in all our therapeutic segments. That's something we are quite confident to deliver this year.

Abdulkader Puranwala: Sure sir, I understood...

Shaunak Amin: On this year, there's been no manpower expansion in the India business, just some routine manpower adjustments, there is no actual manpower expansion.

Alembic Pharmaceuticals Limited

May 09, 2024

Page 10 of 23

Moderator: Next question is from the line of Bharat from Equirus Securities. Please go ahead.

Bharat Celly: Sir, just wanted to understand on gross margins...

Moderator: Bharat, sorry, we are losing your audio. Can I request you to come into the reception area, please? The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Just on the gross margin, you said that the gross margin will be sustainable. So in quarter 4, we did around 75% gross margin, but for the full year, we did around 72%. So which number is sustainable with 72% or 75% what we did in quarter 4 for FY '25?

Raj Kumar Baheti: In the past that we'll be happy with our kind of product mix and the territory mix, we'll be happy with about 70% margin. More or less, we have been maintaining it.

Rashmi Shetty: Sorry, sir, I didn't get what is the number which you called out?

Raj Kumar Baheti: We will be happy with 70% gross margin, and we have been maintaining that.

Rashmi Shetty: Okay. Okay, sir. But any geopolitical risk or you are thinking of your supply volume in terms of cost increase? Anything in FY '25, we would like to call out.

Pranav Amin: No, I think nothing on the geopolitical side. All our facilities are in Baroda in India. So no issues there. We have just seen a little bit disruptions in terms of the shipping due to the Middle East, apart from that, nothing else.

Rashmi Shetty: Okay. And my second question

is related to the U.S. business.

Before, how many launches we have done? And what kind of price erosion on an average we have seen.

Alembic Pharmaceuticals Limited
May 09, 2024

Page 11 of 23

Pranav Amin: We've launched 27 products in the U.S. Start of the year, we had guided for about 25 or around that. We've launched 27. Next year, we expect to launch another 25 or so. Price erosion is there.

It's tough for me to give that figure because it's very tough to calculate price erosion. But as it is, it will be in high single digits or low double digits, somewhere around. It depends product to

product. Some products, it's still higher and some is more stable.

Rashmi Shetty: Okay. Got it, sir, what I want to understand that we already have 147 products in the U.S. We have banked up \$280 million to \$310 million in this U.S. market. So roughly, revenue for all products, I mean average we're doing around \$1 billion, \$1.5 billion because I understand that at we have launched many products and that could gain share in FY '25, and plus price erosion is also high single digits, plus we are also adding another 25 products. So don't you think that we would be actually able to do double-digit sort of growth in FY '25. I mean in U.S., we can see a big growth coming in?

Pranav Amin: I agree with these kind of launches, we should see a decent growth, in my opinion. Having said that, the one unknown or the

variable is the price erosion. I don't know how the price erosion is going to fare on some of the high-margin products. As you know, we do like to get higher margin rather than pure volumes. And that's a strategy that we've built in the U.S. business that we focus more on the profit and the higher prices rather than the margins.

It really depends. If there is erosion in some of the high-value products for us, and it gives away lot of the margins.

And we continue looking -- we continue to look for short-term opportunities as well. So sometimes there are supply constraints. We do get a bump up. So it's a combination of that.

Rashmi Shetty: Okay. Sir, another question, last question is on capex. What will be the capex investment in FY '25? And what will be your tax rate?

Alembic Pharmaceuticals Limited
May 09, 2024

Page 12 of 23

Pranav Amin: We've come off a large capex cycle last couple of years. So we have no further like brownfield or greenfield expansions. At the most what we will do is within the existing facilities maintenance capex and capacity debottlenecking. So I anticipate capex should be about INR300 crores or so.

Rashmi Shetty: Okay. And tax rate for FY '25.

Pranav Amin: Sorry, I couldn't hear that what you say?

Rashmi Shetty: Tax rate

Raj Kumar Baheti: We will continue to be under MAT and the tax rate will be around 17%.

Moderator: Next question is from the line of Nihar Gupta, individual investor.

Due to no response. We move onto the next participant. Next

question is from the line of Agraj Shah from Tata AIA Life Insurance.

Agraj Shah: Okay. So 3 questions more like clarification from what we had guided last quarter. So firstly, on the U.S. side, we are kind of

mentioned that for FY '25, we expect 10 to 15 launches. And now we are guiding more than 25 launches. So what's helping giving us that confidence and what changed during the quarter?

Pranav Amin: It is not the question of confidence. We've measured how many approvals that you get an API products were launched. We don't always launch if the product is late. We don't always launch it on

day one of the approval. So it is sometimes just bundles up and

we launch them together. So just a question of how many

approvals that we get and when we launch it. The confidence that

we have in launching more products this year is we're seeing the

pipeline of products that are pending and what we expect from the target action date. So also our facilities, as I mentioned,

Alembic Pharmaceuticals Limited

May 09, 2024

Page 13 of 23

there's no regulatory overhang. So those approvals, and the new filings should also flow through.

Agraj Shah: Okay. Got it. And my second question was on the U.S. base. So last quarter, again, we had guided that \$57 million was a new

base. And this quarter we already reported on \$51 million, but

probably you said that there was some one-off kind of an

opportunity last quarter. So if you can just clarify that what changed there?

Pranav Amin: It's tough to give a guidance for the base business. The best way

of seeing it is what's happened last couple of quarters. \$50 million

plus is what we're looking at. Q3 was a little higher. We did have some more onetime opportunities in the market. But I guess what

we see now could be the base, and then we build it up from there.

Moderator: Next question is from the line of Desai from Turtle Capital

Management. Please go ahead.

Desai: So my first question is, if you go back in time, I think 3, 4 years back before a certain opportunity and the capex, I think with the

72% gross margin, you were doing 20% plus kind of operating margin. So considering that we are doing now complex generics

in the U.S. market, is it a fair assumption that as operating

leverage kicks in we will go back to those kind of numbers. I'm not

saying this time line, but directionally, is that the right way to

think?

Raj Kumar Baheti: Your observations are right, but you must also appreciate the fact

that we have commercialized 4 new facilities and the yearly

expenses on these 4 facilities are about INR 300 crores, including

the depreciation. So that charge is hitting my P&L, whereas the

revenue from these facilities are still very small. So more products

get approval and the products get traction in the market, you will

see a better improvement in margin scenario.

Alembic Pharmaceuticals Limited

May 09, 2024

Page 14 of 23

Desai: Right, sir. I'm talking about when all these facilities are optimally

utilized, not saying next quarter or 2 quarters, I'm saying 2, 3

years anywhere?

Raj Kumar Baheti: We hope to be again back to 20% plus kind of margins because

we get this traction from these facilities.

Desai: Okay. And we spent around INR2,000 crores on these facilities.

So what kind of asset turns that we were thinking earlier? I think at that time the U.S. generic market context was slightly different.

So given the situation today have we kind of changed our assumption on that, if you can talk little bit about that?

Raj Kumar Baheti: Yes. The buoyancy in the U.S. generic market has gone down.

But let's say, this market is little cyclical. I mean, if our facilities are compliant, if our supply chain is smart, nimble, we'll keep finding opportunities and we'll keep what we call seizing those opportunities as and when they present themselves.

Desai: So is it safe to assume [2x as a ton or this facility or that's on the higher side?

Raj Kumar Baheti: As of now, it's is a hypothetical question and it's a little distinct period of question, so I won't comment on it.

Moderator: Next question is from the line of Vivek Jhala from Jhala Investment Advisory. Please go ahead.

Vivek Jhala: Sir, I have recently started tracking the company. I basically have 3 questions in regards to the U.S. business.

First is, if you could

please give some information on how the new launches have been performing in the past few quarters?

Pranav Amin: Yes. New launches have done pretty okay. It depends product to product. As I mentioned earlier, Alembic, we focus more on trying to get the maximum margin rather than getting market share for

Alembic Pharmaceuticals Limited

May 09, 2024

Page 15 of 23

the sake of getting market share. So it depends on the competitive scenario in each product.

And we like to get ready and be there. And when we -- as Mr.

Baheti said, when we see shortages, that's the time when we ramp up our market share. So it's gone satisfactorily. We're waiting and seeing, wherever we can get more opportunities, we do have a robust supply chain, we'll try getting -- picking up additional shares.

Vivek Jhala: Second question is how optimistic are we in regards to our performance in U.S. in FY '25?

Pranav Amin: We're fairly optimistic as compared to a year back, U.S. had come off a massive price erosion and there's a lot of gloom in the market. Compared to that, I feel a lot more bullish now, especially with the new facilities coming up on stream, the new approvals coming up and the launches that we have. So while there is pricing erosion and the market is -- there is a lot of buying on the buying side, which is driving on prices. But there are still opportunities if you run a good business.

Vivek Jhala: Okay. And what would be our focus therapies in the U.S. for FY '25?

Pranav Amin: It's a generic business. So we don't go therapy wise. It's just on the capability-wise, and our capabilities were part of our oral solids, increasingly, you've seen more approvals on injectables, on oncology, on ophthalmic, and derm as well.

Vivek Jhala: Okay. And just the last one. Are we observing any price erosion in injectables?

Pranav Amin: Yes. In the U.S., we're seeing price erosion across the board everywhere.

Alembic Pharmaceuticals Limited

May 09, 2024

Page 16 of 23

Moderator: The next question is from the line of Bharat Celly from Equirus Securities Private Limited.

Bharat Celly: Congrats on the great set of number. Just wanted to understand on the gross margin part, we have seen almost like 400 bps improvement sequence to quarter-on-quarter. So I just wanted to understand what exactly led to this margin improvement?

Raj Kumar Baheti: quarter-on-quarter, it's never a good sign of doing a comparison.

A whole year comparison is much better, more balanced. And as I said, the gross margin hovers at around 70% plus, and we are happy about it.

Bharat Celly: Okay. And on pricing pressure in the U.S., so how do you see this pricing pressure to pan out in next year or probably years to come? And how do you see this shortage within the U.S. market?

Is it largely led by people stopped pruning with existing portfolio because of low margin? Or is there something else to read out?

Pranav Amin: Bharat, those questions are very hard to predict because I don't know what's going to happen in terms of the price erosion in the market or the other bit. Because it really depends on the competitive pressure where people go, how they lead to how much that drop prices, how aggressive a player is in the market. And shortages also depends on a factor if someone's supply chain is working and someone has a regulatory issue. So it's very tough to predict those. But however, we like to stay ready for whatever opportunities we see in the market.

Bharat Celly: Right. And sir, just what I was trying to understand whether these shortages are because of some shortages in the market -- sorry,

because of some regulatory issue or people are pruning that portfolio?

Pranav Amin: I think not so much pruning the portfolio, yes, pruning the portfolio will be there, but it's just a matter of, one, the regulatory actions ,

Alembic Pharmaceuticals Limited

May 09, 2024

Page 17 of 23

And number two, would be just them being able to manage the supply chain. As you know, the U.S. is large volumes, and it's quite dynamic. And sometimes if they're not able to manage the supply chains for whatever reason, then you may see some shortages.

Bharat Celly: And I understand we can't share geography -wise margins, but what I'm trying to understand is what sort of margins will be there for a product where the competition will be, let's say, almost too intensive like almost like 10 players whereas the margin

s are

below -- gross margins are below 40% in those cases or it will be higher? Just directionally, I'm trying to understand.

Pranav Amin: It's very tough to generalize. We as I said, we don't give product -wise guidance. It's very tough to generalize, right? It depends on how efficient you are on any product, how much you are backward integrated on, whether you are backward integrated on the API, what kind of scale do you have? So it's very tough to say it depends product to product.

Bharat Celly: Actually, I was trying to understand more from the perspective whether these products are turning negative or, let's say, unviable

at a gross margin level also? Or it is just at EBITDA...

Pranav Amin: We generally don't like to sell anything at a negative margin.

Bharat Celly: Okay. Okay. And lastly, this quarter, we have seen that acute has been prepared. What has been the reason for that acute therapy the domestic business?

Pranav Amin: Sorry, what do you say?

Bharat Celly: So acute therapy for this quarter in the domestic business has been weak. So what led to it? Is there any reason.

Alembic Pharmaceuticals Limited

May 09, 2024

Page 18 of 23

Shaunak Amin: Yes. If you look at the base of '21- '22 and '22- '23, that gives a clue as to why the base has been weak. So it's predominantly driven by that.

Bharat Celly: So as far as I remember, in the past year, we had a super growth -- sterile growth in Azithral. So that is the main cause of tepidness for this quarter?

Shaunak Amin: Like I mentioned in the call in my opening statement, both antibiotic basket and the respiratory basket are predominantly

more gravitated towards the liquid preparations in both antibiotic and respiratory. And yes, Azithral would be a significant chunk of that.

Bharat Celly: Right. And last one from my end before I move the queue. On the U.S. business, you mentioned that in the past quarters, we have seen some onetime supply. So in the fourth quarter, was there a onetime supply or it was completely base business which we have seen?

Pranav Amin: It was just the regular base business.

Moderator: Next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: Sir, just on the Animal Health business, there has been a very good scale up. Even fourth quarter, we ended doing almost 30%- 34%. So just to understand here what is it that is rising, is it more volumes or is it regional expansion, if you could elaborate?

Shaunak Amin: No, it's a mix of both. Last financial year, we have added additional division in the wet business in the livestock segment. And it's a combination of that plus I think our performance, which

you see. So there's a trend line both in the last 3 years, which shows that we continue to perform and maybe the rate of growth keeps accelerating because it's a combination of both,

Alembic Pharmaceuticals Limited
May 09, 2024

Page 19 of 23

quantitative expansion as well as qualitative operational execution going up.

Tushar Manudhane: So the benefit of this new division is now fully reflected in the numbers or we are yet to see the entire benefit in coming quarter.

Shaunak Amin: We have started seeing good impact on that, but continues to play out even this year as well as next year, I think.

Tushar Manudhane: Sir, broadly, how much investment you would have done in this Animal Healthcare -- Animal Health segment till date?

Shaunak Amin: In terms of investment in terms of manpower?

Tushar Manudhane: Both manpower and if any of manufacturing, if you do in-house?

Shaunak Amin: Manufacturing with a combination of internal as well as external third-party suppliers. So there's no additional capex expenditure from that point of view. And in terms of manpower strength, like I mentioned in the investor slide, 280 people in the business in the last financial year.

Tushar Manudhan

e: Understood. And lastly, on the specialty segment, also year-on-year, if I look at it, it's 5% growth. I understand seasonality and higher sales of some select products in the previous year impacted acute, but specialty also has been quite moderate. Any particular reason you would like to attribute?

Shaunak Amin: No. even the whole IMS performance in the last 4 months has been quite subdued. It's just a factor of that.

Tushar Manudhane: In fact that -- so at the industry level, what do you -- what kind of numbers are we thinking of for FY '25 at the industry level in terms of growth?

Alembic Pharmaceuticals Limited
May 09, 2024

Page 20 of 23

Shaunak Amin: It's very hard for me to make a comment on the overall industry growth. But I expect this base impact of previous years to get moderated out rather most of it has got moderated out in the '23-'24. So I expect '24-'25 to be more towards a normal year in terms of growth. You can expect maybe anywhere from mid- to high single-digit performance for the overall market next year.

Tushar Manudhane: Understood. And lastly, on gross margin, has there been - so as you also witnessed in the API segment in terms of the

price erosion. So is that also benefiting us on the formulation side and so partly driving better gross margins? And subsequently, is it sustainable?

Pranav Amin: No, actually not really because most of the API we sell to -- is 2 separate things, right? This APIs all to regulated market customers all over the world. It's one and the other. I said in the last call that some of it is a little lumpy because it had to go with a few particular customers and then there's a little lower offtake. That's one of the reasons.

Moderator: Next question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Pranav, Just one question. On your comment on price erosion in the U.S. I mean high single-digit, low double-digit seems to be on the higher side. In the backdrop of disruption and shortages that most people talk about. How are you reading the scenario?

I mean, why are we not seeing better pricing environment? And your comment also seems like it's uncertain in terms of how the prices will evolve. So any comments there? How are you reading the dynamics given that you have a large portfolio and across formulations, you are present?

Pranav Amin: The way I've seen the dynamic is compared to about 5 years back, the market is much better supplied than what it used to be.

Alembic Pharmaceuticals Limited
May 09, 2024

Page 21 of 23

We do have a very high supply percentage that do on time. But the market generally is a better lot more, a lot more players with a lot more product in the market.

So that is one of the reasons why I'm saying this. Number two, compared to about 2 years back, I'm saying the erosion is less because about 2 years back, we had a whole bunch of that Sartan portfolio, which we are selling at very high prices due to some short-term benefits. So that has really come down. Having said that, I still see price erosion. It really depends how aggressive the competitors are and to get market share. Number two, on the buying side, nothing has changed, right? Your buyers still remain the same. So they can try negotiating harder whenever they can.

It is a buyer's market.

Saion Mukherjee: Understood. And just one last one on the U.S. itself. You have launched 27 products last year. How have you seen pricing on these products or these new launches? Are they better than what the trend has been in the past or versus your expectation or the erosion has been higher, I mean, for the new launches...

Pranav Amin: It depends on product to product. On some injectables, it was fairly good and much better than what we anticipated on the rest. We're seeing that buyers do look for sometimes a reliable supply partner, which we've been able to

build ourselves up. So it's been a mixed bag. By and large, we've been okay. The portfolio gets to where we thought it would, but it's balanced across. So it is very tough to predict which ones I'll actually end up with a better margin and which one with a lower erosion.

Moderator: Next question is from the line of Nitin Agarwal from DAM Capital Advisors. Please go ahead.

Nitin Agarwal: Pranav, where do you see the R&D expenses as revenue settling down over the next 2, 3 years?

Alembic Pharmaceuticals Limited
May 09, 2024

Page 22 of 23

Pranav Amin: I just said someone had asked earlier. For this financial year, FY '25, I see that R&D should be anywhere between about 550 to 600 in that range, somewhere around that range.

Nitin Agarwal: And this is where you see it settling in general...

Pranav Amin: No, no. I think marginally it will keep going up, right? As the business goes up as -- so we will keep increasing. And within

R&D, the spends will get reallocated. So as I mentioned that from OSD, we'll spend a little bit more on injectables on complex injectables, ophthalmic, derm, so that will get balanced out. And also part of it will go to the other territories. We've recently been spending a little bit more on the rest of the world territories as well.

Nitin Agarwal: And does this change in R&D strategy, does it really imply any large chunks of capex also over the next 2, 3 years?

Pranav Amin: No. On the R&D side, there's no large capex at the most it will just be maintenance capex and equipment upgrades, but no large capex on the R&D side.

Nitin Agarwal: What I meant is for the products that we're looking to produce in shifting focus now from a new product perspective. Does that imply any meaningful expenses on...

Pranav Amin: Not on the R&D side, whatever expenses we have to incur, we've already done it in terms of R&D as well as the plant side. So the bulk of it is already done.

Nitin Agarwal: Secondly, Mr. Baheti, how should we think about our overhead costs from here on? I think they've been a little volatile after the big plants are all out in the base now. Should we be looking at what inflation driven sort of price hikes in our overhead going forward?

Alembic Pharmaceuticals Limited
May 09, 2024

Page 23 of 23

Raj Kumar Baheti: Yes, as I said in the beginning, '23- '24, it seems to be a normal year. And from here, comparison will be much more easier to do.

Nitin Agarwal: Okay. And lastly, Pranav the U.S., the 25 product launches that you're talking about, I mean, are there any assured sort of exclusivity – semi-exclusivity position for you that will play out during the year?

Pranav Amin: No, I think nothing of that sort.

Moderator: Ladies and gentlemen, we will take that as the last question. I'll now hand the conference over to Mr. R.K. Baheti for closing comments.

Raj Kumar Baheti: Thanks. I think there are a couple of other guys in the queue. We could not take it just because we were running out of time, I would request them to send a mail to me and we'll be able happy to respond to you. In the meantime, thank you very much for attending this call as usual. As always, it's a pleasure talking to all of you, with just a lot of insight and leveling and look forward to your continued support in the coming year. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 14th August , 2024

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 8th August , 2024

Ref: Our Intimation dated 25th July, 2024

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 8th August , 2024 .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 17

"Alembic Pharmaceuticals Limited
Q1 FY '25 Earnings Conference Call "
August 08, 2024

MANAGEMENT : MR. PRANAV AMIN–MANAGING DIRECTOR
MR. SHAUNAK AMIN – MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR -FINANCE & CHIEF FINANCIAL
OFFICER
MR. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT -FINANCE

Alembic Pharmaceuticals Limited
August 08, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '25 Earnings Conference Call of Alembic Pharmaceuticals Limited.

We have with us today Mr. Pranav Amin, Managing Director; Mr. Shaunak Amin, Managing Director; Mr. R.K. Baheti, Director, Finance and CFO; Mr. Ajay Kumar Desai, Senior VP, Finance.

As a reminder, this conference call is only for analysts and institutional investors. All participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing

star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R.K. Baheti. Thank you, and over to you, sir.

R.K. Baheti: Thanks. Good evening, everyone. Thank you all for joining our first quarter results for FY 2024-'25. I'm sure you would have received the results. However, let me briefly take you through the numbers.

During the quarter, our total revenue grew by 5% to INR1,562 crores. EBITDA at Rs.239 crores is about 15% of sales and grew by 14%. Net profit grew by 12% to INR135 crores, comparing the results corresponding quarter of last year.

EPS for the quarter is Rs.6.84 per share versus Rs.6.14 for the previous corresponding quarter.

Our gross borrowing is about Rs. 589 crores compared to Rs. 430 crores of March '24, and we have Rs. 147 crore s cash versus Rs.120 crore s in March '24.

I would request Shaunak to take you through the India business.

Alembic Pharmaceuticals Limited

August 08, 2024

Page 3 of 17

Shaunak Amin: Yes. Hello. Good afternoon, everyone. For the quarter, India branded business grew by 9% to Rs. 572 crores.

We recorded robust growth in our specialty therapies of gastroenterology, gynaecology, antidiabetic, ophthalmology and we performed relatively better than the market in acute therapies. Excessive heatwaves in Q1 led to unnatural market disturbances in specific affected geographies and that was a negative for the business.

Animal Health care business continues to outperform with 23% growth for the quarter, backed by a basket of strong brands driving this outperformance.

New launches also continue to do well as a category for us with some key promising new launches that have happened in Q1.

I would now hand over the discussion to Pranav.

Pranav Amin: Thank you, Shaunak. Our OSD facility, F1, was inspected recently by the U.S. FDA. I'm happy to say it happened without any observations underscoring our dedication and to compliance and quality. The U.S. business performed quite well and grew by 18%. We had 2 launches during the quarter and expect to launch 10 more products during the quarter.

The ROW business has a good outlook, and we've grown this business quite well over the last 5 years. It should return to better growth in the subsequent quarters. The muted growth was on account of constraint of supplies. The API business underperformed as compared to a higher base of last year. We hope to improve the growth in the subsequent quarters.

R&D expense was 7% of sales at Rs.114 crores for the quarter. We filed 3 ANDAs during the quarter and cumulative ANDA filings

Alembic Pharmaceuticals Limited

August 08, 2024

Page 4 of 17

are at 262. We also received 11 approvals and launched 2 products in the U.S. during the quarter. As mentioned earlier, we should launch about 10 products in this quarter itself.

The U.S. generics grew 18% to Rs.461 crores for the quarter, whereas the Ex-U.S. generics grew 2% to Rs. 271 crores for the quarter. The API business degrew by 15% to Rs.260 crores for the quarter.

With that, I would like to open the floor for Q&A.

Moderator: Thank you very much. We will now begin

the question -and-

answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on U.S., as we see the pace of launches ramping up and even the first quarter numbers have been better than the quarterly than its earlier quarters, so could you provide some guidance in terms of what kind of run rate one should expect in FY '25?

Pranav Amin: Tushar, we're not giving a run rate, but we do expect -- as I said in the last quarter, at the end of the year, we do expect to grow the U.S. business. I'd like to grow it by about 10% to 12% this year. And we'll hold that true. It's a combination of the competition and the price erosion that we see.

The last quarter was quite good. As you know, with growth of 18% is a good quarter. However, there was some lumpiness in that first quarter, which would not be on recurring basis. But we will launch about 10 products in the current quarter and hopefully, some of the big ones might come also. So let's see how that goes.

Tushar Manudhane: Understood. And this timeline as far as Selexipag product is concerned, and if you could also highlight in terms of the contours or constraints for the launches?

Alembic Pharmaceuticals Limited

August 08, 2024

Page 5 of 17

Pranav Amin: Yes. Selexipag, still some time off. We're the first to file -- we have exclusivity on that we are the non -NC-1 first to file on that, but there's still time for that. I don't think that launch is until FY '26 or '27. So it's still early days.

Tushar Manudhane: Even FY -- go up to FY '27, is it?

Pranav Amin: I think so. I have to just double-check with it. I'll get back to you. I don't have it with me.

Tushar Manudhane: Okay. And for this product for the API initiatives, so where is -- from a manufacturing standpoint, where there's a key line? Is it more of a formulation as tricky or API is a tricky, per se?

Pranav Amin: The formulation. It was IP, actually. More than anything that was intellectual property and filing the product before anybody else.

Moderator: The next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My question is again on the U.S. So you mentioned like you would expect it to grow in the coming periods. But I just want to understand how supplies pickup -- getting pickup from the new plants, especially for the non -oral solid plant?

Pranav Amin: Lot of the growth still is from the OSD. OSD is still the largest part of it. But pickup from the new plants have been quite good. Some of them have done a little better. Some will still take a little bit more time for ramping up. But it's been quite successful.

Hopefully, by the end of the year, we will see a lot more products coming from these plants.

In terms of the ophthalmics, the lines are running very well. The oncology is also we've picked up some traction. And the general injectables is something that we're working on, especially the pre -fill syringes, we may see a few launches by the end of this quarter that should help it.

Alembic Pharmaceuticals Limited

August 08, 2024

Page 6 of 17

Damayanti Kerai: Okay. So very broadly, like, what are your expectations in terms of sales split between OSD and non -OSD sales 2 years from now, very broadly?

Pranav Amin: We haven't -- we don't give that breakup. But what I can tell you is that about 4, 5 years back from 100% OSD, gradually, the dependence on OSD will come down and you'll see growth coming from the other dosage forms. OSD will continue growing as well, and it will still be more than 50% in the long run.

Damayanti Kerai: Okay. And can you also comment on the U.S. pricing environment? Have you seen any change compared to last 2 quarters?

Pranav Amin: There's still pricing pressure, I would say, double-digit pricing pressure. It's still there, we're still seeing that in

the market.

Damayanti Kerai: Okay. But it's more product specific, right? Because what we are hearing from other -- somewhere like mid-single digit? And my next question, you mentioned constraint to supply was one of the reason why we saw less ROW sales this quarter, and if that's the case, like how you're planning to resolve this?

Pranav Amin: Yes. So you're right. We have the orders booked and the outlook is looking quite good for the U.S. as well as the ROW markets.

What has happened is we faced some constraints in supplies.

How we're addressing it, we do have the new formulation facility, F4, that we built a couple of years back. So increasingly moving more products there, and we're ramping that up. And in F1, we're looking at debottlenecking some of the areas where we have constraints. So I expect that in another quarter or two, it should be back up to supplies and ROW business will end up growing into the last couple of quarters of the year.

Damayanti Kerai: Okay. So maybe a quarter or two and then you expect growth to come back in this segment?

Alembic Pharmaceuticals Limited
August 08, 2024

Page 7 of 17

Pranav Amin: Yes, Absolutely.

Damayanti Kerai: Okay. And my last question is on your margin trajectory. So we have seen gross margin in the last 2 quarters remains broadly stable. So should we assume this level to sustain ahead? And also, if you can comment on the R&D expense. You always said Rs. 550 crores, Rs. 600 crores kind of? is that number which you are looking for this fiscal...

Pranav Amin: Yes, so let's take the R&D first. R&D -- as you see, the first quarter has just been about Rs.112-114 crores, but by the end of this year, it will ramp up a little bit more. So I expect to close at about Rs. 550 crores -or-so for this year on the R&D side.

As regards to margins, I said we do expect that the margins over a 2-3 year period go up closer to the 18% to 20% kind of ranges. And that will happen as the new facilities get better utilized, and we've already optimized the R&D. Last quarter was a little more lumpy because we had a few onetime benefits of the EBITDA. But on a year-on-year basis, you will see an improvement in EBITDA margins.

Damayanti Kerai: Okay. And last, if I can, in the new non-OSD plant, your utilization is right now, what, like below 30% or it's better?

Pranav Amin: Again, it's tough to quantify, but yes, it's not much right now. Few streams are more, few streams are less, but it was built for future expansion. It was just built for taking up the future capacities and we're on track for that. We will start debottlenecking that and adding more areas there as well.

Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala: Sir, my first question is pertaining to the U.S. business. So out of the 206 products which have been approved, you have

Alembic Pharmaceuticals Limited
August 08, 2024

Page 8 of 17

launched 149 so far, so the balance 57 products, would it be fair to assume that this would be mainly oral solids?

Pranav Amin: In terms of the total approvals?

Abdulkader Puranwala: No, no. I'm talking about the products which are yet to be

launched close to 57 products...

Pranav Amin: Yes. as I said, we'll launch about 10 products in this quarter.

Roughly half of them, in my opinion, would be oral solid, the rest would be some of the new areas.

Abdulkader Puranwala: Understood. Understood. And sir, in terms of your animal health business in India, so for the last couple of quarters, you have seen a quite good amount of traction. So in the next 3 to 4 years, I mean, how do we see this business in terms of the overall contribution to the India business? And if you could throw some light in terms of the segments which are currently working well for us?

Shaunak Amin: Yes. So in the a

animal health business, we expect to see a continuation of the momentum. As you're aware, we added a new division in the livestock space last financial year, and that's obviously giving us a little more traction and momentum in terms of sales. Conservatively, we should expect to be in and around the CAGR that we've been generating for the last 3 years, we expect that momentum to continue on the India business.

In terms of levers that's really driving this business, like I said, it's -- some of it could be attributed to manpower expansion, some of it is through some new launches as well as, operational execution and discipline, which is a more a pan-India business strategy. It's a combo these 3 things that's really helping us move.

Abdulkader Puranwala: Understood. And my final question is also on the branded portfolio in India. So if I look at one particular slide on the

Alembic Pharmaceuticals Limited

August 08, 2024

Page 9 of 17

therapeutic performance, your gastrointestinal growth has slowed down a bit as compared to the market growth. So any thoughts or color there?

Shaunak Amin: Sorry, could you repeat the question?

Abdulkader Puranwala: Starting, with respect to your gastrointestinal portfolio in India. If you look at one of the slides where you have given a comparison between the company growth of this portfolio as well -- versus the market, the growth has been slightly below the market growth. So any thoughts or color you'd like to share, which would help us read to those numbers?

Shaunak Amin: sometimes you just have a little bit of submarket segregations of where your stakes a little more, those markets don't do as well. I don't think it should be a major concern.

Ajay Desai: See, broadly, there is no gap, like we grew at 12% and the market growth is also 12.6%. So broadly, we are in the line with the market.

Moderator: The next question is from the line of Bhavesh Gandhi from Yes Securities.

Bhavesh Gandhi: I have one question on the U.S. business. So any updates on the approvals that we had got in Q1, So any update on the 3 products, whether they will be launched or we're yet to launch?

Pranav Amin: we launched 2 products in the quarter, and we will launch about 10 in this quarter and some maybe or three take because they're not day 1 launches, so they'll all be launched within in a period of time.

Moderator: The next question is a follow-up question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Alembic Pharmaceuticals Limited

August 08, 2024

Page 10 of 17

Tushar Manudhane: So this on the API side, only to understand this is it to do with the inventory in the system, or this is more customer specific?

Pranav Amin: Yes, the lower sales due to -- I mentioned a couple of quarters

back that while the API business over a 5-year period has grown quite a lot. We had few customer level shortfalls in the pickup. That is due to various reasons. One, business was very lumpy, that's why it will come up by the end of the year. The other one is one of the customers had an FDA issue, which is why there was a little lower offtake. And third is there was some pricing pressure that we saw, which we lost some business. But I hope that by the end of the year, API business will go back up to growth, and I hope that this business will expect it to grow by 10% year-on-year after this.

Tushar Manudhane: Is that FDA issue resolved so that his offtake is back on or it will be subject to inspection?

Pranav Amin: Issue is not at our level. It is at a customer level. It's not resolved as yet. And I believe that market share has got transferred to somebody else.

Tushar Manudhane: Understood. So effectively -- sorry to drag on this, but effectively for us to scale up the business will be subject to resolution of FDA issue for the customer or any which case, till the customer will

be able to sell more in the market?

Pranav Amin: It's just one customer. I believe we'll make that up with other business as we go along.

Tushar Manudhane: Understood. And sir, secondly, on the gross margin front, where the share of API business overall over the last -- you may look at year-over-year or quarter-over-quarter, the share of API is being reducing, but the gross margin has been largely stable at least for quarter-over-quarter if I think about?

Alembic Pharmaceuticals Limited
August 08, 2024

Page 11 of 17

R K Baheti : Yes, that's right. I have said earlier also that we'll be happy with 70%-plus kind of margins. For every quarter, it will be some product mix, specific consumption patterns. On a long term trend, we would continue to be 70%.

Moderator: The next question is from the line of Bharat from Equirus.

Bharat: I just wanted to understand on lenalidomide launch plan. So when we are going to launch that product? Is it going to be towards FY '26 May or sometime later?

Pranav Amin: No, we're going to be much later. We were not in the first couple of waves. We're still a good couple of years away from that.

Bharat: Okay. But will it be a sizable opportunity for us whenever we launch it?

Pranav Amin: No, no. it won't be because we'll be too late to the market. So that's not a product that will be sizable for us.

Bharat: And is it based on some settlement? Because as far as I know many companies have settled in such a way that they were going to launch before everyone could come. So before this volume restrictions is lifted. So are you seeing some of those will be getting some value share?

Pranav Amin: No. we were very late on this product. So here's a whole bunch of people before us. So our settlement is much later, and I don't expect there'll be much of market left by the time we get in.

Bharat: Okay. And as far as talking from the perspective of U.S. business, now what will be our top 4 or 5 to the product composition of the U.S. business what proportion will be coming from these top four or five products?

Pranav Amin: percentage of revenue?

Alembic Pharmaceuticals Limited
August 08, 2024

Page 12 of 17

Bharat: Yes. U.S. revenue, top 5 or top 10. I'm just trying to understand the concentration of the U.S. market.

Pranav Amin: So I think the concentration for us has come down from what it used to be back in the days of the starting. So I don't have the exact figure. I'll send it out to you offline. The top 5 also keeps changing depending on the opportunity, but I believe the concentration has come down quite a bit.

Bharat: So actually, the reason to ask is because we have talked again a double-digit price erosion while our peers are yet talking about that price erosion actually been very moderating a lot. So what is leading to the sort of price erosion for us? What difference we're seeing in the market?

Pranav Amin: Maybe we sell at higher prices than the others, I don't know. But that's what we're seeing in the market product to product.

Bharat: Right. And it is across the portfolio, not some specific products, right?

Pranav Amin: See, the price erosion is, you extrapolate it, right? Because a few products that will be double-digit; few products, it will be stable.

Some haven't lost anything. So it's tough to say. That's why when you all ask for the price erosion, and when I do see price erosion, I'm seeing double digit. I'm not seeing single-digit price erosion. And of course, some products, we don't see price erosion.

Bharat: Yes. But at an aggregate portfolio level, you are seeing double digits?

Pranav Amin: Yes. We're seeing price erosion.

Bharat: Right. And you talked about some lumpy revenue during this quarter. So are you even calling out the number as well for that?

Alembic Pharmaceuticals Limited
August 08, 2024

Page 13 of 17

Pranav Amin: No, we haven't q

uantified a number. It just happens sometimes.

Once in a while, we'll get a onetime or maybe some supply base or some third-party supply. So we get that once in a quarter. And it's -- I think every year, we get it. Once every few quarters, we get it. So it's just led to this.

Bharat: Right. And our overall U.S. business margins would have taken a hit largely because of new facilities. How long do you think it will take for us to turn our overall U.S. business after deducting for R&D expenses to turn profitable?

Pranav Amin: So the U.S. business has always been profitable for us if you take our R&D business out. It's just that the new facilities right now, new facilities are shared across all our markets. If you add the new facilities then there that in spite of that, the generics business is still positive, still profit-making in spite of that.

Bharat: Sure. And last one, on the other expenses, we have again seen other expenses shooting up during this quarter. So any number to call out or anything there sitting, which might be one-off?

R.K. Baheti: You would have seen some increase probably on a Q-o-Q basis, but on a Y-o-Y basis, it's like a consistent increase. So some expense are a little more cyclic than others.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: I think in your introductory comments, you indicated that gross borrowings have gone up from close of fourth quarter to now. Any explanations there? Is the working capital gone up?

R.K. Baheti: Yes. A little bit of working capital has gone up, that is because of new launches, which Pranav mentioned, we have to create enough inventory. And also multiple plants are now in stream. So

Alembic Pharmaceuticals Limited
August 08, 2024

Page 14 of 17

obviously, the inventory levels at each of these facilities would add up to the increase in inventory.

Gagan Thareja: In terms of days sales, inventory would also have gone up other than apart from being in absolute values being up?

R.K. Baheti: Number of days have also have gone up because the sales will follow. Inventory buildup is preceding the sales are happening. I believe that by end of this financial year by March '25, it should be back to normal, again.

Gagan Thareja: Okay. All right. And the tax rate also seems to have gone up year-on-year. What would be the full year tax rate roughly to work with?

R.K. Baheti: We expect full year tax rate to be at around 17% on a standalone basis. Depending on the subsidiary company's profits and taxes there on.

Gagan Thareja: Right. And if I look at your standalone numbers there's a very sharp jump in profits, which does not -- obviously not -- does not show up at a consolidated level, any explanation there?

R.K. Baheti: Largely the same reason that we have built up inventory in the U.S. for the new launches. And those products are now when they get on the market, it will be sold. As of now, it's an unrealized profit in standalone books.

Gagan Thareja: Okay. And for India, any addition to sales force that you have planned this year? And what is the current sales force count?

R.K. Baheti: We have done some additions already. We have created divisions and new division in Gynec. We have done a new division in Cardiac. So now, there are no major expansions planned this year.

Gagan Thareja: And what's the total sales force count as of today.

Alembic Pharmaceuticals Limited
August 08, 2024

Page 15 of 17

R.K. Baheti: 5,500 -plus.

Gagan Thareja: And the PCPM would be how much?

R.K. Baheti: Sorry?

Gagan Thareja: The yield per month per man would be how much?

Ajay Desai 3.8 lakh per month.

Moderator: The next question is from the line of Harshit Dhoot from Dymon Asia.

Harshit Dhoot: Two questions from my side. First one is on the Entresto. We have received approval on Entr

esto. I just want to understand on the launch time lines and the settlement terms or litigation. How to understand when we can launch this product?

Pranav Amin: Yes. On Entresto, we have settled already with the Novartis. I think we're just awaiting the outcome of some of the others, what's going on. So we're on a wait-and-watch mode. Let's see if someone launches, then we'll decide if it makes sense for us to launch based on a settlement, but we've already settled.

Harshit Dhoot: But if the other guy was not able to launch, then by when we can launch at earliest?

Pranav Amin: As per settlement, it really depends. It's tough to say and but we would wait for somebody else to launch because we can't launch right away. As per the settlement, our launch is later. But if somebody else launches, then we may get an opportunity to launch. With this, next couple of days, a couple of hearings going on and we'll get a better idea in a couple of weeks' time.

Harshit Dhoot: Okay. Got it. And one more thing on this. Is the settlement related to the volumes or how it is?

Pranav Amin: No. It's based on IP.

Alembic Pharmaceuticals Limited
August 08, 2024

Page 16 of 17

Harshit Dhoot: Okay. Okay. Got it. And the other part on the domestic business, excluding the Animal Health business, what kind of thoughts do you have in mind? Can you also form the IPM market by 200, 300

bps, excluding animal health business?

Shaunak Amin: Yes. that is the objective. We have always maintained that the India business under normal circumstances, over -- not on a quarter -to-quarter basis, but over a long -term consistent basis, we expect to outperform the IPM. And I've mentioned this in the past that my target is to deliver a few basis points higher than the IPM.

Yes, it becomes a bit of a challenge, like it has been in Q1 and some of the quarters of the previous financial year when the RPM and the IPM, there was a big dissonance in terms of growth. I don't want to get into the multiple reasons of why the market grows slowly. But against a normalization of the market, except of any large base, unmanaged base impact or some extreme external circumstances like climate and such. if RPM is growing in line, we expect to outperform the IPM by at least a couple of basis points consistently.

Harshit Dhoot: Excluding Animal Health business, right?

Pranav Amin: Yes, excluding Animal Health business.

Harshit Dhoot: Okay. And the last one on the book -keeping question. Again on the gross margin front, anyways doing 70% -plus from last 8, 9 years, right? So this quarter, we were around 75%, last quarter also 75%. I just wanted to qualitative aspects on that. How should we read the gross margin in terms of mix when U.S. becomes heavy, then it will build more upwards or downwards? So just a qualitative statement on that. The 70% -plus is a big range, right? So just more comments on that, sir?

Alembic Pharmaceuticals Limited

August 08, 2024

Page 17 of 17

R.K. Baheti: As I said, we constantly monitor it, and we'll be happy with anything which is 70% -plus. It has been between 70% and 74%.

So, now for a specific quarter, it depends on our realization that is the top line, the cost of material, the consumption pattern, product mix of production and so on. We don't get into quarter -on-quarter discussion. Overall, 70% -plus is good for us.

Harshit Dhoot: Okay. And in terms of the geography mix, which can you know the margin upwards or which can put pressure on margins? So if U.S. becomes highly, which will be next quarter, then we can see some acceleration in gross margins or it will be something like flattish? Just wanted to understand how gross margin is getting impacted by mix?

R.K. Baheti: Each of these factors affect gross margins. Price erosion in U.S. will affect the gross margins. Price rise in India will affect the gross margin. Cost increase impacts

the gross margin. Any of these things or all of these things can happen or may not happen.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. R.K. Baheti for closing comments.

R.K. Baheti: Thank you, everyone, for joining the call and always pleasure interacting with you and look forward to see you again at our Q2 H1 conference call. Thank you all.

Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 12th November , 2024

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 7th November , 2024

Ref: Our Intimation dated 18th October , 2024

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 7th November , 2024 .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 19

"Alembic Pharmaceuticals Limited
Q2 FY '25 Earnings Conference Call "
November 07, 2024

MANAGEMENT : MR. PRANAV AMIN–MANAGING DIRECTOR
MR. R.K. BAHETI – DIRECTOR - FINANCE & CHIEF FINANCIAL
OFFICER
MR. NILESH WADHWA – HEAD - INTER NATIONAL BUSINESS AND
STRATEGY
MR. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT -FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '25 Earnings Conference Call of Alembic Pharmaceuticals Limited. We have with us today, Mr. Pranav Amin, Managing Director; Mr. R.K. Baheti, Director, Finance and CFO; Mr. Nilesh Wadhwa, Head, International Business and Strategy; Mr. Ajay Kumar Desai, Senior VP, Finance.

Page 2 of 19

As a reminder, this conference call is only for analysts and institutional investors. All participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Pranav Amin. Thank you, and over to you, sir.

Pranav Amin: Thank you. Good evening, everyone. Mr. Baheti is here with me, he has got a little soft throat, so I'll just read out his part.

Thank you all for joining the second quarter results conference call. I'm sure you will have received the results by now. However, let me briefly take you through some of the numbers for the quarter ended September '24.

During the quarter, total revenue grew 3% to INR1,648 crores. EBITDA is at INR 257 crores, which is 15.6% of sales, and it's grown by 18%. Net profit grew by 12% to INR153 crores. EPS for the quarter is INR7.79 per share versus INR 6.95 for the previous corresponding quarter.

The gross borrowings are INR 995 crores compared to INR 784 crores on September 2023. The company has INR 122 crores of cash on hand versus INR 141 crores of cash on September 2023. I'll just give a brief about the India business on behalf of Shaunak. The India branded business grew 6% to INR 609 crores for the quarter.

It had good growth in specialty therapies such as gynecology, 8%; cardiology, 11%; antidiabetic 18%; and 13% in ophthalmology.

Page 3 of 19

The animal health business again continues its robust growth, and it grew 20% for the quarter, with a basket of strong brands driving the outperformance.

We had 3 launches in India during the quarter, and the new launches continue to do well, along with a lot of promising future launches across key segments.

Coming to the international operations.

We had a surprise inspection from the U.S. FDA at our Oncology facility, which passed without any Form 483.

The U.S. business continues to see price erosion, but we partially offset that with an increase in volumes and new launches. We had about a 25% growth in the U.S. volume.

We continue to build momentum with new launches and should hopefully see better growth in H2 with a lot of our launches coming up and being a little more backended. We should launch about 10 products in H2 as well.

Our R&D expense was 8% of sales at INR 133 crores for the quarter.

We filed 1 ANDA.

We also received 9 approvals and launched 8 products in the U.S. during the quarter. And as I mentioned, we will launch about 10 products in H2 as well.

In terms of financials, the U.S. generics grew 5% to INR 467 crores for the quarter.

The ex U.S. generics was back on growth at 18%. We did have some supply related issues in the first quarter and part of second

quarter. So I expect this part of the business to continue growing well H2 also .

The API business degrew by 15%. This is a trend that we've seen in the last couple of quarters. We've seen some price erosion in the API business and have lost some key accounts. However, the long-term outlook on the API business still looks good and it's a high-margin business for us.

With that, I would like to open the floor for Q&A. Thank you.

Moderator: Thank you very much sir. Our first question is from the line of Rashmi S. from Dolat Capital. Please go ahead.

Rashmi S: One question on the domestic business. We are seeing a very strong growth in your animal health care business. But we are seeing a very -- I mean, we are seeing a growth slowdown in the Special

ty segment also. Like earlier, we anticipated that we will be growing this into the double digits. So when can we expect this growth to come back? And what is leading to this slow growth in the Specialty segment?

And in Acute segment, we have seen a decline, and I understand that we have a high base of Azithral, but if you can give more clarity on this part of the business also at Azithral, how are we doing? And for the full year, what should we expect in terms of the overall domestic business?

R K Baheti : Couple of parts in your question. So let me try to answer one by one. H2 -- I mean, H2, we continue to expect to grow better than the market on overall basis, particularly the Specialty segments. Antibiotics, yes, Acute has degrown -- not degrown has been flat, but we are still better than the market in our RPM. So that's the situation in the market. But our efforts continue and we hope that we should post a better performance in H2.

Alembic Pharmaceuticals Limited
November 07, 2024

Ajay Desai : And Rashmi, just to add on the specialty side of the business, basically for quarter 2, market growth was also in single digit, and we performed in line with the market.

Rashmi S: Okay. And what about your ex Azithral, how much growth we have done in Acute part of the business?

Ajay Desai : So basically, on cough and cold side, there is a growth in single digits, but on anti-infective side and you know majorly it is driven by Azithral, the impact is getting felt. Yes.

Rashmi S: Okay. But for the overall FY '25, the growth should be like in the high single-digit sort of for this year?

R.K.Baheti For that kind of growth in whole year , we have to do 15% growth in H2, which may not be possible . We should do a high single-digit growth at least in H2.

Rashmi S: Got it. And then going ahead in FY '26 and '27, how should we look at it? What are the initiatives...

R. K. Baheti : We are not giving guidances.

Rashmi S: No, I'm just asking that what are the initiatives that you are taking to drive domestic growth like in terms of adding market field force or new product launches, what are you focusing on more volume growth, price hike...

R. K. Baheti : Growth not driven by increase in number of field force. It's more driven by better productivity out of our existing team.

Rashmi S: Yes. But anything like any focus on volume growth or price hike or anything...

R. K. Baheti : No, no. I do not like to get into details at this moment.

Rashmi S: Okay. And second question is on the U.S. business. We have done very good number of launches. And what is the expectation

Alembic Pharmaceuticals Limited
November 07, 2024

Page 6 of 19

in the second half? The current run rate definitely would pick up in the second half. So any guidance on the U.S. part of the business for the full year?

Pranav Amin: Yes. I don't have a guidance for you, but H2 will be much stronger for us compared to H1. A couple of reasons for that. Lot of our launches are back-ended and they will start picking up -- we will start picking share only in this quarter onwards. So H2 will definitely be much stronger for us in the U.S. market as it will be for the ROW market as well.

Rashmi S: Okay. And my last question is on gross margin. Gross margin, despite -- I mean India business has not done well, we were able to maintain it at 74%, which is much better than last year. So is it that it's majorly driven by the U.S. segment and your non-U.S. segment? And in case of India business comes back, at least in line with the IPM in second half, how should we see the gross margins in your second half of the year?

R K Baheti: I've responded to that question multiple times in the past that we are happy with anything which is 70% -plus and 1.5% margin here and there doesn't make big difference. It would depend on the product mix of the quarter. It c

an depend on new launches which

we do, it can also depend on ratio of oral solids and non-oral solids in the U.S. So I think 72% $\pm$ is a good range to be in.

Moderator: Our next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: Pranav, my first question is on the U.S. price erosion. So you mentioned you continue to see this. Can you comment like has there been any change compared to, say, last few quarters in terms of intensity of price erosion?

Pranav Amin: I think it's the same. To be honest, it's just product specific, if something happens. It's the same routine price erosion that we continue seeing, it could be anywhere between high single digits

Alembic Pharmaceuticals Limited
November 07, 2024

Page 7 of 19

to low double digits. That's what we're seeing in terms of the market.

Damayanti Kerai: And what are your expectations on pricing part? Will similar level will continue or we can see some meaningful changes in coming quarters?

Pranav Amin: The fundamentals haven't changed. So we continue to see pricing pressures. As I mentioned from the high margin that we were selling some products has come down. So the impact will get a little lesser, but I expect H2 to be much better for us because we have a bunch of new launches that will start picking up stream in this quarter and the next quarter as well.

Damayanti Kerai: So you mentioned around 10 new launches in second half, right, or that's for full year?

Pranav Amin: Yes. 10 new launches in the second half and also, but the first -- the launches -- 8 launches that we've done in this quarter, as you've seen historically, Alembic will always gradually ramp up our market share. I think the same thing will happen. Hence, you will see that 8 launches that we've launched this quarter plus the 10 in H2 as well, both these put together.

Damayanti Kerai: Okay. That's clear. And 1 question on R&D. So earlier, you indicated INR 550 crores of R&D for this fiscal. Do you maintain it or there is any change in your expectation in terms of spend?

Pranav Amin: It will be a little bit on the lower side, we would be closer to the INR500 crores, INR520 crores kind of levels.

Damayanti Kerai: Okay. And again, if you can remind where the majority of R&D is going right now in terms of formulations or...

Pranav Amin: So I would say about 70% of it is formulations and about 30% of it would be on the API side.

Page 8 of 19

Damayanti Kerai: Okay. And my last question is on your API. You mentioned you lost some accounts. So those are permanent losses or what has led to that?

Pranav Amin: Yes. It's a fundamental business shift. What has happened is we've seen pricing erosion in the API business. As you know, our API business over the last 15, 20 quarters has been growing very significantly, and it's a very high-margin business for us. So we lost some businesses. Some partners have put in an alternate source. We are still the part of it. We may recover it. But I expect that part of H2 will also be at these levels of the API business and hopefully, next -- towards the end of the year or next year, we will start getting back to growth in API.

Damayanti Kerai: So API should be recovering from next fiscal, most likely?

Pranav Amin: Yes, I believe so.

Moderator: Our next question is from the line of Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala: Sir, just a couple of questions, starting with your U.S. business. So among the 8 products what you have launched in this particular quarter, any flavor you would like to add on how the launches have been. Is it in line with your expectations, when you talk about a very strong second half of '25?

Pranav Amin: Yes. I expect H2 to be much stronger for us, while on the H1, Q1 and Q2, we did launch some products and I'll give an overview of

the

international generics what happened in H1.

We had some supply constraints in H1, which we were very aggressive with picking up share in the market. We had the ROW business also which didn't grow as much in the first quarter. It's back to about 18% growth in the second quarter. This has a

Page 9 of 19

strong order book, and I expect that at the H2 will remain at these similar levels 15% to 20% growth, at least, for the ROW business. The U.S. generics also we've ramped up. Generally, as I told Damayanti earlier that we generally slowly ramp up our market share. So you'll see the benefit of that coming in H2 and a couple of new launches as well. So that should help the U.S. business ramp up as well.

Abdulkader Puranwala: Understood. And then second is on filing. So if I look at the H1 numbers, do you have filed 4 products for the first half. Again, I know what do you aim to file in the second half? And just if I compare with your R&D. So your R&D, it's still kind of flattish if I compare with H1 '24, but the filing count has not been that significant. So...

Pranav Amin: Yes. So it's a good question. What happened is, a couple of years back when we started tapering off R&D spend, a lot of the projects were already in the pipeline, so you will see a lag in R&D filings. I mean this year, we will see a lag in R&D filing because some R&D filings, number one, are getting pushed back to complex. And number two, we had a slight lag when we started reducing the cost. So we have let go some projects. So there will be a lag. From next year onwards, we will get back to the higher 15-odd ANDAs that we've been filing.

Abdulkader Puranwala: Understood, sir. And sir, final question on the other expenses. So just to understand, is this the run rate to what we can peg for the quarters ahead or does this includes certain one-offs or any further color to that?

R K Bahti: No, there are no one-offs, except that some expenses particularly

in the India business, typically, Q2, Q3 have higher expense in promo and marketing than Q1 and Q4. So apart from this, there

Alembic Pharmaceuticals Limited
November 07, 2024

Page 10 of 19

are no one-offs. But if you compare Q2 versus Q2 of previous year, it will be similar numbers.

Moderator: Our next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, with respect to this API business, we've lost some accounts. So if you could just maybe probably elaborate the reasons for this?

Pranav Amin: Yes. It's just a matter of price erosion and competitors offering lower prices, and we moved some, I think. There are a few key accounts that we lost is built up which occurred, but we're seeing price erosion. Unfortunately, the data, export data from India is very opaque and people have taken advantage of that. So that is what has caused part of this.

But we're working on it to get some of the business back that we can. As you know, we do supply and we'd like to keep higher margins. We do like to supply, stress a lot more on the quality and timely deliveries and we're supplying at higher prices. We're also seeing China get a little more aggressive on the API side as well.

Tushar Manudhane: Sir, is this to do with the inventory in the system or the API portfolio that we have or despite normalized inventory, we are seeing further price erosions?

R K Baheti: No. Inventories, Tushar, have been built largely ahead of these planned launches. So these are planned...

Tushar Manudhane: No. No, not for the -- not at the company level, sir? I'm referring to the inventory of those products at the industry level.

R. K. Baheti No, no, I'm talking about inventory for the International business largely has been built for planned launches.

Alembic Pharmaceuticals Limited

ited
November 07, 2024

Page 11 of 19

Tushar Manudhane: No, no, sir, I meant to ask that the lost business, particularly for the API side. So like maybe the other guys are able to -- are willing to supply at lower prices. So just trying to further understand that is it the inventory at the industry level itself is still so high, but the other players are coming and willing to sell at a lower prices, which we are not -- we don't want to do, is that the case?

Pranav Amin: No, no. It's just purely related to pricing. These products are used by others as well. So I'm not worried about the inventory per se.

It's not a concern. It's just that they move -- we are still part of their active filing, right? Because DMF is part of the active ANDA or the dossier that we have. It's that that they move to a second vendor. Sometimes, buyers do it to getting a better price when they keep switching between 2 vendors as well.

Tushar Manudhane: And lastly, this is to do with supply to U.S. market or export U.S. market for API business?

Pranav Amin: API is global market. So it pretty much goes all over the world. So it's -- it's U.S. as well as Canada, Europe, Brazil, everywhere. We're seeing a couple of products. There were 1 or 2 customers, which were selling in the U.S., but they have an FDA issue. So that has a lower offtake from us. The rest is just pricing pressure and some customers have moved to another buyer. And the third issue is our buyers themselves have lost market share in some products.

Moderator: Our next question is from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: Just 2 products in the U.S. market. I wanted to know if it is something we can expect in the next 12 to 24 months. One is bosutinib and the other is olaparib?

Alembic Pharmaceuticals Limited
November 07, 2024

Page 12 of 19

Nilesh Wadhwa : So, yes, I think these launches are expected, but it will go as per the settlement.

Bino Pathiparampil: Yes. I mean, could you give any color in terms of can we expect in the next 12 to 18 months or is it beyond that?

Moderator: Sorry to interrupt, sir, if you can come a bit closer to a mic.

Nilesh Wadhwa : So these will go as per the settlement we have. Date cannot be disclosed right now.

Bino Pathiparampil: Understood. And on olaparib, is there a settlement already or is it still under litigation?

Nilesh Wadhwa : Yes, olaparib is under partnership.

Bino Pathiparampil: Yes. I'm wondering if you have settled it already or is it still under litigation?

Nilesh Wadhwa : Still under settlement.

Moderator: Our next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Yes. Sir, the first one is on your operating cash flow, which I think is negative year-to-date for this year. There's a rise in working capital. There's also an increase in debt sequentially as well. So can you elaborate on this?

Pranav Amin: Yes, I'll just start on the business side, and then I'll let Mr. Baheti talk about it.

So business side two things happened. As I mentioned, Q1, Q2, we had a lot of supply constraints in the market. These supply constraint caused us to build up more inventory. So this -- and as I said, that H2 will be more robust for both U.S. as well as Europe. So we should see a little more normalized.

Alembic Pharmaceuticals Limited
November 07, 2024

Page 13 of 19

Number two, we have a lot of launches coming up, and we've been planning for that. So those launches is something that we built up inventory. Those are two of the reasons why we had a little higher inventories, which has led to a little higher debt.

R K Baheti: Yes. And in September quarter, debt spiked a bit because of the dividend outflow, and it will settle down over the year.

Gagan Thareja: Right, sir. Can we expect to maintain our working capital days and cash conversion cycle for FY

'25 at same level as FY '24 at the close of the year?

R K Baheti: Probably that will be a close call. But going forward, if we talk of FY '26, I think we should be back to normal level

Gagan Thareja: All right. And on the domestic business, is it possible to understand I mean, it generally seems that across-the-board acute heavy portfolio companies are struggling for growth. While it's understandable that you grow -- your growth is in line with the covered market. Is it possible to further drill down and understand why the covered market in Acute segment seems to have grown so weakly across the board for Indian companies?

I mean, as a customer, I don't see any reduction in incidence of infectious diseases. Personally speaking, my experience has not been any different this year, if anything worse than last year?

R K Baheti: Actually, it is because this time monsoon was little late. June was bad. So the offtake from the stockist was low. July onwards it picked up. But again, the footfall with the doctors for acute has gone down.

If you look at the market share, we have not lost the market share.

We continue to perform better than the market. We continue to improve ; maybe a small percentage -- a percentage basis point, but we continue to improve on our key products market share. So

Alembic Pharmaceuticals Limited
November 07, 2024

Page 14 of 19

that way, we are really not worried, but yes, market has been slightly slow.

Gagan Thareja: Okay. And would it have something to do with trade generics also?

I mean do you believe that overall branded generics in Acute segment would have additionally lost share to trade generics.

R K Baheti: Possible. I mean, I would not say it's still significant. But in pockets, some regional players can play as disruptor , trade generics can. But -- overall all India basis, not much difference.

Moderator: Our next question is from the line of Harith Ahamed from Avendus Spark.

Harith Ahamed: I see a tangible CWIP of almost INR650 crores on the balance sheet. Can you share which facilities this is related to? And if we are capitalizing any costs currently like we used to do in the past?

R K Baheti: We have 3 major projects around as of now in hand, one is a new formulation facility for domestic market, which is coming up near Indore. That should be completed by the end of this financial year. The second is peptide block, which we are building at our existing API facility, and the third is couple of line extensions which we are doing at F3, 2 more lines we're adding like I shared this previously also. Currently, we have 3 operating lines, we're adding 2 more lines to, one will be operational, I think, by end of this year or early next year.

Harith Ahamed: Okay. And in your annual report, you talked about 2 filings in the peptide space. So can you comment whether these are indeed -- these are for GLP -1 products?

Pranav Amin: The GLP -1s, as you know, is an interesting area, and it's a good future that we're seeing. And we're entering some of these, both in formulation and API perspective. Hence, we have to build this

Alembic Pharmaceuticals Limited
November 07, 2024

Page 15 of 19

capability for in-house APIs. We've got R&D developed. And some of the products we're going to tap with day 1 as well.

Harith Ahamed: But the 2 filings that you have already done, are these for GLP -1 product?

Pranav Amin: Sorry, I didn't get, the GLP or how many filings we've done?

Harith Ahamed: In your annual report, you mentioned a couple of filings, 2 NDAs filed for peptides. So I was wondering if these are GLP -1 products.

Pranav Amin: No, the ones that we filed are not GLP -1, they are the peptides.

Harith Ahamed: Okay. And when I look at your number of MRs and calculate the PCPM, we've been around that 4 lakh PCPM for some time. So any divisions that are underperforming where we can

expect

improvement or any other measures that we've undertaken, which can drive an improvement in our PCPM and our domestic margins?

R K Baheti: We don't look at the underperformance or overperformance by the average of 4 lakh or 3.5 lakh. We look at the performance from the budget which we have given to them. So if any new division or any new product which we introduced would have a lower PCPM to start with, and that is not something which is worrying. So there are multiple factors, which we evaluate when we evaluate performance of the people.

But having said that, I agree that there is a scope for improvement in our MR productivity and that's what we are working on. In

response to one of the earlier questions I said that the next level of growth will come from productivity improvement and not increasing the number of people.

Alembic Pharmaceuticals Limited
November 07, 2024

Page 16 of 19

Moderator: Next, there's a follow-up question from the line of Rashmi S. from Dolat Capital.

Rashmi S: Yes. One bookkeeping question on other income, that seems to be pretty high during the quarter. So does it include any forex gain or any one-off?

R K Baheti: Yes. So there were some forex gain this quarter.

Rashmi S: And if you can quantify that?

R K Baheti: That would be about INR10 - 12 crores

Rashmi S: INR10 crores to INR12 crores. Okay. And when I see the balance sheet, the short-term borrowings have jumped up from INR450 crores to around INR995 crores. This would remain at the same level until the end of the year, or any repayment is planned?

R K Baheti: So I responded to this in previous question saying that Q2 typically would have a higher borrowing because of a chunk of dividend outflow.

Rashmi S: Okay.

R K Baheti: And the borrowing level will get reduced over a period of time. Also, as Pranav said, we have built some working capital, which should also get consumed before the end of the financial year. So hopefully, the borrowing level will be much lower by -- before end of the year.

Moderator: Our next question is from the line of Amlan Das from Nomura.

Amlan Das: Sir, probably I missed in the opening remarks, what was your R&D spend for the quarter?

Pranav Amin: INR130 crores, it was about 8% of sales.

Alembic Pharmaceuticals Limited
November 07, 2024

Page 17 of 19

Moderator: Our next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Sir, my question was on the GLP front. You are saying that we have a couple of products where we'll be like -- we'll be planning to launch on the first day. So just wanted to understand, are there some of the large products like Sema or how relatively lower-revenue products?

Pranav Amin: So we don't really give details of what we launched. But one thing I can say that H2 is going to be a much better for us for the U.S. as well as ROW business. As I mentioned that ROW will be better because in Q1, we had some supply constraints. We expect growth in H2.

And in U.S., as I mentioned, we launched 8 products in Q2, and we gradually start picking up, ramping up market share -- we have some supply constraints. We also have about 10 launches in H2 as well. So with all this put together, H2 will be a much stronger business for U.S. and ROW generics.

Ankit Gupta: Sure. So my question was particularly on the GLP given the kind of growth the innovators are seeing in this segment. So like -- as you said, we are also planning to launch these products. So how is the competitive intensity there? And are we also planning to launch, or have we filed for some of the large products like Sema?

Pranav Amin: Yes. we will launch -- we will target semaglutide and tirzepatide both. There's still time of tirzepatide and the launch is still some time off. Sema, we will not be in the first wave, we will be a little late. it's both interesting products.

So we will -- they're both in aggregate.

Ankit Gupta: And sir, how do you see the competitive intensity there? These are very big blockbuster products...

Alembic Pharmaceuticals Limited
November 07, 2024

Page 18 of 19

Pranav Amin: It's a big product and the indications are increasing day on day off. So we expect volumes also to continue growing. There's a lot of people working on this as well. So it will be competitive for sure. It's a good opportunity and you need to be present in this opportunity.

Ankit Gupta: And just like -- like are we also planning to liraglutide?

Pranav Amin: No, liraglutide we're a little late, so we haven't filed that.

Ankit Gupta: Sure. Sure. And this will be manufactured by us or will be outsourcing to some other ARC?

Pranav Amin: Mr. Baheti mentioned earlier that we've set up a peptide facility, purely as R&D. We're setting up a facility to do peptide as well as the GLP -1 peptides, so we will manufacture in-house.

Ankit Gupta: Okay. Okay. So just wanted to get your sense, given this, these are a relatively new area for us and these are peptide products which are difficult to manufacture. So do you think we have developed enough capabilities to manufacture them in-house?

Pranav Amin: Yes. That's why we did the capex. We did the R&D way before this, the peptide R&D we've been doing for 4 - 5 years now. So we do have confidence in that. And I think it's a good segment, as I mentioned, it's not just Lira, Sema and tirzepatide. We will see more GLP -1s coming because we're seeing indications in the market improve. So we want to be present in this segment.

Ankit Gupta: Sure. And just one question on this. Sema is like are we planning to launch Sema in Canada? Also I think that patent is getting expired in January '26. So will we be launching there as well?

Pranav Amin: As I mentioned, Sema will be a little late. We haven't disclosed marketwise what our strategy is, but we'll be a little late. The following ones will be in time for all the markets.

Alembic Pharmaceuticals Limited
November 07, 2024

Page 19 of 19

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Pranav Amin for closing comments.

Pranav Amin: Yes. Thank you, everyone. As I mentioned, it was a mixed bag.

API was a little bit slower for us this quarter, but the other businesses are looking good. H2 should be a much stronger finish for us, especially on the back of the ROW and the U.S. business, and look forward to talking to you next quarter. If there's any further questions, you can please reach out to us. Thank you, and wish you all the best.

Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 12th May, 2025

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 6th May, 2025

Ref: Our Intimation dated 25th April , 2025

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 6th May, 2025 .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 16

"Alembic Pharmaceuticals Limited's Q4 FY'25 Earnings Conference Call "

May 06, 2025

MANAGEMENT : MR. PRANAV AMIN - MANAGING DIRECTOR
MR. SHAUNAK AMIN - MANAGING DIRECTOR
MR. R. K. BAHETI - DIRECTOR (FINANCE) AND CHIEF FINANCIAL OFFICER
MR. AJAY KUMAR DESAI - SENIOR VICE PRESIDENT (FINANCE)
MR. NILESH WADHWA - HEAD (INTERNATIONAL BUSINESS AND STRATEGY)

Alembic Pharmaceuticals Limited
May 06, 2025

Moderator : Ladies and gentle men, good day and welcome to Q4 FY'25 Earnings Conference Call of Alembic Pharmaceuticals Limited.

We have with us today Mr. Pranav Amin – the Managing Director ; Mr. Shaunak Amin – the Managing Director ; Mr. R . K. Baheti – the Director of Finance & CFO ; Mr. Ajay Kumar Desai – Senior Vice President - Finance ; Mr. Nilesh Wadhwa – Head -International Business & Strategy
As a reminder, this conference call is only for the analyst s and the institutional investors. All participant lines will be in the listen -only mode and there will be an opp ortunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R. K. Baheti. Thank you and over to you, sir.

R. K. Baheti: Thank you. Good evening, everyone. Thank you all for joining the 4th Quarter as well as the Annual Results Call for March 2025.

I am sure you would have got all the financials, but let me briefly take you through the numbers :

I am very pleased to inform you that this quarter our revenue grew by 17% to touch Rs. 1,770 crores. EBITDA Rs. 286 crores, which is 16 % of the sales, it grew by 9%. PBT grew by 5 % to Rs. 192 crores , and because of higher tax provision , Net profit is at Rs. 157 crores. During the whole of FY '25, the total revenue grew by 7%, Rs. 6,672 crore. EBITDA at Rs. 1,053 crore is again 16 % of sales and grew by 10% over the previous year. P BT grew by 10% to Rs. 696 crore and net profit is at Rs. 583 crore.

EPS for the quarter is Rs. 7.98 per share , this is for the quarter v/s Rs. 9.07 for the previous corresponding quarter. For the whole year, 24 -25, Alembic Pharmaceuticals Limited

May 06, 2025

it is Rs. 29.68 per share versus Rs. 31.33 per share for the previous corresponding year that is due to higher other income and deferred tax. Our borrowings are at Rs. 1,196 crore and our debt equity ratio is a healthy 0.23. C ash in hand is Rs. 83 crores.

At today's Board Meeting , the board has announced a dividend of Rs. 11 per equity share, that is 550 % for the Financial Year. We have a par value of Rs. 2 per share. This is same as the dividend for the last year 23-24. Of course, this is subject to the approval of shareholders at the AGM.

I would now request Shaunak to take you through the business part , the India business first.

Shaunak Amin: Hello. Good afternoon, everyone.

In the India business, we grew by 8 % in the quarter, with a topline of Rs. 545 crores and 6 % for the whole year at Rs. 2339 cror es.

We had good growth in a couple of key segments, which are gynecology, antidiabetic , ophthalmology, dermatology .

Anti-infective and cough & cold, which are two large product segments for us which were struggling this year due to a market slowdown, both grew at 7% and 11 % for the quarter.

We had 4 launches during the quarter and 14 new launches this year and new launches continue to do well. A long with a line of robust new launches lined up for this yea r.

The bright spot for the last multiple quarters has been the Animal Health business. It continues to grow by 19 % for the quarter and 21 % per year backed by a basket of strong brands and new launches.

I am also happy to announce that we have commissioned a new formulation facility in Pithampur near Indore which will help us
Alembic Pharmaceuticals Limited

May 06, 2025

augmenting our manufacturing capacity and as well as help with improved logistics.

I hand this over to Pranav now for the International B usiness.

Pranav Amin: Thank you. Our International business had a strong performance in Quarter 4

, and I am quite happy with the performance.

Our ex-US business, which is ROW business, had a strong growth with 43%.

The US business also grew 20 % for the quarter driven by volume as well as new product launches , and the API segment returned to growth.

Our focus remains on cost optimization initiatives, improving facility utilization and targeted investment in R&D as a key strategic priority.

The R&D expense was 9 % of sales at Rs. 151 crores for the quarter.

And for the full year, it was Rs. 522 crores.

We filed 5 ANDAs during the quarter.

We received 2 approvals and launched 4 products in the US during the quarter. Cumulatively, we have 220 ANDA approvals. We will launch 4 to 5 products in Q1 as well.

All our facilities are fully compliant and EIRs in place.

As I mentioned, the U.S. Generics grew 20 % to Rs. 508 crores for the quarter and 13 % to Rs. 1,957 crores for the year.

Ex-US Generics grew by 43 % to Rs. 375 crores for the quarter and it grew by 18 % to Rs. 1,243 crores for the year .

The API business grew by 4 % to Rs. 342 crores whereas it de-grew by 9% to Rs. 1,133 crores for the year.

With that, the next year outlook looks good for all three businesses.

Alembic Pharmaceuticals Limited

May 06, 2025

Page 5 of 16

Now I would like to open the floor for Q&A.

Moderator: Thank you, sir. We will now begin with the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question comes from the line of Damayanti Kerai from HSBC Bank. Please go ahead.

Damayanti Kerai: Hi. Good afternoon and thank you for the opportunity. My first question is for Mr. Baheti . Sir, can you explain the significant jump in inventory and CAPEX for this fiscal year and how we should look at these numbers in coming years? Also, if you can explain the R&D, the relatively higher R&D spend during the 4th Quarter . And again, how should we look at the trend ahead? Thank you.

R. K. Baheti: Sure. Very valid observations. Part of it I will respond and part of it maybe Pranav can supplement it after I finish. You are right! we have built inventories , because we had scheduled multiple launches in the previous year to be launched products , at U.S. So, inventories at U.S. level is high. We have to keep a backup API and other stocks , so that is high. Plus, all manufacturing facilities have now higher level of utilization with multiple products. So, inventory tends to go up. There are some inventories which have been built in anticipation of some good launches which are coming in next few months. We are aware that inventory levels have gone up and there will be efforts to restrain the inventory as we progress during the year. As far as CAPEX is concerned, we were in 2 or 3 large CAPEXs . On the domestic side, we have commissioned Pithampur . So '24-'25, we have spent a good amount of money on Pithampur manufacturing facility , cumulatively about Rs. 200 odd crores , not all of that was spent in 2024-'25, some of it was carried forward. We also built a new peptide block for manufacturing peptide at API 2 . . We have completed putting up an additional line at F3 for injectables. So these have led to larger CAPEXs . Major projects are over and going forward as of now I can

Alembic Pharmaceuticals Limited

May 06, 2025

Page 6 of 16

only anticipate the maintenance CAPEXs, and the regular CAPEX and

I do not expect significant CAPEX . R&D, actually you can't look at it on a quarter -on-quarter basis . Sometimes filings are more , so expense becomes more but on an yearly basis we have given a guidance of about Rs. 500 odd crores and we are in that range. That's from my side, but Pranav can supplement my information.
Pranav Amin: No, I think Mr. Baheti has answered the questions . First is I agree that R&D can't be looked

at quarter -on-quarter because it's project to project and then the filing happens. At the start of the year we had guided about Rs. 500 - 550 crores or so for R&D. We are around the range of 522. So R&D is okay. In terms of the inventory buildup, yes, we have a lot of launches in the U .S. that we have done and more are coming up. And we built up some inventory for that.
Damayanti Kerai: Yes, so Pranav, this inventory buildup, should we also think in a way that the U .S. administration will shortly come up with the tariffs announcement on the pharma side? Is it more to, before that comes, are you also like building inventory? We don't know right now what will happen on the tariff ?
Pranav Amin: No, actually, no, we haven't. We have discussed this with lot of our buyers, but the inventory buildup is not because of that. The inventory buildup is there for some launches, one particular launch that was going to happen. That just got pushed back and we had some inventory for that. Apart from that, we had a couple of other Day -1 launches. So we built up some inventory for that as when we pick up an account, we like to carry a couple of months of inventory, but it has nothing to do with the tariffs and what 's going on with the current government policy.
Damayanti Kerai: Okay. So most of the launches for the U .S. market, right? Or you are also like counting the ROW market ?
Pranav Amin: Yes.
Alembic Pharmaceuticals Limited
May 06, 2025

Page 7 of 16

Damayanti Kerai: Continuing on that, again, I think coming back to the tariffs, we don't know what kind of things will come up. But what are your backup plans in case, if we assume the worst outcome that Indian exporters are imposed under heavy tariffs and then there will be no passthrough mechanism a la. In that scenario, what will be fallback option for you? Because I think some of your peers have plants in the U .S. but you don't have there . So what's your take on it?
Pranav Amin: So, to be honest , I am talking about the whole industry, forget about Alembic . No one has enough capacity in the U .S., even our peers who have plants in the US, it is a fraction of the volumes that they are supplying. So , I think it's going to be a macro issue that everyone will face with and the buyers in the industry. So passthrough or no, I don't think there's anyone who's going to be able to take that because you can take jointly, no one would have more than 5% to 10% of the total US volumes that have capacity with that in the U .S. So let's wait and see what happens. I think right now , the Governments are trying to work it out. I don't believe it will be such a drastic step because as I said, only about 10 % of the volumes can be manufactured in the U .S. So the rest of it is, going to be a huge shortfall.
Damayanti Kerai: Okay, before I get back in the queue, Mr. Baheti , can you just point out what will be the maintenance CAPEX or regular CAPEX going ahead since we do not have anything major coming up in say '26 or at least for '26?
R. K. Baheti: Roughly I am budgeting about Rs. 400 crores -Rs. 450 crores. This should include some spillover of expense which will come from those existing projects that is Indore and others included.
Damayanti Kerai: Okay, thank you. I will get back in the queue .
Moderator: Thank you. The next question comes from the line of Rashmi Shetty from Dol at Capital. Please go ahead.
Alembic Pharmaceuticals Limited
May 06, 2025

Page 8 of 16

Rashmi Shetty: Yes, thanks for the opportunity. Just a follow -up from the earlier participants. So this year also, our receivable days will almost remain at the high level only, right? Whatever is at the current stage ?

R. K. Baheti: I am not clear. Are you talking about the inventory?

Rashmi Shetty: Inventory days and the receivable days also.

R. K. Baheti: So, inventory days, as I said, going f

orward will taper down and in terms

of days it will go down because A, my business will grow, so my denominator will be higher, and inventory will come down from these levels . So, the impact on inventory days would be higher. Receivable we have been for a long time, we have been around between 70 and 80 days, this has gone up slightly on account of last quarter sales and some new launches, while the collection days is little higher for the new launches , that would also go back to about 75 days or so in the next few quarters.

Rashmi Shetty: Okay. And sir, your short -term borrowings have also shot up. Is it because of the same reason of working capital requirements which has gone up?

R. K. Baheti: Absolutely. You are spot on.

Rashmi Shetty: Okay, and will it reduce in FY '26 or it will remain at that level only?

R. K. Baheti: I hope to reduce the borrowings out of the cash flow which I generated from the release of working capital and the profit I make.

Rashmi Shetty: Okay, got it sir. And just from the quarter perspective, so what we are seeing that despite a very decent sales growth, we are still seeing that gross margins are pretty low during the quarter. So if you can call out the reasons behind it and how should we see gross margins for the entire year of FY '26?

R. K. Baheti: I won't call it pretty low. Yes, they have fallen from a high of 73 %-74% to about 70 % plus. But if you have been attending my calls in past few

Alembic Pharmaceuticals Limited

May 06, 2025

Page 9 of 16

quarters, I have always said that we are happy or rather we know that it will come down to 70%. So, Rashmi, it is largely because of product mix. In a quarter when you have a high volume product where the realization is lower or margins are lower, the impact will be on gross margin. But we are not concerned as the volume is building and as the new product chips in. We are okay, we should be okay with it.

Rashmi Shetty: So we should assume like you whatever for the full year whatever is the current gross margin within that range only we will be able to maintain next year also ?

R. K. Baheti: No, I won't say that because too early for me to say that because you have large number of launches

Pranav Amin: Actually, Mr. Baheti what he had said earlier , is that margins of around 70% is what we find acceptable and I think this is what we will look at strive at being around for that. So even last year we had a few quarters where it was a little higher because of some one -time opportunities. But by and large, our internal target is about 70 % because all the new launches and the price erosion and the higher volumes that we are pushing.

Rashmi Shetty: Okay. Why I am trying to understand this is that, from last three years our operating margin is at 15%. We are doing a flat EBITDA margin from last three years. So what is the scope that in FY'26, there could be some operating leverage and everything would play out and we would be able to see a good 100 basis point or you more than that improvement in the EBITDA margin ? If you can give some comments on that.

Pranav Amin: Yes, sure . So, actually, in terms of this also, I think a couple of quarters back, I had given a call and what are the levers, at that time we were at about sub 15%. How do we go back up to like 18 %-19%-20% kind of EBITDA levels? And I didn't give a timeframe, but how that will happen is, we have these three new facilities, four new facilities, out of it two of them are relatively newer injectables. As we get more capacity

Alembic Pharmaceuticals Limited

May 06, 2025

utilization in those facilities, as we start getting more volumes out of those facilities, that will automatically give a lot of operating leverage because these are not fully utilized right now. So that's creating a drag on the EBITDA. Number two is the R&D also. We have optimized R&D spend

and being from the high of 14%, we come down to about 8-9%. So that is the second area where we will get operating leverage. So with all this in place, we will see EBITDA margins going up over the next couple of quarters and next couple of years.

Rashmi Shetty: Okay. And R&D expenses, can you guide in the absolute term like what you have guided earlier in FY '25?

Pranav Amin: Yes. I for FY '26, I would say R&D, we have done about 522 this year. Our guidance was 550. Next year again, we'd look at about 600 to 650, depends on how the project goes.

Rashmi Shetty: Okay. Thank you. That's it from my side.

Moderator: Thank you. The next question comes from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Yes, thank you for the follow up. Sir, on the U.S. segment, despite we have seen a strong growth on YOY basis, but quarter-on-quarter there is a dip despite we have done four product launches. So the reason behind that, are we seeing any pricing pressure still in the base business level, if you can explain that and on the pricing pressure for the entire year also?

Pranav Amin: Yes, so the pricing pressure remains in the U.S. market and it's still there, product to product if you look at it. One of the reasons why this is lower and actually you to put into perspective is that quarter-on-quarter, in my opinion, the volume growth in the U.S. would be far higher while the revenue growth is 20%. The reason is because last year we had a few one-time buy opportunities, there were some products in shortage. And that really gave like a little bit of an outlier kind of a performance. That is one of the reasons.

Alembic Pharmaceuticals Limited

May 06, 2025

Rashmi Shetty: You mean last quarter we had some one-time opportunity, right?

Pranav Amin: Last, Q3 we had some, not much. Q4, I am talking about more. For the last year, but Q3 also we had some. So that was just a quarter-on-quarter shift. Because what happens when you have a new product launch, sometimes the buyer takes a lot of the quantity right on day one. They take a couple of months' supply. So that's what happened to us in Q3. So we had a little higher supply in Q3 of some new launches.

Rashmi Shetty: Okay. And last, you already gave the guidance that FY'25 will be showing a double-digit growth in the U.S., which you have already achieved it. Now in FY'25, you have already lined up more than 15 product launches in FY'26, which has been highlighted in the presentation. Should we still continue low teens growth or mid-teens growth in FY'26 also?

Pranav Amin: Yes, to be honest, for all the businesses, if you see the way it's going, I expect the U.S. business to grow on mid to high teens, it should grow for FY'26 depending on how the launches pick up and what kind of erosion, which I don't know, but I expect that from what we are seeing, a mid-teen, like a 15%-odd should be a good growth for the U.S. market. The ROW business will continue between 12%, 15%, somewhere around there, growth and the API should be about 10% or so.

Rashmi Shetty: And India business also, we will be able to see, we will come back to that 8% to 10% growth or still we might see some struggle in anti-infective segment, antibiotic segment, and it would be a single digit growth only?

Shaunak Amin: For India business, we are quite positive to get a double-digit growth for the whole year. There might be some quarter-to-quarter where ability based on onset of monsoon, but except of that, we are quite confident that we have a plan in place to drive a 10% plus growth.

Rashmi Shetty: Okay. sir. Thank you so much. That's it for my side.

Alembic Pharmaceuticals Limited
May 06, 2025

Page 12 of 16

Shaunak Amin: Thanks.

Moderator: Thank you. The next question comes from the line of Bharat from Equirus Securities. Please go

ahead.

Bharat: Yes, sir. Thanks for the opportunity. I just wanted to pick your mind what exactly is happening in domestic market largely in the anti-infective side, the growth is not picking up since last two years and how do you see moving forward for FY'26?

Shaunak Amin: Yes, so are you talking about us or are you talking about the industry in general?

Bharat: For Alembic as well as for the industry, if you could give some...

Shaunak Amin: Yes, the answer is in... If you go back, take this number back to 2020 - 23 onwards, there was a significant ramp up in the antibiotic base. What you are seeing right now is more of a moderation of the base effect that's coming into it. At some point, it needs to balance out. We are quite hopeful that both the markets should start growing from this point on.

Bharat: And according to you, is Jan Aushadhi or genericization is something which affects anti-infective at all?

Shaunak Amin: No, not really. The IMS data doesn't say that.

Bharat: And on the U.S. market, so we have around 15 launches for FY'26. How many you are considering it to be high value and going to be less competition for FY'26 at least?

Pranav Amin: It's tough to say on those launches. I'd say about 20%, 30% could be interesting opportunities. It depends on how many people launch. Yes, about 20% -30% should be interesting.

Bharat: And does FY'26 include bosutinib as well, that is Bosulif?

Alembic Pharmaceuticals Limited
May 06, 2025

Page 13 of 16

Pranav Amin: Bosutinib, it may be there. We have a technical issue, so it may come, I am not committing to that as yet.

Bharat: And how about Adempas, that is Riociguat?

Pranav Amin: So, Riociguat, we are not there on day one. So, Nilesh, you have the data with you?

Nilesh Wadhwa: Sorry, for which product?

Pranav Amin: Riociguat, Adempas. We will get back to you offline.

Bharat: But you are looking to be a sizable product for you?

Pranav Amin: Which one?

Nilesh Wadhwa: Sorry, can you repeat the question?

Bharat: Is it going to be a sizable product for us, Adempas?

Nilesh Wadhwa: Decent size.

Bharat: Right. And on injectables, we have not seen some exclusive or big launches coming through. When will be the time when we will start seeing those niche ones or the complex ones start accruing for us?

Pranav Amin: I think it is still going to be, you know, it's a new area for us. That is something we are trying to do, attempting to do. Hopefully, let us say next year or so, we will see some limited competition, interesting ones coming up.

Bharat: Next year, it's FY'26, right?

Pranav Amin: FY'27 now. I would say toward end of '26, early '27.

Bharat: That's great. Thanks a lot. I will get back in the queue.

Alembic Pharmaceuticals Limited
May 06, 2025

Page 14 of 16

Moderator: Thank you. The next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services Limited. Please go ahead.

Tushar Manudhane: Thanks for the opportunity. So, just on the API side, so at the industry level, are you seeing the inventory getting normalized and which is where now we are sort of seeing the revival in growth? That is first

question.

Pranav Amin: Yes, so on the API side, it was not the question of inventory per se. It was just pricing pressure and erosion. We lost out some business because of lot of pricing pressure. Chinese are back in the market and even through India. So a lot of pricing pressure. That is one of the reasons we lost out. We made it up by existing relationships and some of the older products that we had and some new ones. So that is what compensated for it.

Tushar Manudhane: Got you. As far as the Indian business is concerned, we have been pretty stable in terms of number of MRs. So, is it safe to assume that it's going to be the number like 5,500 for FY'26 as well? Or do we intend to add

any more MRs?

Shaunak Amin: It's pretty much the same. There might be some incremental balancing, but no major expansion is expected. Maybe there might be a hundred odd people we will add. That's it.

Tushar Manudhane: Got it. And maybe I missed the remarks or maybe I heard it wrongly but anything you commented in the opening for the peptides as a product category?

R. K. Baheti: I talked about the peptide block manufacturing block is part of CAPEX. We will be doing some filings and then it will take some time for products to go to the market.

Tushar Manudhane: Okay. That is it from me.

Alembic Pharmaceuticals Limited

May 06, 2025

Page 15 of 16

Moderator: Thank you. The next question comes from the line of Damayanti Kerai from HSBC Bank. Please go ahead.

Damayanti Kerai: Hi, a clarification on R&D outlook for FY'26. So Pranav, you mentioned Rs. 600 crores to Rs. 650 crores. So first, can you explain where the majority of spend is going? And then I understood earlier that your intention is to keep your R&D somewhere 500 to 550 level, but this seems higher than what you earlier spoke about, if you can also talk about it please?

Pranav Amin: Yes, so I have said at the start of the year that we will do R&D about 550, we have ended up about 522 or so. And next year, as I said, 600 to 650 depends on how the product goes. Amongst that, I would say about 30%, yes, about 30 %-35% would be towards peptides and complex injectables. If you add complex ophthalmic also, about 40 % would be towards complex products and peptides, rest would be the API and OSD R&D. And in terms of filings, we will say roughly half would be on, almost half, about 45 % of the new filings would be on injectables. So rest would be OSD and a little bit on Derma and Ophthalmic.

Damayanti Kerai: Okay. And I think you mentioned about this peptide opportunity etc. And then you have peptide blocks coming in. So is it more to address the semaglutide sort of opportunity which is coming up or like what is...?

Pranav Amin: I will be honest. Yes. So we attempted a couple of peptides, not just the GLP ones. GLP is one class, but there's a couple of other peptides that we have in our pipeline as well. I said in the call earlier that semaglutide we are a little late for the U.S. launch. We don't have the day one, but we will be there in some of the ROW markets, whereas Tirzepatide is the one we hope to be there on day one.

Damayanti Kerai: Day one in the U.S. for Tirzepatide?

Pranav Amin: Yes, the filing still has to happen. It's still time, NCE -1 appointed date hasn't happened. But yes, we would like to be there on day one in all markets.

Alembic Pharmaceuticals Limited

May 06, 2025

Page 16 of 16

Damayanti Kerai: Okay, thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. R. K. Baheti for the closing comments.

R. K. Baheti: Thank you all for joining the call. It's a pleasure, as always, talking to all

of you. If anybody has any follow -up questions, you can always reach out to me or Ajay on a mail or phone call and we will be happy to respond. I look forward to seeing you again next quarter. Thank you all. Good evening.

Moderator: Thank you sir. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE : ALEMBIC ROAD , VADODARA - 390 003 . ● TEL: (0265) 2280550 , 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 11th August , 2025

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 5th August , 2025

Ref: Our Intimation dated 21st July, 2025

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 5th August , 2025 .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 20

"Alembic Pharmaceuticals Limited Q1 FY'26 Earnings
Conference Call "

August 05, 2025

MANAGEMENT : MR. PRANAV AMIN - MANAGING DIRECTOR
MR. SHAUNAK AMIN - MANAGING DIRECTOR
MR. R. K. BAHETI - EXECUTIVE DIRECTOR
MR. G. KRISHNAN - CHIEF FINANCIAL OFFICER
MR. AJAY KUMAR DESAI - SENIOR VICE PRESIDENT
(FINANCE)

Alembic Pharmaceuticals Limited
August 05, 2025

Page 2 of 20

Moderator : Ladies and gentlemen, good day and welcome to Q1 FY'26 Earnings Conference Call of Alembic Pharmaceuticals Limited.

We have with us today Mr. Pranav Amin – Managing Director , Mr. Shaunak Amin – Managing Director , Mr. R. K. Baheti – Executive Director , Mr. G. Krishnan – CFO , Mr. Ajay Kumar Desai – Senior Vice President (Finance).

As a reminder, this conference call is only for analysts, institutional investors. All participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R. K. Baheti. Thank you and over to you, sir.

R. K. Baheti: Thank you everyone for joining our 1st Quarter '26 Conference Call. I am very happy to introduce my colleague, Mr. G. Krishnan, who has joined us as our CFO, effective 7th of July 2025. And I am pleased to hand it over to him for the opening remarks. Krishnan.

G. Krishnan: Thank you. Thank you, Mr. Baheti for the introduction. Good afternoon, everyone. This is my First Earnings Call interaction with all of you as a CFO of Alembic. I am truly pleased to be here and it is an honor to join a company with such a rich legacy of innovation, operational excellence, and strong stakeholder trust.

Over the past few weeks, I have been spending time engaging with various teams, understanding our business levers, appreciating the disciplined approach that the company brings to execution. So, I look forward to working very closely with the leadership team to continue driving sustainable growth, operational efficiency, and long-term value creation.

Alembic Pharmaceuticals Limited
August 05, 2025

Page 3 of 20

So, now let me briefly take you through the numbers for the quarter ended June 30, 2025 :

We delivered a good start to the financial year. Total revenue for the quarter grew by 10% year-on-year to Rs. 1,711 crores.

Growth was broad-based across businesses despite pricing pressure in US Generics and API.

Gross margin that is net of material cost improved from 74.8% in Q1 last year to 76.2% in Q1 this year, primarily driven by product mix and we also embarked on cost improvement programs in manufacturing operations that drove the margin uplift.

EBITDA margins before R&D expenses were at 25% of revenue at Rs. 424 crores for the quarter. It grew by about 23% over the last year, reflecting a revenue growth, better gross margins, and improved utilization in some of the facilities that were launched last year.

R&D expenses increased by 26% compared to the previous year to Rs. 145 crores and this is in line with the full year guidance that we gave at the beginning of this year, which is supposed to be around Rs. 600 to Rs. 650 crores in R&D expense.

EBITDA after R&D expense was at Rs. 288 crores, which is 17% of revenue and grew by 20% year-on-year.

Profit before tax grew by 21% to Rs. 191 crores. Net profit growth was at 15% to Rs. 154 crores.

EPS for the quarter stands at Rs. 7.85 per share compared to Rs. 6.84 for the previous year.

Working capital as of June was broadly similar to what we had in March.

We had better collections, which was partially offset by increase in inventory in line with our strategic approach on managing working capital.

Alembic Pharmaceuticals Limited
August 05, 2025

Page 4 of 20

Borrowings, the gross debt was at Rs. 1,185 crores, while net debt stands at Rs. 967 crores for the quarter as of June 30th.

With this, I have given a broad overview of the financials and I will now request Shaunak to take you through the India branded business. Over to you, Shauna k.

Shaunak Amin:

Good afternoon, everyone. This quarter on India business, we under delivered with only a 5% year -on-year growth, with reaching Rs. 599 crores in revenue for the quarter.

There are some Speciality areas which have shown some momentum, but in terms of building a more robust, sustainable business to deliver a strong double -digit growth, there have been some challenges which we have tried to tackle, including adjusting some underlying factors as well as having a far more vigorous and robust mechanism of what we build, how we capture in -market inventory also along with that a more vigorous alignment to UC PMP norms that we have to follow as an industry. Apart from these, we also understand that certain execution levels are not up to standard and we are working on those and trying to move people, but getting 7,000 plus people to move overnight does take a challenge, but we are definitely working on it. We have a very clear idea on where the gaps are and what we need to do to get back into a double -digit growth number that we have promised for the year. We are working on it on a daily basis and I am sure that very soon we should start seeing some of these start to flush out in terms of our growth numbers.

Animal Healthcare continues to do well because of our robust execution in that area, and we hope to match the rest of the product categories to that level, that standard of growth going forward. Thank you. I will pass it on to Pranav now. Thank you.

Pranav Amin: Thank you, Shaunak.

Alembic Pharmaceuticals Limited

August 05, 2025

Page 5 of 20

I am pleased to present the performance of the 1st Quarter of FY '26 for the international business and the API. We began the 1st Quarter on a strong note. It was driven by a 21% increase in the rest of the world generics, reflecting a strategic expansion and execution across the geographies. Despite ongoing pricing pressure in the US, our US business also grew by 13%, supported by volume gains.

We launched four products in the market and we also picked up market share in some other products. We expect the US to continue growing in the next couple of quarters on the back of some interesting launches as well.

The API business was flat. I have said that it has been a little muted due to some issues due to data availability in India and was flat at Rs. 261 crores for the quarter.

As we ramp up the utilization of our new manufacturing facilities and continue to drive cost optimization initiatives, we expect to benefit with improved operating leverage, which will help our margins as well.

We filed 2 ANDAs during the quarter. We received 6 approvals and launched 4 products in the US. We expect to launch 4 to 5 more products in Q2 of this year as well.

With that, I will open the floor for Q&A.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Mr. Tushar Manudhane from Motilal Oswal. Please go ahead, sir.

Tushar Manudhane: Sir, just on domestic formulation while there was an underperformance, but if you could throw some light on specialty segment in particular, while after many quarters we have seen muted performance for this quarter. That was first. And secondly, in terms of you highlighted rebuilding the team, if you could just elaborate in terms of what exactly are you trying to do here?

Alembic Pharmaceuticals Limited

August 05, 2025

Page 6 of 20

Shaunak Amin: Yes, what I was trying to allude to is that the way we build sales, we are trying to keep it far more strict compared to what the Industry norm is as well as where we used to be in the past. In terms of our primaries versus secondaries, we also implemented a mechanism to capture secondaries from the market automatically. So, we have a better control on what our inventory levels in market. Some of that also impacted our sales in Q1. But largely, I

like I said, we have to focus more on execution.

We are more committed to driving underlying growth through our prescribers and prescriptions for a sales that is more sustainable in the future.

Tushar Manudhane: Is this impacting a particular therapy or this has been across the therapies?

Shaunak Amin: No, this is across the therapies. It's for the whole organization. So, there is no specific therapy which will have it. But like I said, we are quite confident we have full visibility on what's going on. And we are quite confident of where the gaps are and what we need to do to address these.

Tushar Manudhane: And sir, Acute has been better. So, any particular attributes to this?

Shaunak Amin: Acute were coming off, if you know the history, we came off a very high base. And then last year market was extremely low base. So, from a base point of view, there is some advantage there. But again, like I said, a little better execution on the Acute side also, along with some better stability in the market has allowed us to do this.

Tushar Manudhane: Got it, sir. That is it from my side. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Stock Services. Please go ahead, ma'am.

Nirali Shah: Yes, thanks for the opportunity. I have two questions. First is on the peptide front. So, now that we have a dedicated block, which is a commission and correct me if I am wrong, we have allocated almost

Alembic Pharmaceuticals Limited

August 05, 2025

Page 7 of 20

35% of R&D towards this peptide and complex injectables. I just wanted to know if you could update us on the timeline for the first peptide filing. Also, any update on filing for Semaglutide and RoW markets? And like you had indicated about Tirzepatide, so we are planning for a day 1 launch in US. So, any filings or any progress on that front?

Pranav Amin: We haven't said that we've allocated 35% of R&D to peptides. I think that's not what we've said ever. But yes, peptides is something that we are looking and pursuing. What I have said is that we were late for the first peptide, which is Semaglutide for the US market. So, we won't be there in the first wave of launch for Semaglutide. Tirzepatide which is the second one, Mounjaro, is something that we are looking at and then follow on GLP-1s that we are doing. Apart from that, we have other peptides in the system as well that we are working on, which are going into some of the complex injectables.

Nirali Shah: Yes, understood. It's like you mentioned, we are late for Semaglutide, but we were aiming for RoW markets.

Pranav Amin: Yes, so we are looking at some of the RoW markets for Semaglutide. As I said, we were a little late for the first wave markets. After the second wave markets is something that we will pursue.

Nirali Shah: Any specific, if you can name which RoW segment are you looking at, which market?

Pranav Amin: I would not like to name them right now because I just want to get the filings done and ensure that the regulatory strategy is in place before we give a comment on that.

Nirali Shah: Okay. And my second question is, you had earlier indicated that we do have limited competition injectable launches, which will probably start contributing by FY '27. So, any launch expected in FY '26 and if you can elaborate more on the segments, are they niche segments or any complex dosage forms?

Alembic Pharmaceuticals Limited

August 05, 2025

Page 8 of 20

Pranav Amin: Yes, we have a few complex injectable filings that we will get. One approval that we did receive, it's in the public domain, is on the Doxorubicin product. Like that, we will get a few more as we go along, slowly, slowly, as we keep getting approvals.

Nirali Shah: Okay, understood. Thank you.

Pranav Amin: Thank you.

Moderator: Thank you. The next question is from

the line of Damayanti Kerai from

HSBC. Please go ahead.

Damayanti Kerai: Yes, hi. Thank you for the opportunity. My question is again on India business. So, Shaunak, you mentioned you are clear about the gaps and you are working towards fulfilling those gaps, etc. So, according to you, how long it will take before you can catch up with the market growth rate first and then may outpace the IPM growth? So, approximately, this will be how many years of effort according to you?

Shaunak Amin: No, what we are talking about is not years. We are talking in months in terms of timeframes.

Damayanti Kerai: So, when do you see your India growth going back to say a market level growth?

Shaunak Amin: I can't give you exact comment, but like I have said, some of these things, India is a big country, executing in the country is challenging. To get to 100% of execution for every district in the country is that we cover. I can't give you exact timeframe, but like I said, it's a matter of months that we start seeing double-digit growth and beating or matching market growth.

Damayanti Kerai: Okay, but you're confident about the steps which you might have outlined and which will help you to really pick up from here on?

Shaunak Amin: We have benchmarked couple of the top of 2-3 companies which we feel have set an example of this and a lot of the work we've done is Alembic Pharmaceuticals Limited

August 05, 2025

Page 9 of 20

based on those benchmarks and in terms of companies which we feel are UCMR compliant and have been able to deliver strong growth over the last few years. So, we have benchmarked those kind of companies and we have worked on operations to ensure that we meet those benchmarks and we can get the people aligned to drive double-digit growth.

Damayanti Kerai: Okay, and on the people part, you don't need to add any more?

Shaunak Amin: No, we don't need to add any more people.

Damayanti Kerai: Okay, so it's basically more execution, more expansion?

Shaunak Amin: Yes, it's more about better execution, like I said, in every district, in every headquarter we cover in the country.

Damayanti Kerai: Okay, that's helpful. My second question is on international business. So, first on the US, Pranav, just want to understand, you have seen, pickup in the US sales despite price losses which you mentioned due to volume expansion etc. So, a couple of your peers have mentioned that in the US they are seeing channels de-stocking a bit. I think in anticipation of this tariff etc. they were stocking up and now it's getting unwind. So, do you see the similar situation?

Pranav Amin: No, we haven't seen as yet. At least channels stocking or de-stocking, we haven't seen because it's been so uncertain, right? Sometimes you're talking about tariffs and there is no tariffs and there is tariffs. We have not seen that. At least from our buyers, we haven't seen it so far. Where we saw growth in the US is, as I know, as I said, we launched four products. Apart from that, some of the other older products, where there was some uncertainty in the market is where the buyers came to us and we managed to pick up accounts at a pricing that worked for us.

Damayanti Kerai: Okay. And going ahead also, while the uncertainty remains on the tariff part, you will be focusing more on new launches, right, to see pickup from...?

Alembic Pharmaceuticals Limited

August 05, 2025

Page 10 of 20

Pranav Amin: Yes, exactly. I think . So, on the tariffs, there is nothing you can do about the tariffs. I have a theory that it's going to be tough for pharma, right? Because what's going to happen is the issue is going to be on the high volume, wafer -thin margin products, where you will have an issue with the tariffs. And by putting tariffs there, because of wafer -thin margins, they are not going to be viable to manufacture in the US as well. So, that'

s the catch -22 that's going to come. As for us, we are continuing with what we do, just trying to get whatever products we can, work on better supply chain, work on being a better supply chain partner. And as we get a little more complex and a little more injectable business, that will help a little bit as well .

Damayan ti Kerai: Sure. And some of your peers are again focusing on increasing a bit of manufacturing footprint in the US as a risk management strategy. Any thoughts from your side?

Pranav Amin: No. Okay let's put it this way. Increasing manufacturing footprint i n the US just because of tariffs is something, in my opinion, not something that we are considering. If there was a strategy based on US government business or something that you can get at a better pricing, then we would look at a manufacturing strategy i n the US. But purely for the de -risk perspective, it doesn't make sense to allocate so much capital for setting a manufacturing in the US. And again if there is going to be more generic pricing and competition. So, we are not approaching it from that angle .

Damayanti Kerai: Okay. That's helpful. And my last question is on your API business. So, you mentioned pricing erosion is something which impacted the performance during the quarter. So, it is something specific to your portfolio or it is an industry -wide phenomenon which you are observing?

Pranav Amin: Yes, it's a good question. I think it's an industry -wide phenomenon and it's not the quarter , it's over the last 6-7 quarters. If you see our API business has been quite muted and it's de -grown. Because the API business, our API business over the last decade or so has been a

Alembic Pharmaceuticals Limited
August 05, 2025

Page 11 of 20

fantastic business. Very high margin business, very high EBITDA business for us. And so what's happening is, because again, we had a record of compliance, we could get b etter pricing in the market. Now with this data that is getting leaked through Chinese traders, everyone knows what price you're selling it at, to which buyer. And that's really caused a lot of appeal and a lot of uncertainty in terms of our pricing.

Damayanti Kerai: Sorry Pranav , what is this update from Chinese players you mentioned? Can you elaborate a bit?

Pranav Amin: As I mentioned, there is a lot of data that is leaked by Chinese traders who give data about all exports from India. That is what is cau sing this. It's not just pharma, it's every sector they have data from. And that is what is causing this issue in the API business.

Damayanti Kerai: And how do you see this business in coming quarters? Maybe in near term we can see similar trends to continue, but any scope of improvement?

Pranav Amin: Of course , we will continue doing well. See, it's just the pricing that is coming to the issue, right? The pricing is coming in and we may have lost some accounts, but the inherent business and our stre ngth of being a good supply chain partner, development partner that continues, right? So, you'll see it. I think it's in a couple of quarters it'll be tough and then slowly we will start growing again from there.

Damayanti Kerai: Okay, sure. Very helpful c omment. Thank you. I will get back in the queue.

Moderator: Thank you. The next question is from the line of For am Par ekh from Bank of Baroda Capital Market. Please go ahead, sir.

Foram Parekh: Thank you for the opportunity. My first question is on R oW market. We have been doing very well in this region. So, is it possible for the

management to give us a detailed idea? I mean, what's going right in this region?

Alembic Pharmaceuticals Limited

August 05, 2025

Page 12 of 20

Pranav Amin: Thank you. Yes, the R oW part of our business has been a good business for us. If you see over the last decade or so, the CAGR has been well over 15%, almost 20% if I am not mistaken. It's been a

very

good business. It's nothing, no rocket science per se. Just the clarity and strategy in terms of what markets we wanted to go and number two, in execution in terms of supply chain. At the heart of everything, what's worked for us has been the supply chain execution. Some good supply chain execution has led us to good partners who trust us with the products. And we've been able to supply and grow in these markets with a better margin profile.

Foram Parekh: So, this kind of growth rate, is it sustainable going forward also?

Pranav Amin: If you see Q1 of last year was a little muted quarter for the R oW business. That's why this quarter, it looks much higher. But having said that, I expect for the full year, we will grow. We will grow close to about 10%-15% at least in the R oW markets.

Foram Parekh: Okay. And my second question is on the raw material cost contribution, which has come quite low in this quarter, which has aided in growth margin. So, going forward, how should we look? I mean, should we look at this contribution as the base or a benchmark and go about it? How should we look at it?

G. Krishnan: See, raw material cost is a combination of product mix and how things happen between API and generics. So it will be anywhere between 25%-30% depending on which quarter you're looking at and how the product mix is going on. And historically, we've been in that range. We will continue to be in that range going forward as well.

Foram Parekh: Okay. And lastly, on the ETR, if you can just guide us for full year ETR rate?

G. Krishnan: Current quarter, we are at around 19%. I think we will be in the range of 17 %-18% overall for the full year.

Alembic Pharmaceuticals Limited

August 05, 2025

Page 13 of 20

Foram Parekh: Sure. That's helpful. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Sanjay from Renaissance Investment Managers. Please go ahead, sir.

Sanjay: Thank you for the opportunity, I have a question on the US generic business. You know, excluding the oral solids, you've got about 70 ANDAs across Derma, Opthal, and Injectables. For these 70 ANDAs, how many products have been launched and broadly, if you can indicate what would be the contribution to your US revenues?

Pranav Amin: The US revenues as a total from all our businesses is about 29% of business. In terms of the products that are launched, Nilesh, can you just, I don't have the data with me, can you just mention?

Sanjay: I am referring to only these, the 70 ANDAs across non -oral solids.

Pranav Amin: Non-oral solids. Okay. Sorry. We don't give a revenue breakup between the non -oral solids and OSDs.

Nilesh Wadhwa : We will get back to you offline. We don't have it handy.

Sanjay: Okay. Could you indicate like how many products have been launched out of these 70 so far?

Nilesh Wadhwa : We can get back to you later on this one.

Sanjay: Okay. Sure. And my second question is, I probably missed the exact number. Can you just indicate your gross debt and net debt?

G. Krishnan: Gross debt was at Rs. 1,185 crores as of June and net debt was at Rs. 967 crores.

Sanjay: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Saiion Mukherjee from Nomura Securities. Please go ahead.

Alembic Pharmaceuticals Limited

August 05, 2025

Page 14 of 20

Saion Mukherjee: Hi. Thanks for taking my question and good afternoon. Pranav, you mentioned about the tariff and its impact. I mean, it looks it's inevitable. I am just wondering, let's say if you have a 10% tariff tomorrow or 20% or even higher, how do you think the industry would be reacting? And I am wondering for Alembic, given your size of around \$250 odd million with a wide basket of products, how in that scenario, do you think Alembic will be impacted? If you can just, you know, take me through your thoughts ?

Pranav Amin: There

is too many variables there. And it's very tough to say. We have to be very clear. As I said, you have to have clarity of thought what we want to do as a company. As I said earlier to the last comment about the tariffs earlier, that manufacturing in the US, for me, right now, it's not making sense. I don't see it. Because I don't want to do a large capital allocation for setting up a manufacturing in the US for the generic business, which we are already seeing pricing pressure. It really depends on what kind of tariffs come and what kind of pass-through you can do. Now, the pass-through that will go to the end consumer, it's not up to me, I would like to pass on everything. It really depends on what the competition also does. If everybody else says that, no, we will work on wafer thin margins, or we will reduce some margins, we want to supply to losses, then the business would get dumped. Then the business would, of course, be unviable. As far as we are concerned, we are cognizant of our bottom-line and if we feel that it doesn't make sense to manufacture for the US, then we will walk away from some of the businesses if need be.

Saion Mukherjee: And currently, how would you think about your profitability, let's say pre or post R&D at the scale that you're operating?

Pranav Amin: So, our profitability right now across the ROW and the US is pretty good at a pre R&D level, of course, is a higher R&D allocation for the US market. So, at a pre R&D level, we have very healthy margins. At a post R&D level also, the US has a decent margin. The only thing that drags down the margins for the US to operate with the facility is the facilities Alembic Pharmaceuticals Limited

August 05, 2025

Page 15 of 20

which are not fully utilized. So, as we go along, as we have more utilization from these facilities, that will aid the margins as well. But at a gross margin and at a net level, even after R&D, margins are pretty good for all the businesses.

Saion Mukherjee: And sir, there is no discussion on tariff with the trade and channel yet, is it? I mean, is the industry discussing any feedback you're getting?

Pranav Amin: Nothing. I think it will come down to who can negotiate or what kind of deals you can do. But as I said, if everybody else decides to take the brunt of the tariff hike, then the trade is not going to accept one company going. So, it's a lot of conversations, but I think everyone's still varying. It's a lot of variables here right now.

Saion Mukherjee: Okay. Thank you. And all the best.

Moderator: Thank you. The next question is from the line of Mr. Tushar from Motilal Oswal. Please go ahead, sir.

Tushar: Thanks. Sir, just on the US generic side where the launches have helped us track \$60 million-\$62 million dollars per quarter. But how do you think about this given that, you have a good pace of launches in the coming quarters as well?

Pranav Amin: So, yes. I think for the US business, the Quarter 1 was a good quarter. Moving forward, Q2 also is going to be an interesting quarter. Q2, Q3 and Q4. And I expect to grow by at least 10% in the US business and all across in every quarter at least. We have a few interesting launches that are going to happen in the second quarter as well. One just got launched. It's a big product Entresto. There is a fair bit of generic competition, but I think we should do okay on that product. And the US this year should have a good growth.

Tushar: So, specifically for Entresto, as I understand, the API, we don't have API in-house and many other players have...

Pranav Amin: No. We have in-house API.

Alembic Pharmaceuticals Limited

August 05, 2025

Page 16 of 20

Tushar: Okay. Thank you. So, any price erosion we have seen in this product in-house? If you could share some?

Pranav Amin: Entresto?

Tushar: Yes.

Pranav Amin: So, there is price erosion,

of course, because it was an innovative product and generics have gotten --the launch just happened a couple of weeks back. But yes, there is a fair bit of price erosion. But it's still a decent market. Let's see over the next few weeks, how it shapes up with more entrants come in and they try picking a business.

Tushar: Got it. Thanks for this.

Moderator: Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Yes, good evening. So, the first question is pertaining to the tariffs. First of all, there is some, at least in my mind, there is some confusion as to whether the 25% duties/tariffs that were announced, do they exempt pharmaceuticals? In your assessment, do they exempt pharmaceuticals?

Pranav Amin: Yes, as what we have seen. Currently, it seems that pharmaceuticals are exempted.

Gagan Thareja: And therefore, are you saying that, it's only through Section 232 that subsequently tariffs will be announced?

Pranav Amin: Exactly.

Gagan Thareja: Okay. Because the second one is, under the HTS classification for tariffs, the determination of the country of origin, is dependent upon where the substantial transformation of the product happens. So, if the API comes from China, or if you have a multi-API product where significant share is coming from China and some is coming from India, Alembic Pharmaceuticals Limited

August 05, 2025

Page 17 of 20

does it mean that the tariffs on the product will depend upon the source of API? And therefore, again, some degree of complexity there?

Pranav Amin: I don't think so, because if that was there right now in the US. See, so anyway, right now, in terms of generics, there is just not enough capacity, not in the US, all over the world, to deal with the formulation of generic volumes. Now, if you put the API into it, then where are you going to get the product from? API, there is almost nothing, no API manufacturing, generic API manufacturing facilities in the US, it's a dime a dozen. I mean, hardly you can count them on your fingers. So, I don't believe that API will come. If that comes, that'll be, it'll be catastrophic.

Gagan Thareja: No, my point is, while that itself is a question by itself, my question is that, let's say you have a product, manufactured by an Indian company which sources its API from China, okay. Under the tariff, HTS tariff code, the tariff is determined by the country where the substantial transformation of the product has happened. In which case, if the API is sourced from China, or the final formulation, it would be a reasonable inference that substantial transformation has happened in China, and therefore, the formulation tariffs applicable to China are applicable on the product, or is it the formulation tariffs applicable to India which are applicable on the product?

Pranav Amin: From India only, not China.

Gagan Thareja: Okay, all right. In terms of your US business, can you perhaps give some idea as to how do you see the full year panning out this year, especially given in context of the number of approvals you had and as they scale up going ahead?

Pranav Amin: Yes, I expect the US business to grow for the full year anywhere

between 10 % to 15 %. We have a whole, We've launched about four products from the US in Q1, and the rest of the year we will launch another 10 to 15 products. We should have a fair bit of launches in the US market and we will pick up some share, we believe. So, I believe
Alembic Pharmaceuticals Limited
August 05, 2025

Page 18 of 20

about 10 % to 15% is what I'd expect for the US business to grow this year.

Gagan Thareja: Okay, and how should we think of the India business? I mean, the 1st Quarter you indicated, was a bit subpar and you had some constraints around the U PCMP . Is the whole year going to be a bit impacted by these chang

es or you think recovery is in the works in the next quarter or two?

Shaunak Amin: No, it's, like I said, it's a part of the process. It's not a year -long thing, it's not a yearly thing. Like I said, it's a matter of months because we are working on it SOS to resolve it , like I said, our time frames are in a matter of month s, not in the years.

Gagan Thareja: Finally, sir, can you give the g ross debt numbers and also how you see the debt sort of panning out through the year and at roughly what numbers you could close the year?

Krishnan : So, you meant on gross debt? So, gross debt was at Rs. 1,185 crores, I mentioned earlier. Net debt was at Rs. 967 crores. So, this is still close to what we had at the end of March in terms of the gross debt. So, we see that of course, the debt movement wi ll depend on how the working capital ranges during the quarter. So, we will be mindful of what we need to borrow going forward.

Gagan Thareja: But is it reasonable to presume that going ahead, the debt can reduce and reduce substantially in the year?

G. Kr ishnan: Maybe we discuss that in the next quarter. We will see how the trajectory of business growth is and what is the need for investing in working capital in the next few quarters, considering the dynamics in the US market specifically. So, we need to w ait and watch. I will hold my comment on how the net debt will move, whether there is going to be a drastic reduction or not, we will get to see in the next couple of quarters.

Alembic Pharmaceuticals Limited

August 05, 2025

Page 19 of 20

Gagan Thareja: Okay, thank you. I will get back in the queue. Thanks for taking the questions.

Moderator: Thank you. The next question is from the line of the Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hi, thank you for the opportunity again. Pranav, you mentioned in some of the plans, utilization is right now very low. So, at the network level, at what utilization your US plants are operating at? And how do you see this moving?

Pranav Amin: We don't give plant -wise utilization, but just to give you a flavor, the formulation plant F1, which is our largest plant, that's at practical peak capacity. So, at a practical capacity, running at full capacity. The API plants are running pretty full as w ell. It's the injectable , Derm and the Onco and the new OSD facility, which is actually the new OSD facility is ramping up now and that's at a decent capacity utilization. It's just the injectable and the Onco and the D erm facility, which are a little lowe r in terms of capacity utilization.

Damayanti Kerai: Okay. And then my second question is, during the quarter, your depreciation expense moved up notably. So, is this the new base to look for?

G. Krishnan: So, in Q1 of this year, we commissioned our indoor plant, the new manufacturing facility for blended business and that has added to the depreciation of cost.

Damayanti Kerai: Okay. So, current quarter represents the new base to look for the depreciation.

G. Krishnan: More or less. That is right. But we also guided for a CAPEX of about Rs. 400 crores at the beginning of the year. So, you may have to, of course, it will not happen all in one quarter. So, as and when it gets capitalized, that will also flow through into the depreciation.
Alembic Pharmaceuticals Limited
August 05, 2025

Page 20 of 20

Damayanti Kerai: Okay . Can you remind us where is this new, sorry, where is this CAPEX getting deployed?

G. Krishnan: So, like we said in the last quarter call as well, most of the projects have got completed in terms of capacity augmentation. This CAPEX is going to be more towards maintenance , replacement and debottleneck s wherever it requires .

Damayanti Kerai: So, majorly for maintenance and maybe very little towards the expansion or any upgrade part ?

G. Krishnan: Yes. That's right.

Damayanti Kerai: Okay. That's hel

pful. Thank you.

Moderator: Thank you. With this, that was the last question for this session. I would now like to hand over the conference over to Mr. G Krishnan for closing comments.

G. Krishnan: So, thank you for all the questions. I hope you got clarity on o ur performance relating to Quarter 1. And in case there are further follow up questions, please do reach out to the team. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE: ALEMBIC ROAD, VADODARA - 390 003. ● TEL: (0265) 2280550, 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 11th November, 2025

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 4th November, 2025

Ref: Our Intimation dated 27th October, 2025

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 4th November, 2025.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 20

"Alembic Pharmaceuticals Limited
Q2 FY '26 Earnings Conference Call"
November 04, 2025

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
M R. SHAUNAK AMIN – MANAGING DIRECTOR
M R. R.K. BAHETI – EXECUTIVE DIRECTOR
M R. G. KRISHNAN – CHIEF FINANCIAL OFFICER
M R. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT -
FINANCE

Alembic Pharmaceuticals Limited
November 04, 2025

Page 2 of 20

Moderator: Ladies and gentlemen, good day and welcome to Q2 and FY '26 Earning Conference Call of Alembic Pharmaceuticals Limited. We have with us today Mr. Pranav Amin, Managing Director, Mr. Shaunak Amin, Managing Director, Mr. R.K. Baheti, Executive Director, Mr. G. Krishnan, Chief Financial Officer, Mr. Ajay Kumar

Desai, Senior VP, Finance.

As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishnan for his opening remarks. Thank you and over to you Mr. Krishnan.

G. Krishnan: Thank you and good evening everyone and thank you for joining the second quarter results conference call. Let me briefly take you through the numbers for the quarter before handing it over to Shaunak.

So, moving on, we continued the good start for the year into the second quarter. Revenue for the second quarter grew at 16% year-on-year to INR1,910 crores. Growth was across the business, driven by higher volumes and new product launches and expansion in ex-US markets, despite continued pricing pressure in US Generics and API.

Gross margin was at 73% for the quarter, remaining almost flat compared to the previous year.

EBITDA before R&D expenses were at INR 503 crores for the quarter, representing 26% of EBITDA margin compared to the 23% of previous year, reflecting better operating leverage, resulting in year-on-year EBITDA growth of 32%.

Alembic Pharmaceuticals Limited
November 04, 2025

Page 3 of 20

R&D expenses increased by 41% year-on-year to INR 187 crores for the quarter. These figures are in line with the guidance that we had given for the full year of about INR600-650 crores earlier.

During the quarter we also completed the acquisition of Utility Therapeutics, marking our entry into the US branded drugs market with Pivya, a product targeted for urinary tract infections and granting marketing exclusivity in the US. The transaction includes an upfront payment of about \$4 million, milestone payments of \$4 million each linked to the US launch of Pivya achievement of specified revenue milestones along with a profit sharing arrangements with the sellers.

The net working capital stood at INR2,921 crores compared to INR2,734 crores as of March 25 and this increase is a factor of increased operating intensity driven by new launches and the new facilities that we opened in the last few years and volume driven growth.

Net debt as of 30th September was INR1,280 crores compared to INR 967 crores in June '25. The increase in net debt was a reflection of borrowing, to fund working capital and the acquisition of Utility Therapeutics and correspondingly the interest cost increased from INR 71 crores to INR 76 crores for the quarter.

We expect the net debt levels excluding Pivya launch to gradually reduce in FY '27 considering the successful launch of new products and growth from new facilities in our core business.

The profit before tax for the quarter before exceptional items grew by 34% year-on-year to INR225 crores.

Profit after tax but before exceptional items grew by about 30% year-on-year to INR185 crores.

Alembic Pharmaceuticals Limited
November 04, 2025

Page 4 of 20

Adjusted for the exceptional item pertaining to insurance claims received in the previous financial year that is in the quarter 2 of FY '25, the profit after tax growth was at 20%.

Moving to the half yearly results,
Revenue grew at 13% year-on-year to INR 3,621 crores reflecting growth across businesses.
EBITDA before R&D spent for the period was at INR 927 crores resulting in EBITDA margin of

26% and year-on-year growth of 28% again reflecting the EBITDA growth is a reflection of strong revenue growth and improved capacity utilization across facilities. EBITDA post R&D expenses was at INR 613 crores which is about 17% of revenue.

Profit before exceptional items for first half grew by about 22% to INR 339 crores and profit after tax adjusted for the insurance claim I just mentioned was at about 18%.

With this, I have given a broad overview of the financials for the quarter and for the first half and I now request Shaunak to take you through the India Branded Business.

Shaunak Amin: Thank you Krishnan.

For the India Branded Business, we delivered revenue of INR 639 crores for the quarter with a 5% year-on-year growth. Within this Gynecology, Ophthalmology, Animal Health have demonstrated an accelerated performance

The Cough & Cold segments grew in line with markets with robust operational execution.

We introduced 2 new products in this quarter.

Alembic Pharmaceuticals Limited

November 04, 2025

Page 5 of 20

With the implementation of GST 2.0 to ensure benefits of lower GST rate get passed on to the end users. The billing was paused for a few days to facilitate this migration of the channel to the new GST regime. This led to a compression of the billing cycle especially in the East Zone due to festive seasons resulting in a marginal impact on growth of the quarter for India Business. I will hand over the discussions to Pranav for his presentation on International Business.

Pranav Amin: Thank you, Shaunak. I am happy to present the Q2 performance for the International Business.

Our Q2 performance reflects the continued momentum as we strengthen our presence across key markets and achieving growth in both formulations and API.

The performance was driven by a 31% growth in the rest of the world markets which reflects our strategic geographic expansion and focused execution. Despite continuing pricing challenges, our US business grew 21% supported by higher volumes whereas the API business grew by 15%. We continue to maintain sharp focus on profitability and operational excellence.

We filed 2 ANDAs during the quarter and cumulative ANDA files were at 269.

We also received 6 approvals and 1 tentative approval.

We launched 3 products in the US.

We cumulatively have 226 ANDA approvals including 21 tentative approvals and we expect to launch 4-5 products in Q3 and another 4-5 in Q4 of this year.

Our R&D investment this quarter at around 10% of revenue reflects our commitment to building a strong pipeline for future

Alembic Pharmaceuticals Limited

November 04, 2025

Page 6 of 20

growth. We continue to focus on complex and high value areas such as injectable, peptides, oral solids and drug discovery with an emphasis on early entry opportunities like First to File, Day 1 and NCE-1 launches.

Our annual R&D guidance was given at INR600 crores to 650 crores at the start of the year. We continue to have the same number in mind. We will invest towards marketing and approval in the product launch of Pivya which will mark our foray into the branded segment in the US market.

We expect to start this late Q4 of FY '26. Pivya would target the stable 30 million prescriptions in urinary tract infections which has had little product introduction for more than a decade. This will have an impact on near-term profitability but we are confident of the medium to long-term market opportunity that the product will help us capture.

With this I throw the floor open for Q&A.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Damayanti Kerai from HSBC Bank. Please go ahead.

Damayanti Kerai: Hi, thank you for the opportunity. My first question is I just want to understand the R&D bumper better. So Pranav if you can help us understand although you are maint

aining the guidance but where

the majority of spend went during the quarter that led to sharp increase in the R&D? Which segments of product categories if you can elaborate?

Pranav Amin: Yes. If you see on H1 basis if I am saying a guidance of INR600 crores to INR650 crores then on H1 basis we are within the amount that we had said. We are not too far off. Quarter wise we are 10% but I think at the end of the year we will be around 8% kind of levels.

Alembic Pharmaceuticals Limited
November 04, 2025

Page 7 of 20

In terms of where it went, predominantly most of it is on the formulation development, a lot of it being on the injectables and complex injectables also which as we gradually increase our injectables and complex injectable filing that is also kicking in for us.

Damayanti Kerai: So is semaglutide or any other peptide also part of this expense?

Pranav Amin: We have set up a peptide lab and we do have bunch of products and GLP-1 under development. Semaglutide being one of them.

Having said that, we are not there in the first phase of launch for semaglutide in the Canadian market and even in the US market.

However, we are working on Mounjaro Tirzepatide and we believe we will be in the first phase of that in many of the markets.

Damayanti Kerai: Okay. My second question is on your branded foray in the US market. So you mentioned some investment will go towards that portfolio. So very broadly how much or what kind of investment are planned for that category?

Pranav Amin: This is a little bit more of a mid to long term play, because as we build out a field force, it will be like an umbrella shape in terms of the revenue that will be generated. So initially, we will have a field force which will be promoting the product and it will take a couple of quarters for it to ramp up.

So for couple of quarters we may have a little bit of a profitability hit because of this. But as we go along, as I said, it's like an umbrella curve and you will see a significant ramp up as we start generating prescriptions.

Damayanti Kerai: Okay. That's helpful. And my last question is if you can comment on what has led to very strong growth in ROW market and API.

Specifically API, I understand demand had been muted for, I guess, not only you, but across the market for last couple of

Alembic Pharmaceuticals Limited
November 04, 2025

Page 8 of 20

quarters. But I think your performance is very exceptional. So if you can help us understanding that.

Pranav Amin: Good question. Thanks, Damayanti. So two things. One is the ROW generics. For us, that is part of the business. If you see over the last 7 to 10 years, we have grown by a CAGR of almost 20%. So that has been a very good growth market for us. This year also we will end up growing by about 15% to 20%.

This quarter, 30% growth is a little exceptional because last year H1 had a low base compared to H2. H2 has a much higher base last year because last year during H1 we had some supply difficulties. We will grow in H2 as well, but it won't be as high. But at the year end, we will be about 15% to 20% in ROW generics.

As regards API, yes, it is still not as rosy. If you see the last 8 quarters even we have had, we have been sluggish in terms of growth for API. And just at a lower base, this quarter we ended up having some more development quantities in some areas. API is still challenging. I think for the year we will grow at about 10%, but yes this was a good quarter. It was an exceptional quarter.

Damayanti Kerai: Okay. Fully around 10% growth. It's something more visual. Management: Yes.

Damayanti Kerai: That's helpful. Yes. Thank you for your response.

Moderator: Thank you. Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Service. Please go ahead.

Tushar Manudhane: Yes. Thanks for the opportunity. So again, on this utility therapeutics, if you could sort of elaborate in te

rms of number of

MRs or field force you want to set up. And in addition to this, what kind of portfolio you intend to build up? Is that going to restrict

Alembic Pharmaceuticals Limited
November 04, 2025

Page 9 of 20

only to urinary tract infections? If you could throw some light in terms of these aspects?

Pranav Amin: Yes. So what we will do with definitely is we will gradually ramp up the field force. We will start with some of the high prescription areas. This is in women's health. So we will target the women's health area. We will start with a smaller field force to initially see how the ramp up happens.

We'll go with high prescribing doctors and we've already identified the territories. We will start with that field force. And as we move along, as we start generating sales, we will increase the field force to go for more doctors as well. In this same area, we will look at in licensing and more products as well.

But first, we want to stabilize this product, Pivya, get the sales going off the ground, but actively we're scouting around for other opportunities as well. I believe this can be a good de-risk from the generic business and the pricing challenges that we have in the generic business. And we can build a good franchise in women's health. And that's something that we're going to aim to do.

Tushar Manudhane: At least, sir, let us say, for the next 12 to 18 months or 12 to 24 months, how much sort of an additional operational cost one would factor before we start seeing meaningful traction in the revenue?

Pranav Amin: It will take couple of quarters at least. If we start end of this year, Q1 FY27 will be the first full quarter of launch as per the schedule that we have currently as per our plans. So it will take a couple of quarters at least to get it going. And then the revenue will ramp up. As I mentioned to Damayanti, it'll be a little bit like an umbrella curve, J-curve. We'll go up much faster as we start generating prescriptions.

Alembic Pharmaceuticals Limited
November 04, 2025

Page 10 of 20

Tushar Manudhane: Got you. So considering this aspect and subsequently reasonably good traction in, say, non-US as well as US market and API, any guidance you would like to give for FY26 or second half of FY26 EBITDA margin?

Pranav Amin: For EBITDA margin, the only guidance I have given in the past and I continue to stay by that. If you see fundamentally what will happen over the next couple of years, we will see an improvement in EBITDA margin moving forward. So it could be the quarter-on-quarter, you may see a variation. Next year, next-to-next year, we would like to go to the 18%, 19% kind of levels. In the next couple of years, get to a 20% EBITDA level

And that will happen with growth across all the sectors. I think with India business, we'll come back to growth, animal healthcare is already doing well. Gynecology, ophthalmology are doing well. And once the main business also starts getting back on growth, the other aspect is the US growing.

We have some facilities like the injectable and the onco facilities which are not as fully utilized as of now. As that utilization goes up, that will help push up their margins as well. So I'm pretty confident that in the next couple of years, we will bump up towards the 20% kind of levels.

Tushar Manudhane: Okay, well, thank you.

Moderator: Thank you, sir. Our next question comes from the line of Bharat Celly from Equirius Securities Private Limited. Please go ahead.

Bharat Celly: Hi, thanks for the opportunity. Sir just wanted to understand on the US specialty side, so what sort of investments or levels we are looking to earmark towards this business? What sort of losses we can see maximum when we get into this business?

Alembic Pharmaceuticals Limited
November 04, 2025

Page 11 of 20

Pranav Amin: So Bharat, what will happen is these will be all in terms of upfront costs. As you know, we've acq

quired this for milestones, we've got a few milestones, total milestones will be 12 million paid over a period of time. And the operational cost is just the onboarding of the field force. That's what's going to be operational cost. So we're going to try minimizing that, as I said that earlier, to Tushar that we will gradually start the ramp up of the field force. And as we start getting some momentum, then we will build up the field force a little more. Let's wait till Q1FY27 to see how the ramp up starts. And we'll get a much better idea as we move along.

Bharat Celly: Surely, and what gives us confidence that it can be a successful product, because we have seen multiple companies getting into specialty side and then rolling it back later on? So what gives us confidence over here?

Pranav Amin: Yes, what gives us confidence is in this segment, in women's health and UTI infection, there haven't been too many new molecules that have come out. This is a tried and tested product which has been launched in Europe and it's been there and commercialized in Europe for many years. So it's tried and tested. Number two, it works well in women who are pregnant. I think it's quite a safe alternative. So that gives an additional bonus. And since there haven't been too many new introductions, we believe there's a niche that we can go to. We've done some surveys with doctors in the U.S. and we believe that there is an opportunity. In fact, once some of the medical professionals have heard about this, they have already started approaching us as to when we're launching the product.

Alembic Pharmaceuticals Limited

November 04, 2025

Page 12 of 20

So that gives us some excitement. I believe it will be an interesting area as the first foreign to branded segment in the U.S. And as we move along, we'd like to add more products to this as well.

Bharat Celly: Okay. And last one, what sort of losses we will have from the new injectable plant which we have commercialized over the last two and a half years?

Pranav Amin: We don't have losses per se. We do have unabsorbed overheads. And as we go along, the first half of this year, we've already seen a much better utilization of these facilities, which has also led to the margins going up.

And as we move along with the launches that we have in the pipeline for H2 and FY27, this will further impact on the top line, which will continue growing in the U.S. and the rest of the world markets, as well as the margin improvement.

Bharat Celly: Surely. And since we are investing into the new specialty side, there could be some margin pressure for at least FY26, FY27, right?

Pranav Amin: Let's see. as I said, Q1 and Q2 is where we feel it. I believe Q3, Q4 onwards, it will start getting normalized.

Bharat Celly: Any budgeted amount which you would have thought of to invest in the first quarters?

Pranav Amin: No, we haven't disclosed that. We haven't gone into those numbers yet.

Bharat Celly: Thanks a lot. I will get back to you.

Moderator: Thank you, sir. Our next question comes from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Alembic Pharmaceuticals Limited

November 04, 2025

Page 13 of 20

Bino Pathiparampil: Hi, good afternoon. Just a follow-up question on ROW markets. Are these mostly Europe, most of the sales coming from Europe?

Pranav Amin: Europe is a big market for us. Our ROW business is broadly centered around 4-5 territories, which is Europe, Canada, Australia, Chile, South Africa and Brazil.

Bino Pathiparampil: Okay. Of which Europe, Canada, Australia, I mean, the regulated markets would be roughly what? Half or 70%?

Pranav Amin: 85%.

Bino Pathiparampil: 85% is regulated. Thank you. Thank you very much.

Moderator: Thank you, sir. Our next question comes from the line of Yash Singhee from Renaissance Investment Managers. Please go ahead.

Yash Singhee: Yes. Just a couple of questions. Firstl

y, on the Indian business, I

wanted to understand how is the Azithral sales trending? As in, if that is still trending downwards and the rest of the pickup is mostly due to animal health?

Shaunak Amin: Sorry, could you repeat the question? I couldn't hear.

Yash Singhee: Just to understand how are the Azithral sales trending? So just to understand the way going in future, is it animal health and Gynec, which is picking up and Azithral still being kind of a driver for the growth?

Shaunak Amin: Yes. For Azithral, the base is stabilizing and we're starting to see upward movement of Azithral going forward at this point. Animal health continues to outperform. Gynec also will continue to outperform.

Alembic Pharmaceuticals Limited

November 04, 2025

Page 14 of 20

Yash Singhee: We can expect better than IPM growth as Azithral starts trending upwards with that.

Shaunak Amin: Hopefully, yes.

Yash Singhee: And on the US business, just trying to understand, despite a good US growth in this quarter, there's a Q-o-Q softness in gross margins. So anything that you can update on that?

Pranav Amin: In terms of gross margins, we've always guided there will be 70% plus gross margins. Q on Q would be just a matter of either product mix or something or the other. So At the end of the year, I believe the gross margins will be at the same similar levels that we've been guiding.

Yash Singhee: What range would you see?

G. Krishnan: It will be in the similar range of 70% to 75% that we've been guiding in the past.

Yash Singhee: Understood. Thank you. Thank you.

Moderator: Thank you, sir. Our next question comes from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Yes. Thank you, sir, for taking my question. So this 5% growth, which we saw in the India business during the quarter, you indicated that there were GST disruptions as well in terms of your booking of sales during the quarter. So can you quantify the impact which GST would have had in terms of domestic business growth for 2Q?

G. Krishnan: So as far as GST disruptions were concerned, we did pause the billing for a few days in the month. And we expected the orders to come back. I think that flow into October and we are yet to see how the October trajectory is looking like.

Alembic Pharmaceuticals Limited
November 04, 2025

Page 15 of 20

But what we got to believe is that the demand that switched over from September to October is something that should partially build the growth for Q3. But there will be definitely some extent of primary sales that would not have come back.

So, it's not straightforward to calculate what is the impact on the growth. But one factual aspect is that in terms of the festival related impact, last year, we had that in October, but this year, we had that in September. So that would have an impact, especially for the Eastern zone. But we'll have to wait and see how the October numbers pick up and how the primary versus secondary stack up. And we hope that the impact is not significant.

Rahul Jeewani: Sure, sir. So generally on the domestic business performance, while we have been outperforming market growth in, let's say, therapies like Gynec, Opthal and animal health, over the past couple of years, we seem to have underperformed IPM growth. So when do you expect the domestic business growth to first catch up with IPM, and then potentially start outperforming the market growth as well?

Shaunak Amin: Yes, we've maintained that in the past, there was a base effect post COVID for large part of our acute business. Going forward, we should be able to catch up with. Our represented market growth will actually start catching up with market growth soon. And when that happens, our internal growth also will start matching the market growth, which for the last few years, our represented market for acute business was underperforming compared to the overall

market growth.

Rahul Jeewani: Sure, sir. And any plans of adding on to the team in the India business?

Shaunak Amin: As of now, no plans.

Alembic Pharmaceuticals Limited
November 04, 2025

Page 16 of 20

Rahul Jeewani: Okay, sure. So and just one question I had with respect to the US business and capital allocation. So Pranav, we had, so we had, let's say controlled our R&D spends over the past two year period, where our R&D spends had moderated from 12%-13% to an 8% kind of a number.

Now this quarter, obviously, we saw an increase in R&D spend, but you have maintained your guidance for full year. But let's say from a two to three year perspective, what kind of an R&D spend are you budgeting in?

And when do we actually start seeing some better productivity on this R&D? Because at least in terms of the new launches for the US business, we haven't seen, let's say limited competition approval still coming in for us. Yes.

Pranav Amin: It's a good question, Rahul. To be honest, I don't think we will ever go back to the 12%-13%-14% kind of R&D spends that we were doing when margins and the returns in the US are much higher than what they are right now. So we will not go to those levels. I believe we will still be at that 8% kind of levels for R&D spend.

One of the reasons in the bump up is Q1 was a little lower. And it's just some, as we're filing injectables and some more peptides, you're seeing a little heavier kind of R&D spend that we're incurring. But I still believe, the guidance for the year will be at the INR600 crores-INR650 crores level. We won't exceed that. And moving forward also, we'll be at 8% level.

Rahul Jeewani: Sure, sir. And when do you start seeing some of these, let's say, differentiated and complex product approvals coming through for us as far as injectables and peptides are concerned?

Pranav Amin: Yes, so we have some peptides. We've got one peptide, which we've got approval for, but the GLP ones, there's still time for that.

Alembic Pharmaceuticals Limited
November 04, 2025

Page 17 of 20

We've done batches of tirzepatide, the Mounjaro right now, which has caused a little bit of a bump up in the R&D costs for this quarter.

And apart from that, some of the complex injectables, we will see some approvals coming up in the next couple of months, hopefully, that will be a little more meaningful. It won't be as big as some of the others, but it will be a little more meaningful with a little more limited competition.

Rahul Jeewani: Sure, sir. I will join back the queue. Thank you.

Moderator: Thank you, sir. Our next question comes from the line of Maulik Varia from B&K Securities. Please go ahead.

Maulik Varia: Hi, sir. Thank you for the opportunity. I hope I am audible. So a few questions from my end. I just wanted to understand, I think in the last quarter, we talked about certain hiccups due to the UCPMP implementation across the domestic geography. Can you provide some update on that, if that's completed, or is it still impacting the business?

Shaunak Amin: I'm not able to recollect what you're mentioning about the UCPMP on the India business.

G. Krishnan: I'm not sure, Maulik, we commented on that, on the impact. So I think we, in fact, have been following the policy quite ahead of time. So we don't see any challenges on that front.

Maulik Varia: And also, we launched generic interest too, I think in the later end of the first quarter. So how has that been picked up?

Pranav Amin: That's been picked up. Well, there was a lot of competition on that product, and pricing was much lower than what I would have liked or would have expected. Having said that, we have picked up a few meaningful accounts. We have a decent share on that.

Alembic Pharmaceuticals Limited

November 04, 2025

Page 18 of 20

Maulik Varia: Okay, so we commented that the growth in the second quarter was due to volume

s. So, would Entresto be a significant contributor to that?

Pranav Amin: Yes. Entresto would be.

Maulik Varia: Okay. Okay. And sir, although, I mean, in other expenses, apart from R&D expenses being high, we've seen other expenses reduced for the quarter on a year-on-year comparison. So what all aspects have been under control or maybe we've cut down on that?

G. Krishnan: See, the other expenses are predominantly fixed costs. While the year-on-year cost has increased, the growth is below the revenue growth, which is leading to a bit of operating leverage impact and that ties back to the improvement in capacity utilization that we have seen across business. So we should see it in that front. And it also going back to the point which Pranav mentioned, that as we see improvement in capacity utilization, we should see the margin expansion coming through, subject to the price impact. So it's more of a controlled fixed cost increase that we're seeing improve the margins.

Maulik Varia: Okay. Okay. And sorry, I would have missed it, but can you please repeat how much was the plant utilization for the new plant?

G. Krishnan: So we don't go at plant-level utilization and I don't see that as a necessity for doing financial model at a plant level.

Maulik Varia: Okay. Okay. Any broad-level color on the utilization number on a consolidated basis?

Pranav Amin: See, broad-level, the OSD plants are all running at optimal capacity utilization. F-4 has got a little bit of headroom for future expansion. API is all running at optimal capacity. It's just the three

Alembic Pharmaceuticals Limited

November 04, 2025

Page 19 of 20

new plants which are a little lower than – that too, in that certain lines are higher, certain lines are lower.

It's the injectable onco plants which are running a little lower than what we've anticipated. But you'll see, we've got a lot of back-ended products and launches that will come from these plants anyway, and I think, you'll see an impact of that in H2 itself.

Maulik Varia: Okay. So once the product approvals start coming in, we will see improvement in the utilization.

Pranav Amin: Yes. Exactly.

Moderator: Our next question comes from the line of Rashmee Shetty from Dolat Capital.

Rashmee Shetty: Yes. Just trying to understand more on the US business. When you mentioned that this quarter we have benefited from the volume, is it something that only new launches and the existing products have been benefited or we have also benefited from any one-off opportunity like we did in our earlier quarters?

Pranav Amin: Just the new launches, as was earlier mentioned, Entresto was a new launch. Apart from that, we had about three, four other launches that we did, and gradual ramp-up in some of the other products that we are supplying. But we haven't seen any shortages of one-time buy opportunities that we used to see earlier. The market is quite well supplied and there's a fair bit of erosion, so we're not seeing as many short-term supply-side opportunities.

Rashmee Shetty: Okay. So this number, what we have done in quarter two, do you feel that this is more sustainable in the subsequent quarters also?

Pranav Amin: Yes. Unless there's more erosion in some of the larger launches like Entresto. While we've already seen some erosion in Entresto

Page 20 of 20

since we launched, but I believe that with the new launches, if we keep ramping up, we should be okay.

Rashmee Shetty: Okay. And on the India business, whatever explanation you have given, based on that, is it safe to assume that for this year, we will be underperforming the market growth?

Shaunak Amin: No. I think that's still half the year left.

G. Krishnan: We mentioned that, you know, we're looking at improved productivity that we are working through across the field force. So that should bring back more closer towards the market. I

think the

full impact of that will be seen from next financial year.

Rashmee Shetty: Okay.

G. Krishnan: But I would like to, actually, you know, if you look at the, from purely from a modeling perspective, if you look at the growth for the second half of the financial year, you should consider the fact that the last year's second half was a higher base. We expect growth to continue in the second half of the year, you need to factor the higher base of the last year, when you do the projection.

Rashmee Shetty: Okay. Got it, sir. Thank you. That's it from my side.

Moderator: Thank you, ma'am. As there are no further questions from the participants, I now hand the conference over to Mr. G. Krishnan for the closing comments. Thank you and over to you, sir.

G. Krishnan: Thank you for joining the call. In case you've got any follow-up questions, please feel free to reach out to Ajay Desai and the IR team for any further follow-up questions. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE: ALEMBIC ROAD, VADODARA - 390 003. ● TEL: (0265) 2280550, 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 11th February, 2026

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 5th February, 2026

Ref: Our Intimation dated 21st January, 2026

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 5th February, 2026.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 13

"Alembic Pharmaceuticals Limited
Q3 FY '26 Earnings Conference Call"
February 05, 2026

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
M R. SHAUNAK AMIN – MANAGING DIRECTOR
M R. R.K. BAHETI – EXECUTIVE DIRECTOR
M R. G. KRISHNAN – CHIEF FINANCIAL OFFICER
M R. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT -
FINANCE

Alembic Pharmaceuticals Limited
February 05, 2026

Page 2 of 13

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '26 Earnings Conference Call of Alembic Pharmaceuticals Limited. We have with us today, Mr. Pranav Amin, Managing Director; Mr. Shaunak Amin, Managing Director; Mr. R.K. Baheti, Executive

Director; Mr. G. Krishnan, CFO; Mr. Ajay Kumar Desai, Senior VP, Finance.

As a reminder, this conference call is for analysts, institutional investors. All participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. G. Krishnan. Thank you, and over to you, sir.

G. Krishnan: Thank you. Good evening, everyone. Thank you for joining the conference call to discuss the financial results for third quarter and 9 months ended December 2025. Let me briefly take you through the numbers for the period before handing it over to Shaunak.

So moving on, we continued the momentum that we had in the first half of the financial year into the third quarter. Revenue for the quarter grew by 11% year-over-year to INR 1,876 crores. The quarter saw broad-based growth driven by volume expansion, new product launches and increased traction in ex-U.S. markets, offset in part by pricing pressure in U.S. generics and API. Gross margin was at 72% for the quarter compared to 74% in the previous year. The moderation was primarily driven by change in product mix and pricing challenges, partially offset by cost

Alembic Pharmaceuticals Limited
February 05, 2026

Page 3 of 13

improvement programs that we have in our International Business.

Pricing pressure in international generics, particularly in the U.S. and API business has persisted during the quarter. These headwinds were mitigated by sustained cost efficiency programs, helping us remain competitive in the market. As communicated earlier, our gross margin remained in the operating range of 70% to 75%. So hence, the gross margin of 72% for the quarter is something that we are comfortable with.

EBITDA before R&D expenses and exceptional items stood at INR464 crores for the quarter, representing 25% of revenue compared to 23% in the previous year, again, reflecting an improved operating leverage and prudent management of discretionary spending during the quarter, and hence the year-on-year EBITDA growth was at about 20%.

R&D expenses increased by 33% year-over-year to INR 165 crores for the quarter, and this is in line with the full year guidance of INR 600 crores to INR 650 crores that we had provided earlier. Profit before tax for the quarter, but before exceptional items grew by 15% year-on-year to INR 205 crores, again, reflecting underlying revenue growth and margin improvement that we have seen during the quarter.

Profit after tax for the quarter before exceptional items grew by 21% year-on-year to INR 168 crores.

Pursuant to the changes under the New Labour Code, the company has recognized a onetime provision of INR42 crores towards employee benefits. However, this does not impact operating performance or any immediate cash flow.

Alembic Pharmaceuticals Limited
February 05, 2026

Page 4 of 13

Adjusted for this exceptional item pertaining to the Labour Code related impact, reported profit after tax was lower by 4% compared to previous year.

Net working capital stood at INR 2,944 crores, broadly near the September levels.

Net debt marginally declined to about INR 1,213 crores compared to the previous quarter.

Moving on to the 9-month results. Revenue grew at 12% year-on-year to -- close to about INR 5,500 crores. Again, growth was broad-based across all the businesses. EBITDA before R&

D

spend and exceptional items for the previous -- for the period was about INR 1,391 crores, which is 25% of the revenue and resulting in a 25% year-over-year growth. This reflects strong revenue growth and better utilization of facilities -- capacity utilization across facilities.

EBITDA post R&D expenses was INR921 crores, which is 17% of revenue.

PAT before exceptional items for 9 months grew by about 22% to INR505 crores.

While I have given a broad overview of the financials for the quarter, I now request Shaunak to take you through the India Branded Business. Over to you, Shaunak.

Shaunak Amin: Yes. Thank you, Krishnan.

The India Branded delivered a 6% year-on-year growth, reaching a revenue of INR652 crores for the quarter.

Gynaecology, Ophthalmology, animal healthcare segments have demonstrated accelerating performance.

Alembic Pharmaceuticals Limited
February 05, 2026

Page 5 of 13

Our anti-infective segment grew in line with performance, and we have launched successfully 4 new products in this quarter.

I will now hand over the discussion to Pranav

Pranav Amin: Thank you, Shaunak.

I'm pleased to present the performance for the third quarter of FY '26. The Q3 performance reflects continued momentum as we strengthened our presence across key markets and achieved growth in both formulations and API. The performance was driven by a 36% growth in ROW markets, reflecting our strategic geographic expansion and focused execution. The U.S. business grew 6%, supported by higher volumes and new launches in the last few quarters despite continuing pricing challenges.

We have executed a few out-licensing and manufacturing agreements as well that support our injectable and onco capabilities. These strategic contracts, along with the in-house products, will help us scale utilization in these new facilities over the next 12 to 18 months. We continue to maintain sharp focus on profitability and operational excellence.

We filed one ANDA during the quarter and cumulative ANDA filings were at 270.

Our R&D investment is approximately 9% of revenue, and it demonstrates our sustained commitment to pipeline development and long-term value creation.

The focus remains on complex and differentiated areas such as injectable, peptides, oral solids and drug discovery with an emphasis on early-entry opportunities, including First to File, Day-1 and NCE-1 launches.

We received 7 approvals in the U.S.

Alembic Pharmaceuticals Limited
February 05, 2026

Page 6 of 13

We launched 2 approved products in the U.S. during the quarter and cumulatively have 23 ANDA approvals and 20 tentative approvals.

We hope to launch another 4 to 5 products in the fourth quarter of the year.

We're also on track to launch our first branded product in the U.S. in February 2026. Sometime in Q4, we'll do it. Pivya is a first-line oral antibiotic targeting uncomplicated urinary tract infections in women with a track record of low treatment and emergent adverse events. This will help us target this particular market in the U.S.

While the launch will have an impact on near-term profitability, we expect the product prescription share to scale up during the course of the next 12 to 18 months. We are confident of the medium- to long-term market opportunity that the product will help us capture. Moreover, this helps us with a strategic shift towards part branded business which we can ramp up hopefully in the years to come.

With this, I would like to open the floor open for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Damayanti from HSBC.

Damayanti: My first question is on India business. So Shaunak, we have seen some improvement, but the growth seen so far is still below the market growth rate. So when we are anticipating Alembic India growth to catch up with the market growth? And what kind

of

progress you have seen versus last quarter when we spoke?

Shaunak Amin: Yes. So the India business is quite complicated, and to grow it on a sustained basis requires a lot of interventions to make it happen.

Alembic Pharmaceuticals Limited

February 05, 2026

Page 7 of 13

Q1 of the coming financial year is where we feel we should be back in line with the market growth rate.

Damayanti: Okay. So whether that will be driven more by improvement in processes or you are looking forward to some meaningful launches, et cetera, which can really help you to catch up with the market growth rate?

Shaunak Amin: Launches continue to happen, but we're basing this to be more back of operational execution to drive this growth in Q1.

Damayanti: Okay. So next fiscal is the time line where you think your India growth will converge with the market growth rate?

Shaunak Amin: Yes.

Damayanti: Okay. My second question is to Pranav regarding your upcoming launch of Pivya in the U.S.?

Pranav Amin: Yes.

Damayanti: So this is a branded product, right? And in this space, I think what we have seen in the market, there were earlier launches, which were good in terms of efficacy, but somehow there were a problem on the reimbursement part, et cetera. That's why many - I'll say many brands went out of the market.

So what are your expectations in terms of reimbursement for this product? And what preparations are currently underway? So what makes you think, like, this will be a success compared to other AMR products which were there in the U.S. market?

Pranav Amin: So the success is relative, right? what we're trying to build is just some kind of incremental business. As you know, we've said given the details about the licensing. It wasn't very expensive. It's a higher royalty outgo for us. We believe there are a couple of products already in the market, and we can position ourselves

Alembic Pharmaceuticals Limited

February 05, 2026

Page 8 of 13

well. There are some new ones which are very expensive. There

are some older ones which are genericized.

In terms of efficacy, we sit on a sweet spot. Let's see how it goes.

It's still early days. Let's take a couple of quarters to see where we stand. In terms of the reimbursement and the co-pays and everything. U.S. team is working on that with the respective customers and the bodies.

Damayanti: Okay. But it's on track for launch this quarter, right, on -- in the fourth quarter?

Pranav Amin: Yes. It's on track for launch in this quarter. The MRs are being onboarded right now. The material is being shipped to the U.S.

So we're on track for a Q4 launch.

Damayanti: Okay. And my last question is on U.S. business again, where we continue to see challenges on the pricing part. And then you mentioned some contracts on the injectable and onco space, which might help you in coming quarters, et cetera. So besides -
- first, like, when these contracts will start appearing in your numbers? And when do you think U.S. will be back on growth track?

Pranav Amin: U.S. is already on the growth track as we speak. We are growing in terms of volumes. We're growing quite a bit with the pricing pressure. It's 6%. Last year, Q3, we had a higher base because we had a few more launches in Q3 of last year, a few big launches that bumped up Q3 last year.

But I expect the U.S. business to grow between 10% to 12% for the full -- on full year basis. And we are well on track for that. We have a few interesting launches happening in Q4 as well.

Moderator: The next question is from the line of Candice Pereira from Dolat Capital.

Alembic Pharmaceuticals Limited
February 05, 2026

Page 9 of 13

Candice Pereira: So just to clarify, the R&D number is INR165 crores, right, for this quarter?

G. Krishnan: Yes.

Candice Pereira: Okay. And will it remain in this range for the next year as well for FY '27 9% of revenue?

G. Krishnan: Sorry, your voice is a bit muffle

d. If I understand the question is,
is it going to be at the same level for next year?

Candice Pereira: Yes.

G. Krishnan: we will guide sometime when we start the next year. But for the current year, we are seeing it about 8% to 9% of total revenue as R&D spend. And it's been at the similar levels for Alembic in the last few years. So for next year, specifically, we will discuss at the time when we do the quarter 4 results.

Pranav Amin: Yes. But by and large, we will be along the same numbers between that 8%, 9% kind of range generally.

Candice Pereira: Okay. Got it. And the other income is slightly higher this quarter. So is there any forex gain? And how much is it?

G. Krishnan: Yes. And forex gain should not be big. So yes, so the other income is about INR15.5 crores, and most of that will be forex gain.

Moderator: The next question is from the line of Rahul from IIFL.

Rahul: Sir, on the domestic business, can you talk about the challenges which we are facing because our domestic business growth has been quite tepid over the past 3 to 4 years. So we have been underperforming market growth. And in the past as well, we have talked about growth improving, but we haven't seen that playing

Alembic Pharmaceuticals Limited
February 05, 2026

Page 10 of 13

out. So just in terms of how our domestic business is shaping up

to be.

And do you think that with the kind of scale up in investments which we were doing for the U.S. business, over that period maybe the investments on the domestic business have been on the lower side due to which now we are struggling to grow even in line with market?

Shaunak Amin: No Rahul, I mean, I don't think there's an issue of underfunding the business. I mean, if you want to talk about something that maybe we were too conservative on, the whole doctor spend scenario in the context of UCMP, possibly we were too conservative and extremely sensitive to it relative to the market. That's what I understand.

So maybe that was one of the factors which has led to this. Ex of this, historically, Alembic has not been a high-growth company. But we wanted to fix the fundamental issues that have been plaguing us. That compounded with the post-COVID drop that we saw, rather the COVID bump that we saw for a large part of our large brands in the business, dealing with those -- when those markets prepped, it compounded the whole view. I agree with you, the growth has been tepid. But we're quite confident of this going forward.

Rahul: So some of your peers have also been actively expanding their rep teams in India in order to, let's say, drive penetration in some of the smaller Tier 2, Tier 3 markets. So while we are adhering to the ethical norms might have slightly impacted our growth. But do you think that there is a need for us to expand our field force in order to drive better penetration at the market level, which could help us to drive better growth going forward?

Alembic Pharmaceuticals Limited
February 05, 2026

Page 11 of 13

Shaunak Amin: I personally don't think at this point we are looking at any further large expansions. But that being said, yes, there is a large opportunity in the India market, assuming if things start going as per our expectations operationally, I mean, we would consider and look at those plans to take it forward.

On the point of the UCMP, I don't think it's a small bit. It's a very large bit. That's a large part of many companies where there is extremely high growth.

Rahul: Then if that is your stated strategy, that's not going to change going forward. So then our domestic business in the best-case scenario would, let's say, grow only in line with market or continue to slightly underperform market?

Shaunak Amin: I think, Rahul, we can take this offline. It is a lengthier discussion because we're talking of multitudes of company. But yes, the alignment UCMP possibly more companies are sensitive to it tod

ay than they were in the last 2 years.

Rahul: And a question with respect to the U.S. business. So while we have been aggressively investing in terms of R&D, so FY '25, we saw a slowdown in our R&D spend. But again, this year, there has been an acceleration. So when do we actually see our U.S. growth picking up from whatever complex opportunities, which we are pursuing.

So Pranav talked about injectable, peptides, even drug device combinations. So just some outlook in terms of how do you see the U.S. trajectory over the next 2- to 3-year period because, as I said, we have been aggressively investing behind this business?

Pranav Amin: No, Rahul, the U.S. business has been growing. What's happening is due to increased competition and competitive intensity, we are finding that the opportunities are becoming little less. Having said that, in terms of volume, we continue growing.

Alembic Pharmaceuticals Limited

February 05, 2026

Page 12 of 13

With some of the injectable that we're doing, we've got a few injectable opportunities, we're getting a few more. And over the next 2 years is when we should see a lot more of that coming up. Ophthalmic, we've done a pretty good job, and we've got a lot of market share in most of the ophthalmics that we've got and a lot of leadership positions over there. And injectable, the general injectable and complexes also, we'll do that over the next couple of years once we get the additional approvals.

Rahul: So do you think that the U.S. business can grow at a mid-teens kind of a constant currency rate going into '27 and '28?

Pranav Amin: Yes, it could. Ideally, I would like to go into the mid-teens like between 10% to 15%, at least I would expect the U.S. business to continue growing every year.

Rahul: And one last question from my side with your permission. So with respect to this branded product launch, sir, what kind of a margin drag should we factor in, let's say, for an initial period till the product starts scaling up?

Pranav Amin: Till the product starts scaling up we wouldn't have any margin because until it gets to a certain point, you have your MR cost, you have the royalty payments, you have everything else. So let's wait for a couple of quarters, and you guys will all get a much better idea. We will also get a much better idea how quick the ramp-up is happening.

Rahul: But let's say, if we had to budget in the opex for this business, what kind of opex do you envisage for this business for, let's say, FY '27?

G. Krishnan: So Rahul, the way you should look at it is at an overall company level the margin is something that you should factor. And what we are seeing is that the core business margins have shown

Alembic Pharmaceuticals Limited
February 05, 2026

Page 13 of 13

improvement in the current financial year. And with better capacity utilization in the existing facilities that we have put, the margin expansion is something that we should see coming out in the next few quarters.

Now we are -- like Pranav said, we don't know exactly where we will land on the top line, so hence the margin pressure on Pivya launch is something it's not possible for us to predict at this point. But from a modeling perspective, you could assume that the margin expansion will be sort of a cushion for the expenses that will come from Pivya.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. G. Krishnan for his closing comments.

G. Krishnan: Thank you for joining us on the call for third quarter. Please feel free to reach out to the team for any clarifications or questions you might have. And thank you once again. Have a very good evening.

Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

ALEMBIC PHARMACEUTICALS LIMITED

REGD. OFFICE: ALEMBIC ROAD, VADODARA - 390 003. ● TEL: (0265) 2280550, 2280880 ● FAX: (0265) 2281229

Website : www.alembicpharmaceuticals.com ● E-mail : alembic@alembic.co.in ● CIN : L24230GJ2010PLC061123

Date: 21st May, 2026

To,
The Manager,
Department of Corporate Services,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 533573 To,
The Manager,
Listing Department,
National Stock Exchange of India Ltd.
'Exchange Plaza', Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Symbol: APL LTD

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call held on 15th May, 2026

Ref: Our Intimation dated 29th April, 2026

With reference to the captioned matter, please find enclosed herewith the transcript of the Conference Call held on 15th May, 2026.

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,

For Alembic Pharmaceuticals Limited

Manisha Saraf
Company Secretary

Encl.: A/a.

Page 1 of 16

"Alembic Pharmaceuticals Limited
Q4 FY '26 Earnings Conference Call "
May 15, 2026

MANAGEMENT : MR. PRANAV AMIN – MANAGING DIRECTOR
MR. G. KRISHNAN – CHIEF FINANCIAL OFFICER
MR. AJAY KUMAR DESAI – SENIOR VICE PRESIDENT
MS. ISHA LAMBA – HEAD, CORPORATE DEVELOPMENT
AND INVESTOR RELATIONS

Alembic Pharmaceuticals Limited
May 15, 2026

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '26 Earnings Conference Call of Alembic Pharmaceuticals Limited.

We have with us today Mr. Pranav Amin, Managing Director; Mr. G. Krishnan, CFO; Mr. Ajay Kumar Desai, Senior Vice President, Finance; and Ms. Isha Lamba, General Manager, Corporate Development and Investor Relations. As a reminder, this conference call is only for analysts and institutional investors. As a reminder, this conference call is only for analysts and institutional investors. All participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Amin, Managing Director. Thank you, and over to you, sir.

Pranav Amin: Thank you, and good evening, everyone. Thank you for joining us at the Alembic Pharmaceuticals Q4 and FY '26 Investor Call. I'm joined with Mr. Krishnan, the CFO, as well as members of the management team.

I will begin with a brief perspective on the environment, performance across our businesses and strategic actions and a directional view for FY '27. And then Krishnan will take you through the financial performance for the quarter and the full year ahead.

The external environment continues to remain dynamic across the markets, pricing pressure, competitive intensity, regulatory expectation and supply chain volatility, continue to shape the performance. In this backdrop, outcomes are being driven less by

Alembic Pharmaceuticals Limited
May 15, 2026

Page 3 of 16

market tailwinds and more by execution, quality, portfolio choices, cost discipline and capital allocation.

Our approach through the financial year has remained anchored on 4 clear priorities, which is maintaining our gross margin, protecting the core business, improving operating leverage, and investing selectively in future growth platforms, while sharpening operational excellence across all the businesses.

So while FY '26 included strategic investments and quarters and some quarter-specific impacts, the broader direction remains clear. We are working to build a stronger and more execution-led platform for the medium term.

Starting with the India business. The business delivered 4% year-on-year growth. The quarter was supported by price-led growth and new launches. While within the portfolio, Specialty Therapies and animal healthcare continued to perform relatively better. Specialty growth was supported by Gynecology, Gastrology and Ophthalmology, while animal healthcare grew strongly and remained an important growth driver. Focus brands also continued to grow ahead of the broader portfolio, which is important from a quality of growth standpoint.

The Indore facility is fully operational. Capacity utilization is improving, and this gives us a better base for supply reliability, logistics, operating efficiency and future scaling. We also continued the portfolio refresh with new product launches during the quarter, and that should support better growth quality moving forward.

For the full year, India business delivered a growth of 5%. Operationally in the India business on a firmer footing, and we continue to strengthen the field operations and productivity metrics, focused governance to drive performance.

Alembic Pharmaceuticals Limited
May 15, 2026

Page 4 of 16

The Q4 international business growth remained positive with U.S. showing growth led by volumes and new launches. The ex U.S. markets also continued doing well and grew 20% for the year, whilst the quarter was muted, but the full year grew 20%. The quarterly performance of ex U.S.

is mainly muted due to a higher base and one-off variances. We're confident of continuing this growth in the ensuing quarters.

We continue to build the pipeline and launch platform. During the quarter, we had 6 new launches in the U.S. further ANDA filings and approvals and progress on partnership-led opportunities. Our new facilities are getting better utilized, and we foresee much greater volumes coming out of these facilities in the current year. The broader international business remains a key growth engine. But the business will require sharper product selection, disciplined launch and tighter control. On a yearly basis, we are pretty happy with the operational outcomes and the way the business has panned out, and I'm confident that moving forward this year will show some of these results.

The API business delivered a modest growth in Q4, driven primarily by volumes, while pricing remained a headwind. This is consistent with the broader market environment we have discussed in earlier calls as well. Our response continues to be on cost improvement, portfolio choices and capturing opportunities, where our development and manufacturing strengths provide a better economic profile.

At a broader level, we are consciously moving towards a more execution-led strategic model. This means higher focus on quality of portfolio and launches with asset utilization, stronger cost and working capital discipline and selective investments in platforms.

Alembic Pharmaceuticals Limited
May 15, 2026

Page 5 of 16

One part of the strategic pivot is our U.S. branded business approach. We view this as calibrated strategic entry with a focused go-to-market model and measured investment. The objective is not rapid scale, but to build a credible and sustainable specialty platform over a period of time. While there may be a short-term impact on profitability, which should get offset from improved operating leverage in the core business.

In terms of the FY '27 directional outlook, we are planning a pragmatic view of the external environment. We are not assuming any major easing in pricing pressure, competition or supply chain volatility. At the same time, we do see room for performance through internal levers. On the international business, we expect product launches to be phased through the year with a few meaningful day 1 launches in the first couple of quarters and better volumes in the existing portfolio.

We also expect the U.S. branded business to scale up, supported by selective product additions to strengthen the franchise. New product additions, deeper collaborations and expansion into new territories across Europe and Asia will also support the ex U.S. markets.

We expect the India business to improve and growth momentum and hope to be closer to market growth with a renewed approach to strengthen focused brands.

The international generic business are also likely to grow at a decent amount by low to mid-teen range and the API business to grow in the high single or low double-digit growth. This will translate into an overall top line consolidated growth to be in the low double-digit range.

R&D investments are likely to be around INR750 crores to INR800 crores as we calibrate our portfolio and structurally move

Page 6 of 16

towards higher value opportunities, focusing on NCE -1, First -to-File and Day 1 molecules.

While being cautious in global geopolitics and related developments, the focus will be not only on growth, but on the quality of growth, better capacity utilization, focused cost savings, working capital and investing in a differentiated product portfolio. With that, let me hand over to Krishnan, who will take you through the financial performance for the quarter and full year.

G. Krishnan: Thank you, Pranav. Good evening, everyone. Let me take you through the financial

performance for quarter 4 and then the full year of 2026, and give you all some flavor of FY '27 as well. For the quarter, revenue from operations stood at INR1,838 crores, up by 4% year -on-year. The quarter reflected a resilient performance in the top line, supported by new launches in the U.S., volume -led growth in API and Animal Health, partly offset by pricing pressure in certain segments. On the operating front, EBITDA before R&D stood at INR455 crores, up by about 8% year -on-year with core margins at almost 25% compared to 24% in the previous year, same quarter. This reflects better business mix with slightly better gross margins at 71%, but staying in the previously mentioned range of about 70% to 75%.

The EBITDA is after net operating expenses of the U.S. branded business, which started operations in quarter 4. Going forward, we continue to expect the operating leverage improvement to offset the new -- offset the launch phase margin impact of the U.S. branded business.

R&D spending for the quarter was at INR209 crores compared with INR151 crores in the same quarter last year, representing

Page 7 of 16

11% of revenue versus 9% last year. The increase was driven by peptide -related development activities that we did during the quarter and higher filings in U.S. and ex U.S. markets compared to the previous year. This we believe will help us position for growth in the subsequent periods.

At the profit level, the reported profit after tax for the quarter stood at INR203 crores. The quarter included an exceptional item of INR24 crores as well as onetime tax adjustments of INR101 crores, which is a positive impact relating to MAT Credit and tax regime related adjustments.

From a balance sheet perspective, net working capital stood at -- almost close to INR3,000 crores, an increase of about INR50 crores versus the December levels, mainly driven by receivables that are not at due. Gross debt was at INR1,361 crores broadly in line with the December levels. For the full year, revenue grew by about 10% year -on-year, supported by growth across businesses, while absorbing a higher level of investment in R&D and strategic growth initiatives.

For FY '26, EBITDA before R&D and exceptional items stood at INR1,846 crores, representing 25% of revenue and a 20% year -on-year growth. This reflects growth in the business with better operating leverage across facilities. EBITDA after R&D was at 17% of revenue. Profit before tax and before exceptional items grew at 10%, broadly reflecting the revenue growth that we had during the year. Reported profit after tax grew at 16% to INR675 crores.

Overall, FY '26 was a year of steady core operating delivery alongside higher investment in the pipeline and future growth platforms. While some of these investments have a near-term impact on reported profitability, they are very well aligned to improving medium-term growth quality and strategic positioning.

Alembic Pharmaceuticals Limited
May 15, 2026

Page 8 of 16

As Pranav mentioned earlier, our current view for FY '27 is directional and based on current visibility. At a consolidated level, we are targeting a low double-digit growth, top line growth. Alongside growth, our focus will remain on margin protection, working capital management and capital efficient execution. We expect margin improvement from core business to give enough headroom to support the launch phase of U.S. branded business. With the launch of Pivya, we expect the branded business franchise to scale up to a meaningful revenue profile in the next few quarters.

We expect capital expenditure for the year to be in the range of INR300 crores to INR350 crores, primarily towards capacity, debottlenecking and replacement capex. In summary, FY '26 reinforced resilience, while FY '27, we believe, is focused on

maintaining the momentum and winning through execution.

With that, we can now open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. Your first question comes from the line of Jahnvi Mishra from Green Portfolio Private Limited.

Jahnvi Mishra: Sir, actually, I would like to ask about the F2 and F3 facilities that remain underutilized, pending FDA approvals. Like could you tell us roughly how much cost these facilities are adding to the P&L every year without corresponding revenue? And at what point, whether through our own product approval or the contract manufacturing deals that we have signed, do these facilities start covering their own cost? And what is our internal time line for that?

Pranav Amin: We don't give facility-wise breakup, but I can just give you a flavor of what's happening. Both F2 and F3 are working at a much higher occupancy level than they used to. We're seeing more

Alembic Pharmaceuticals Limited
May 15, 2026

Page 9 of 16

meaningful contribution from these. If you see F3 has multiple lines, and the ophthalmic line is already chock-a-block.

In fact, we're doing an expansion of the ophthalmic line, because it's already at full capacity in terms of the other 2 lines. And actually, those are also about 40% and 60% capacity utilization for both.

In terms of F2, the injectable line and OSD, they are both working at a decent amount. We have a few limited competition opportunities coming, which is what is going to enable them and use these facilities. So the unabsorbed OSD of both these is not as much of an issue for us.

They may be -- it's too small a drag in the whole scheme of things. But it's more important for us to keep some headway in these facilities as we have some important day 1 launches coming from these facilities as well as we're seeing a lot of opportunities for product launches in the next couple of quarters.

Jahnvi Mishra: Okay, sir. And sir, of the contract manufacturing deals that are already signed for F2, F3, like are any of them expected to generate meaningful revenue in '27 itself? Or like is it more of a FY '28 story?

Pranav Amin: No, it's already started. Some of the licensing and some of the

contract manufacturing is in progress. So we'll see part contribution from that in FY '27 itself.

Moderator: Our next question comes from the line of Rahul Jeewani from IIFL.

Rahul Jeewani: Sir, can you call out what kind of an impact you saw in the quarter from the investment into the U.S. Specialty business? So, is there any drag sitting on the current quarter's margins, because of

Alembic Pharmaceuticals Limited
May 15, 2026

Page 10 of 16

Pivya? And how do you see that going forward as well into FY '27? So that's my first question.

Pranav Amin: Yes. Yes. Thanks, Rahul. Yes there was a drag in the quarter due to the Alembic Therapeutics business, which is a sub that has launched the Pivya product. I'll give a direction and Krishnan will give you further details.

There was a drag on the business because of that. The product just got launched in February. So we have taken up some of the costs. I expect another quarter or two of the drag coming, by the end of the year, we should start seeing a decent contribution. And last quarter is when we see it starting to turn around.

It's an interesting area. The only thing it's branded. So it does take more time to get the doctor habits to change. So we're quite confident. The initial trend is quite healthy. So there will be a drag for another quarter or two. Krishnan, do you want to?

G. Krishnan: Yes. So on the specific drag, I don't want to put a number to this, then it becomes a continuous discussion on what's the product level margins that we're going to disclose. Directionally, if you see for the full year, we have been able to maintain the margins. For the quarter,

there is a bit of drag coming in from the higher R&D spend as well.

So, from a modeling point of view, I would take about 100 to 150 basis points of impact coming from Pivya, from the branded business in U.S. And we believe that the margin trajectory for FY '27, the core EBITDA margins that comes from the generic formulations and API business should be more than sufficient to offset this impact.

Rahul Jeewani: Sure, sir. And sir, on R&D, this quarter, we saw an increase. You said that the increase was on account of peptide development. But can you talk about in terms of how do you measure the R&D

Alembic Pharmaceuticals Limited
May 15, 2026

Page 11 of 16

productivity, particularly for the U.S. business? And -- why I say so is because when we were benefiting from Sartan opportunity in the U.S., at that point in time, our annual R&D spend was around INR650 crores, which we had moderated over last couple of years to, let's say, closer to INR550 crores kind of an annual number.

Now for next year as well, we are again guiding for increase in R&D spend to INR750 crores to INR800 crores. So just in terms of how do you measure productivity of this R&D investment, because the high R&D investments are, in fact, dragging your reported EBITDA margin?

Pranav Amin: Yes, Rahul, good question, actually. So a few things. So first of all, the Q4 was a little bit of an outlier at 11% of sales is a little higher than we would have liked to be. You're right. Historically, we have gone up to about 14%, 15% of revenue as R&D spend, we have tapered it down last couple of years.

The quality of the filings that we're doing is also going up, which has caused some higher spend. But moving forward for the year,

I don't expect it to be at 11%. It will come back down to about 9% again. And on an absolute amount, we'll be at that INR750-odd crore s level.

The reason why this last quarter was a little higher is because we have a few selective complex and peptide developments, which were a little more expensive. That's what created a bump. But in terms of how we measure it, we generally have an IRR for each of our R&D projects. That's what we base our calculations on and what makes sense.

As it's getting more competitive, development cost is also getting more expensive. So the threshold IRR has come down, but we still see some opportunities, and that's how we're measuring.

Alembic Pharmaceuticals Limited
May 15, 2026

Page 12 of 16

We're measuring it by opportunity -to-opportunity. The only way we can grow is that we do have products in the market. And hence, we will not go up to the 15% levels, but it's 8% to 9% of revenues where we'll be at.

Rahul Jeewani: Sure, sir. And you said you measure R&D productivity through IRR. So, let's say, over FY '22, '23 or '24, the R&D spend, which we would have done at that point in time, what kind of an IRR would those spends would be generating as of now, if you can share some numbers?

Pranav Amin: So, Rahul, it's a little tough to say, because what's happening is a lot of the filings that happened there, especially from the new facilities, let's say, the Peptides and everything, they're all late expiry. The whole point of the Peptides facility was that it's -- we are locking in some of the day 1.

You will see one of them, 1 launch happening in the end of this quarter. So, it's still tough to put it all together. As I mentioned, the returns came down compared to the returns that we were seeing pre -2020. That's one of the reasons why we tapered down some of the R&D costs as well.

Rahul Jeewani: Sure, sir. And last question from my end before I join back the queue. You talked about FY '27 guidance from a top line growth perspective. Can you provide some color in terms of EBITDA margins as well, given that we will have the drag of Pivya this year, w

hile on the base business, F2, F3 we'll see an improving utilization by the end of the year. So do you think you can improve margins over FY '26 levels? Or we should be baking in flat margins versus...

Pranav Amin: It's a good question, Rahul. The way I see the business is that the Pivya drag, as I mentioned, by the end of the year it will not

Alembic Pharmaceuticals Limited
May 15, 2026

Page 13 of 16

be a drag anymore. And for the rest of it will be covered up by the core business and the business growth that we're seeing.

We have a few interesting opportunities in the U.S. I expect the U.S. business to grow between 10% to 15% at least. The ROW will continue the growth at 15 -plus percent. API will be closer to the 10% growth. And India, we hope with some changes, we will get to market growth.

So with all this, we'll have a high contribution. In terms of capex also we don't have too much this year. We will see -- definitely see an improvement in the margins this year. As I mentioned, at some point, we would go back up to the 20% kind of EBITDA margins over a 2 , 3 year period. And I expect that this year, it's going to be a good year that we will start seeing improvement in the margins as well.

Rahul Jeewani: Sure, sir. Are we quantifying any number for FY '27?

Pranav Amin: No, no, I'm not giving any guidance. Let's see how the first couple of quarters go and then we'll get an idea.

Moderator: Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on your U.S. guidance of 10% to 15% is INR terms, right? So 5%, 6% depreciation is what is -- currency depreciation is what is baked in. So effectively 7%, 8% growth in constant currency terms. Is that the way to think about?

Pranav Amin: Yes, again, it's not a guidance, but just the way I see the business right now, we'll definitely have growth in the market. Yes, that's one way of looking at it. I'm saying, yes, in terms of INR terms, I mentioned 10% to 15%.

Alembic Pharmaceuticals Limited
May 15, 2026

Page 14 of 16

Tushar Manudhane: And sir, on peptide side, like what kind of investment we are envisaging in terms of R&D and in terms of capex separately?

Pranav Amin: So capex is all done. We've already completed the capex of the peptides. This was a filing that had to happen, some of the batches and it's important, it's a big filing. So hence, we had some costs related to that. Moving forward, we will not have as many such costs, as and when a product comes into development. But this was an outlier because the batches were conducted, and there was an NCE -1, 5.

Tushar Manudhane: So how many filings are we sort of thinking on peptide? Maybe over next 12 months?

Pranav Amin: We've got a couple. The portfolio is about 5 to 6 that we had. Two of them are filed already and the rest are going on.

Tushar Manudhane: And sorry for my ignorance, but how much capex you have already done for peptide?

Pranav Amin: We haven't given a disclosure because it's a part of an already ongoing and existing API facility and that's why we've done the peptide API investment. In terms of the formulation, it gets taken care of by our regular formulation capacity that we have.

Tushar Manudhane: Okay. So this is not a dedicated capex for peptide business?

Pranav Amin: No. It is part of a facility I mean, an ongoing facility where we've fine-tuned on block.

Tushar Manudhane: Sir, on the API side at a portfolio level, have we seen like sort of price increases given the crude -linked derivatives, so to say, solvents have seen sharp increase in prices. So subsequently, have you seen API prices moving up for us? API prices still do...

Alembic Pharmaceuticals Limited
May 15, 2026

Page 15 of 16

Pranav Amin: Good question, Tushar. So I'll just give you a background. Just as you said, I'll give you background about our

API business. Our

API business, we generally -- it's a pretty high -margin business and a pretty high -- it's quite a profitable business for us. Because one of the reasons is we do sell APIs at a much higher price. We don't compete at the bottom level whether -- for lack of a better -- whether Chinese or the are dropping prices. So we do have premium prices on the markets. That's one.

And our business values the compliance and the supply chain resilience, right? So we have good prices on the API side in the market. Secondly, in terms of -- are we seeing increase in some solvents? Yes, we're seeing it. Have we passed it on? No, it's still not a materially big issue for us. As you know, we generally do carry a higher bit of inventory, and that's helped us out right now.

We're okay we're utilizing the inventory. We do have higher prices. So that's not as much of a concern for us at this stage.

Tushar Manudhane: Understood. So probably considering the current inventory is at least for next year?

Pranav Amin: Yes. It's not impacting any margins for us.

Tushar Manudhane: And as far as branded business, so post launch, of course, it's too shorter time period. But any sort of either in terms of increasing prescription or any color you would like to...

Pranav Amin: Yes, I don't have any data that I can share with all of you, but I can just say it's just been only February end right that we launched. So it's only been a couple of months. And this is where we're visiting the doctors, we've started off with a smaller field force, reaching out to doctors only in high prescription territory for UTIs. So we're seeing a good trend. We're seeing good feedback. It will be another quarter or two until we are more comfortable giving out more metrics on this.

Alembic Pharmaceuticals Limited
May 15, 2026

Page 16 of 16

Tushar Manudhane: And lastly, just on a broader question, sir, like in terms of capital allocation, like the peptide is one area where you've done reasonable investment over the last 1 to 2 years. Now this branded business is there. So, likewise, any other areas where the capital allocation would happen in, let's say, FY '27, '28? Or these are the key areas to focus on?

Pranav Amin: So what's going to happen is in terms of capital allocation, if you see in terms of capex, we are broadly done with all our capex, even the branded business, it doesn't entail any capex. The only investment was in -licensing of the product. So on the branded side, we will in -license few more products. We're seeing some opportunities that we can build into Alembic Therapeutics to grow the branded business. So that is one part.

Second is the R&D investments will continue, though is in a measured manner to see where it happens. And that's it, these are the 2 broad areas and complex products is where still -- basically it will be R&D and the branded business.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. G. Krishnan for closing comments.

G. Krishnan: Thank you for joining us on the quarter 4 and full year conference call. If you have got any follow-up questions, please reach out to the Investor Relations team. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Alembic Pharmaceuticals Limited, we conclude this conference. Thank you, every one, for joining us, and you may now disconnect your lines.